

**Washington State Auditor's Office**  
**Financial Statements and Federal Single Audit Report**

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**City of Redmond**  
**King County**

Audit Period  
**January 1, 2011 through December 31, 2011**

**Report No. 1008494**

Issue Date  
**September 28, 2012**



WASHINGTON  
**BRIAN SONNTAG**  
STATE AUDITOR



**Washington State Auditor  
Brian Sonntag**

September 28, 2012

Council  
City of Redmond  
Redmond, Washington

***Report on Financial Statements and Federal Single Audit***

Please find attached our report on the City of Redmond's financial statements and compliance with federal laws and regulations.

We are issuing this report in order to provide information on the City's financial condition.

Sincerely,

**BRIAN SONNTAG, CGFM**  
STATE AUDITOR

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King County  
January 1, 2011 through December 31, 2011**

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# Federal Summary

## City of Redmond King County January 1, 2011 through December 31, 2011

The results of our audit of the City of Redmond are summarized below in accordance with U.S. Office of Management and Budget Circular A-133.

### **FINANCIAL STATEMENTS**

An unqualified opinion was issued on the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information.

#### **Internal Control Over Financial Reporting:**

- **Significant Deficiencies:** We reported no deficiencies in the design or operation of internal control over financial reporting that we consider to be significant deficiencies.
- **Material Weaknesses:** We identified no deficiencies that we consider to be material weaknesses.

We noted no instances of noncompliance that were material to the financial statements of the City.

### **FEDERAL AWARDS**

#### **Internal Control Over Major Programs:**

- **Significant Deficiencies:** We reported no deficiencies in the design or operation of internal control over major federal programs that we consider to be significant deficiencies.
- **Material Weaknesses:** We identified no deficiencies that we consider to be material weaknesses.

We issued an unqualified opinion on the City's compliance with requirements applicable to each of its major federal programs.

We reported no findings that are required to be disclosed under section 510(a) of OMB Circular A-133.

***Identification of Major Programs:***

The following were major programs during the period under audit:

| <u>CFDA No.</u> | <u>Program Title</u>                                                                 |
|-----------------|--------------------------------------------------------------------------------------|
| 81.128          | ARRA – Energy Efficiency and Conservation Block Grant Program (EECBG) (Recovery Act) |
| 20.205          | Highway Planning and Construction Cluster - Highway Planning and Construction        |

The dollar threshold used to distinguish between Type A and Type B programs, as prescribed by OMB Circular A-133, was \$300,000.

The City did not qualify as a low-risk auditee under OMB Circular A-133.

# Independent Auditor's Report on Internal Control over Financial Reporting and on Compliance and Other Matters in Accordance with *Government Auditing Standards*

City of Redmond  
King County  
January 1, 2011 through December 31, 2011

Council  
City of Redmond  
Redmond, Washington

We have audited the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, King County, Washington, as of and for the year ended December 31, 2011, which collectively comprise the City's basic financial statements, and have issued our report thereon dated September 26, 2012. During the year ended December 31, 2011, the City implemented Governmental Accounting Standards Board Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States.

## **INTERNAL CONTROL OVER FINANCIAL REPORTING**

In planning and performing our audit, we considered the City's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over financial reporting. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over financial reporting.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the City's financial statements will not be prevented, or detected and corrected on a timely basis.

Our consideration of internal control over financial reporting was for the limited purpose described in the first paragraph of this section and would not necessarily identify all deficiencies in internal control that might be deficiencies, significant deficiencies or material weaknesses. We did not identify any deficiencies in internal control over financial reporting that we consider to be material weaknesses, as defined above.

## **COMPLIANCE AND OTHER MATTERS**

As part of obtaining reasonable assurance about whether the City's financial statements are free of material misstatement, we performed tests of the City's compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

This report is intended for the information and use of management, the Council, federal awarding agencies and pass-through entities. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink, appearing to read "Brian Sonntag", with a stylized, cursive script.

**BRIAN SONNTAG, CGFM**  
STATE AUDITOR

September 26, 2012

# Independent Auditor's Report on Compliance with Requirements That Could Have a Direct and Material Effect on Each Major Program and on Internal Control over Compliance in Accordance with OMB Circular A-133

**City of Redmond  
King County  
January 1, 2011 through December 31, 2011**

Council  
City of Redmond  
Redmond, Washington

## **COMPLIANCE**

We have audited the compliance of the City of Redmond, King County, Washington, with the types of compliance requirements described in the U.S. Office of Management and Budget (OMB) *Circular A-133 Compliance Supplement* that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2011. The City's major federal programs are identified in the Federal Summary. Compliance with the requirements of laws, regulations, contracts and grants applicable to each of its major federal programs is the responsibility of the City's management. Our responsibility is to express an opinion on the City's compliance based on our audit.

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion. Our audit does not provide a legal determination on the City's compliance with those requirements.

In our opinion, the City complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2011.

## **INTERNAL CONTROL OVER COMPLIANCE**

The management of the City is responsible for establishing and maintaining effective internal control over compliance with requirements of laws, regulations, contracts and grants applicable to federal programs. In planning and performing our audit, we considered the City's internal control over compliance with the requirements that could have a direct and material effect on a major federal program in order to determine our auditing procedures for the purpose of expressing our opinion on compliance and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over compliance.

*A deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and would not necessarily identify all deficiencies in internal control that might be deficiencies, significant deficiencies or material weaknesses. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above.

This report is intended for the information of management, the Council, federal awarding agencies and pass-through entities. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink, appearing to read "Brian Sonntag", is positioned above the printed name and title.

**BRIAN SONNTAG, CGFM**  
STATE AUDITOR

September 26, 2012

# Independent Auditor's Report on Financial Statements

## City of Redmond King County January 1, 2011 through December 31, 2011

Council  
City of Redmond  
Redmond, Washington

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, King County, Washington, as of and for the year ended December 31, 2011, which collectively comprise the City's basic financial statements as listed on page 9. These financial statements are the responsibility of the City's management. Our responsibility is to express opinions on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinions.

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of December 31, 2011, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in conformity with accounting principles generally accepted in the United States of America.

As described in Note 1, during the year ended December 31, 2011, the City implemented Governmental Accounting Standards Board Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*.

In accordance with *Government Auditing Standards*, we have also issued our report on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 10 through 18, budgetary comparison information on page 72, pension trust fund information on page 73 and information on postemployment benefits other than pensions on page 73, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during the audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Our audit was performed for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by U.S. Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. This schedule is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.

A handwritten signature in black ink, appearing to read "Brian Sonntag", with a stylized, cursive script.

**BRIAN SONNTAG, CGFM**  
STATE AUDITOR

September 26, 2012

# Financial Section

## City of Redmond King County January 1, 2011 through December 31, 2011

### ***REQUIRED SUPPLEMENTARY INFORMATION***

Management's Discussion and Analysis – 2011

### ***BASIC FINANCIAL STATEMENTS***

Statement of Net Assets – 2011  
Statements of Activities – 2011  
Balance Sheet – Governmental Funds – 2011  
Statement of Revenues, Expenditures and Changes in Fund Balances – Governmental Funds – 2011  
Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statements of Activities – 2011  
Statement of Net Assets – Proprietary Funds – 2011  
Statement of Revenues, Expenses and Changes in Fund Net Assets – Proprietary Funds – 2011  
Statement of Cash Flows – Proprietary Funds – 2011  
Statement of Fiduciary Net Assets – Fiduciary Funds – 2011  
Statement of Changes in Fiduciary Net Assets – Fiduciary Funds – 2011  
Notes to Financial Statements – 2011

### ***REQUIRED SUPPLEMENTARY INFORMATION***

Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual – General Fund – 2011  
Fireman's Pension Plan – Schedule of Funding Progress – 2011  
LEOFF 1 Medical Benefits – Schedule of Funding Progress – 2011

### ***SUPPLEMENTARY INFORMATION***

Schedule of Expenditures of Federal Awards – 2011  
Notes to the Schedule of Expenditures of Federal Awards – 2011

## Management's Discussion And Analysis

The management discussion and analysis section of the City of Redmond's Comprehensive Annual Financial Report provides an overview of the City's financial activities for the year ending December 31, 2011, and for the City's financial position at December 31, 2011. This information should be read in conjunction with the preceding letter of transmittal and the financial statements and notes to the financial statements that follow. Particular attention should be paid to the discussion regarding the city's implementation of GASB's Statement 54. Implementing this statement has resulted in many changes to the presentation of financial information as detailed in Note 5 of the financial statements.

### Financial Highlights

- Net assets, the amount by which total assets exceed total liabilities, equaled \$660,698,559 at the end of 2011. The City's net assets increased by \$19,094,345 or 2.98% in 2011. Governmental activities had a increase of \$7,252,648 or 2.10% from 2010. The increase is predominantly due to an investment in fixed assets (primarily infrastructure). The details regarding these can be found in Note 7 to the financial statements. An additional area of increase is the net assets is the amounts restricted for future capital projects. Business-Type activities had an increase of \$11,841,692 or 3.99% from 2010 which is again largely attributed to increased investment in fixed assets. This reflects the city's commitment to investment in its capital infrastructure.
- Of the remaining net assets, \$47,237,857 and \$37,828,747 are restricted and unrestricted, respectively, for Governmental Activities, while \$2,220,500 and \$50,415,020 are restricted and unrestricted respectively for Business-Type Activities. The major component of the legally restricted portion is for capital projects, which account for \$36,686,924 or 78% of total restricted net assets citywide compared to \$18,406,405 or 46.78% in 2010.
- Governmental fund balances at year-end were \$77,713,932 a decrease of \$1,839,036 from the prior year. The City experienced a reduction in cash and investments of \$2,477,490 but also had a reduction in total liabilities of \$2,189,190. The City saw an increase of \$6,601,779 in unassigned (formerly unreserved) fund balance in the general fund and amounts available to fund ongoing activities. Other legally restricted or committed by City policy fund balances are \$6,330,833, \$1,754,636 and \$35,695,108 for special revenue, debt service, and capital improvement projects (CIP) fund purposes, respectively.

### Budget Adjustments

The difference between the original budget and final budget for the general fund for the biennium 2011-2012 totaled an increase of \$2,058,981 in revenues and \$11,607,136 in expenditures which accounts for a budgetary decrease of \$9,548,155 of total net assets of the City. The result is to reduce the anticipated excess of revenues over expenditures from \$12,705,625 to \$3,157,470. These adjustments included an increase in the budgets for transportation and parks maintenance and capital projects, as well as economic development. The adjustments occurred as part of the city's transition to comply with GASB Statement 54 as described in Note 5 to the financial statements.

### Overview of the Financial Statements

The City's basic financial statements are presented in three parts: 1) government-wide financial statements; 2) fund financial statements; and 3) notes to the financial statements. Other supplementary information in addition to the basic financial statements is also contained in this report. This section of the management's discussion and analysis is intended to introduce and explain the basic financial statements.

## Government-wide financial statements

The government-wide financial statements are designed to give the reader a picture of the financial condition and activities of the City as a whole. This broad overview is similar to the financial reporting of private sector businesses. The government-wide financial statements have separate columns for governmental activities and business-type activities. Governmental activities of the City include general government (finance, executive and human resources), security (police and fire), physical environment, economic environment, transportation, mental/physical health, and culture and recreation. The City's business-type activities are limited to water/wastewater and stormwater utilities. Governmental activities are primarily supported by taxes, charges for services, and grants. Business-type activities are primarily self-supporting through user fees and charges.

The statement of net assets presents information on all of the City of Redmond's assets and liabilities, highlighting the difference between the two as net assets. This statement is similar to the balance sheet of a private sector business. Over time, increases or decreases in net assets may be one indicator of improvement or deterioration in the City's overall financial health.

The statement of activities presents information designed to show how the City's net assets changed during the year. This statement distinguishes revenue generated by specific functions from revenue provided by taxes and other sources not related to a specific function. The revenue generated by the specific functions (charges for services, grants, and contributions) is compared to the expenses for those functions to show the degree to which each function supports itself or relies on taxes and other general funding sources for support. All activity on this statement is reported on the accrual basis of accounting, requiring that revenues are reported when they are earned and expenses are reported when they are incurred, regardless of when cash is received or disbursed. Items such as (but not limited to) uncollected taxes, unpaid vendor invoices for goods or services received during the year, and earned but unused vacation leave are included in the statement of activities as revenue and expenses even though no cash has changed hands.

## Fund Financial Statements

The annual financial report includes fund financial statements in addition to the government-wide financial statements. While the government-wide statements present the City's finances based on the type of activity, general government versus business-type, the fund financial statements are presented by fund type such as the general fund, special revenue funds, and proprietary funds. A fund is a fiscal and accounting entity with a self-balancing set of accounts used to account for specific activities or meet certain objectives. Funds are often set up in accordance with special regulations, restrictions or limitations. The City of Redmond, like other state and local governments, uses fund accounting to ensure and show compliance with finance-related legal requirements. The City's funds are divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

Governmental funds are used to account for essentially the same functions as are reported as governmental activities in the government-wide financial statements. These reports use a different "basis of accounting" than that used in government-wide financial statements. The governmental fund statements focus on near-term revenues/financial resources and expenditures while the government-wide financial statements include both near-term and long-term revenues/financial resources and expenses. The information in the governmental fund statements can be used to evaluate the City's near-term financing requirements and immediate fiscal health. Comparing the governmental fund statements with the government-wide statements can help the reader better understand the long-term impact of the City's current year financing decisions. To assist in this comparison, reconciliations between the governmental fund statements and the government-wide financial statements are included with the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances.

The City of Redmond maintains thirteen individual governmental funds. The City's two major governmental funds – the general fund and the capital improvements program fund – are presented separately in the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances. The remaining governmental funds are combined in this statement into a single column labeled other governmental funds. Individual fund data for each of the other governmental funds can be found in combining statements later in this report. As discussed previously in this analysis, the City's compliance with GASB Statement 54 resulted in significant change to the reporting for the city's funds and is responsible for the reduction in the number of funds to be found in this report from 27 last year to the 13 included in the 2011 report.

The City maintains budgetary control over its operating funds through the adoption of a biennial budget. Budgets are adopted at the fund level for all funds in accordance with state law. All budgetary comparison schedules are included following the other governmental funds' combining statements in this report.

Proprietary funds are used by governments to account for their business-type activities. Business-type activities provide specific goods or services to a group of customers that are paid for by fees charged to those customers. There is a direct relationship between the fees paid and the services received.

The City of Redmond has two types of proprietary funds, enterprise funds and internal service funds. Enterprise funds are used to account for goods and services provided to citizens and the community. Internal service funds are used to account for goods and services provided internally to various City departments. The same basis of accounting is used for proprietary funds in both the government-wide statements and the individual fund statements.

Enterprise funds of the City are used to report the same functions presented as business-type activities in the government-wide statements with the fund statements providing more detail than is reported in the government-wide statements. The enterprise fund statements provide separate information for the City's water/wastewater utility, an Urban Planned Development (UPD) water/wastewater utility outside the City limits, and the City's stormwater utility.

Internal service funds are an accounting device used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for its fleet of vehicles, insurance premiums and claims, medical self-insurance, workmen's compensation self-insurance program, information technology, and one blended component unit, Redmond Community Properties. Internal service funds benefit both governmental and business-type activities and are allocated accordingly in the government-wide statement of activities. Internal service fund assets and liabilities are predominantly governmental and have been included in the governmental activities column of the government-wide statement of net assets.

Fiduciary funds account for assets held by the City in a trustee capacity or as an agent for individuals, private organizations, other governments, or other funds. Fiduciary funds are not included in the government-wide financial statements because their assets are not available to support the City of Redmond's activities.

The City has two types of fiduciary funds, a pension fund and agency funds. The accounting for the pension fund is on the accrual basis. Agency funds are custodial in nature and do not include revenues and expenses as they do not measure the results of operations.

## Notes to the financial statements

The notes to the financial statements provide additional information that is important for a full understanding of the data in the government-wide and fund financial statements. The notes are located immediately following the basic financial statements.

## Other information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's progress in funding its obligation to provide pension benefits to certain retired firefighters and lifetime medical benefits to uniformed personnel hired before October 1, 1977. Required supplementary information may be found immediately following the notes to the financial statements.

The combining statements for other governmental funds, internal service funds, and agency-type fiduciary funds are presented immediately following the required supplementary information.

## Government-wide Financial Analysis

### Statement of net assets

The statement of net assets can serve as a useful indicator of the City's financial position. The City of Redmond's net assets at December 31, 2010 and 2011 total \$641,604,214 and \$660,698,559, respectively. Following is a condensed version of the government-wide statement of net assets for 2011 compared to 2010.

### City of Redmond's Net Assets (in thousands)

|                                                 | Governmental Activities |            | Business-Type Activities |            | Total      |            |
|-------------------------------------------------|-------------------------|------------|--------------------------|------------|------------|------------|
|                                                 | 2011                    | 2010       | 2011                     | 2010       | 2011       | 2010       |
| Current and other assets                        | \$ 103,523              | \$ 105,724 | \$ 55,375                | \$ 56,804  | \$ 158,898 | \$ 162,528 |
| Capital assets, net of accumulated depreciation | 341,265                 | 327,183    | 266,467                  | 253,710    | 607,732    | 580,893    |
| Total assets                                    | \$ 444,788              | \$ 432,907 | \$ 321,842               | \$ 310,514 | \$ 766,630 | \$ 743,421 |
| Long-term liabilities                           | \$ 80,490               | \$ 75,172  | \$ 10,853                | \$ 11,419  | \$ 91,343  | \$ 86,591  |
| Other liabilities                               | 12,430                  | 13,120     | 2,159                    | 2,106      | 14,589     | 15,226     |
| Total liabilities                               | \$ 92,920               | \$ 88,292  | \$ 13,012                | \$ 13,525  | \$ 105,932 | \$ 101,817 |
| Net assets                                      |                         |            |                          |            |            |            |
| Invested in capital assets, net of related debt | \$ 266,802              | \$ 257,663 | \$ 256,195               | \$ 242,798 | \$ 522,997 | \$ 500,461 |
| Restricted                                      | 47,237                  | 29,569     | 2,220                    | 2,221      | 49,457     | 31,790     |
| Unrestricted                                    | 37,829                  | 57,384     | 50,415                   | 51,970     | 88,244     | 109,354    |
| Total net assets                                | \$ 351,868              | \$ 344,616 | \$ 308,830               | \$ 296,989 | \$ 660,698 | \$ 641,605 |

## Changes in net assets

The changes in net assets table illustrates the increases or decreases in net assets of the City resulting from its operating activities. Following is a condensed version of the City's changes in net assets. The table shows the revenues, expenses, and related changes in net assets in tabular form for the governmental activities separate from the business-type activities for 2010 and 2011.

### City of Redmond's Changes in Net Assets (in thousands)

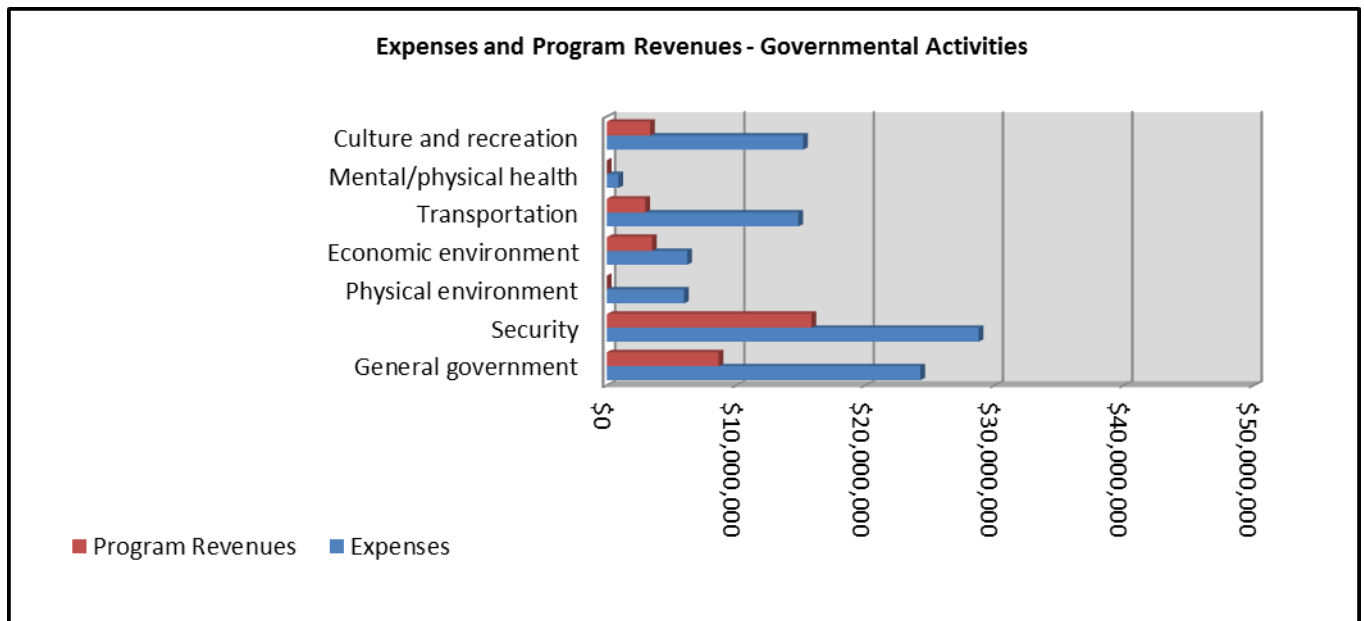
|                                    | Governmental Activities |         |      |          | Business-Type Activities |         |      |         | Total |         |      |         |
|------------------------------------|-------------------------|---------|------|----------|--------------------------|---------|------|---------|-------|---------|------|---------|
|                                    | 2011                    |         | 2010 |          | 2011                     |         | 2010 |         | 2011  |         | 2010 |         |
| Revenues:                          |                         |         |      |          |                          |         |      |         |       |         |      |         |
| Program revenues                   |                         |         |      |          |                          |         |      |         |       |         |      |         |
| Charges for services               | \$                      | 34,283  | \$   | 28,913   | \$                       | 44,981  | \$   | 41,815  | \$    | 79,264  | \$   | 70,728  |
| Operating grants and contributions |                         | 760     |      | 8,334    |                          | 599     |      | 602     |       | 1,359   |      | 8,936   |
| Capital grants and contributions   |                         | 2,513   |      | 3,419    |                          | 6,403   |      | 7,060   |       | 8,916   |      | 10,479  |
| General revenues                   |                         |         |      |          |                          |         |      |         |       |         |      | -       |
| Property taxes                     |                         | 21,978  |      | 20,930   |                          | -       |      | -       |       | 21,978  |      | 20,930  |
| Sales taxes                        |                         | 24,895  |      | 19,038   |                          | -       |      | -       |       | 24,895  |      | 19,038  |
| Other taxes                        |                         | 19,338  |      | 18,664   |                          | -       |      | -       |       | 19,338  |      | 18,664  |
| Investment interest                |                         | 937     |      | 1,114    |                          | 48      |      | 623     |       | 985     |      | 1,737   |
| Miscellaneous                      |                         | 2,152   |      | 4,027    |                          | 143     |      | 105     |       | 2,295   |      | 4,132   |
| Total revenues                     | \$                      | 106,856 | \$   | 104,439  | \$                       | 52,174  | \$   | 50,205  | \$    | 159,030 | \$   | 154,644 |
| Expenses:                          |                         |         |      |          |                          |         |      |         |       |         |      |         |
| General government                 | \$                      | 24,253  | \$   | 19,571   | \$                       | -       | \$   | -       | \$    | 24,253  | \$   | 19,571  |
| Security                           |                         | 28,751  |      | 36,764   |                          | -       |      | -       |       | 28,751  |      | 36,764  |
| Physical environment               |                         | 5,976   |      | 5,283    |                          | -       |      | -       |       | 5,976   |      | 5,283   |
| Economic environment               |                         | 6,218   |      | 5,719    |                          | -       |      | -       |       | 6,218   |      | 5,719   |
| Transportation                     |                         | 14,818  |      | 42,053   |                          | -       |      | -       |       | 14,818  |      | 42,053  |
| Mental/physical health             |                         | 890     |      | 13       |                          | -       |      | -       |       | 890     |      | 13      |
| Culture and recreation             |                         | 15,191  |      | 14,457   |                          | -       |      | -       |       | 15,191  |      | 14,457  |
| Interest on long term debt         |                         | 3,506   |      | 1,813    |                          | -       |      | -       |       | 3,506   |      | 1,813   |
| Water/Wastewater                   |                         | -       |      | -        |                          | 27,519  |      | 25,191  |       | 27,519  |      | 25,191  |
| Novelty Hill Water/Wastewater      |                         | -       |      | -        |                          | 5,752   |      | 5,542   |       | 5,752   |      | 5,542   |
| Stormwater                         |                         | -       |      | -        |                          | 7,061   |      | 6,407   |       | 7,061   |      | 6,407   |
| Total expenses                     | \$                      | 99,603  | \$   | 125,673  | \$                       | 40,332  | \$   | 37,140  | \$    | 139,935 | \$   | 162,813 |
| Increase/(Decrease) in net assets  |                         | 7,253   |      | (21,234) |                          | 11,842  |      | 13,065  |       | 19,095  |      | (8,169) |
| Net assets - beginning             |                         | 344,616 |      | 365,850  |                          | 296,989 |      | 283,924 |       | 641,604 |      | 649,774 |
| Net assets - ending                | \$                      | 351,869 | \$   | 344,616  | \$                       | 308,830 | \$   | 296,989 | \$    | 660,699 | \$   | 641,605 |

Governmental activities experienced an increase in total net assets of \$7,252,648. Governmental activities accounts for 53% of the City's net assets in 2011.

Key elements of the 2011 increase are as follows:

- Total assets from Governmental activities increased by \$11,880,607.
  - Cash and investments reflect a decrease of \$1,850,136 from 2010 to 2011 (a change of 1.98%). This is consistent with the budget and plans of the City whereby cash accumulated for investments in infrastructure and technology were expended for those purposes during the year.
- Total liabilities from Governmental activities increased by \$4,627,956 (5.24%).
  - Long-term debt increased by \$4,607,656 as a result of the combination of \$8.035 million in new bonds to fund park land acquisition and the principal payments on debt previously held by the City. See Note 12 to the financial statements for more information.
  - Accounts payable decreased by \$104,800.
- The total revenue increased between 2010 and 2011 by \$4,110,387. This increase largely related to taxes received in 2011 but consisted of several components.
  - Taxes in 2011 included a one-time payment of sales taxes of approximately \$4.7million which resulted from an audit conducted by the Washington State Department of Revenue.
- Total expenses showed an decrease from 2010 to 2011 of \$7,294,817.
  - This decrease was primarily attributable to the completion of a significant capital project in 2010, the "36<sup>th</sup> Street Bridge". This analysis (a comparison of the 2010 and 2011 expenditure patterns) is complicated by the implementation of GASB Statement 54. Many expenditures formerly classified as capital improvements have been reclassified as major maintenance and included in the city's General Fund.

The graph that follows compares program revenues to program expenses from the Statement of Activities and illustrates the revenues by source separately for the governmental activities for 2011.

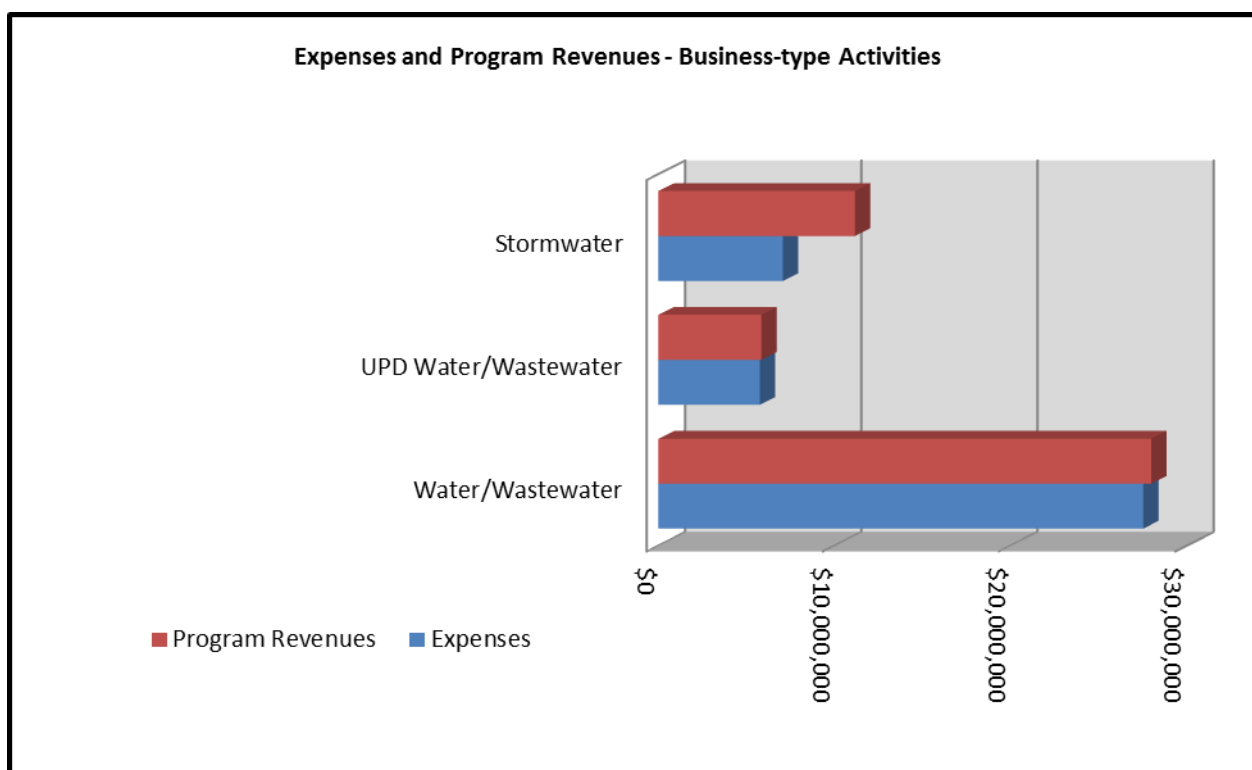


Business-type activities of the City's utilities increased the City of Redmond's net assets by \$11,841,697 (3.99%). Business-type activities accounts for 47% of the City's net assets.

Key elements of this increase are as follows:

- The investments in capital assets increased \$12,757,579 or 5.03% between 2010 and 2011.
- The Water/Wastewater utility showed another modest operating income of \$457,835 in 2011 (compared to \$700,097 in 2010) while the UPD Water/Wastewater utilities showed an operating income of \$97,988. When non-operating income and capital contributions are included, the change in net assets is \$3,380,978 for the Water/Wastewater utility and \$1,651,928 for the UPD Water/Wastewater utility.
- The City is planning a significant stormwater project that will place a central line that will include filtration that will discharge to a pond. This project is tied to the acquisition of a rail corridor which was finalized in 2010. Construction on this project commenced in 2012. The total operating revenue for 2011 was \$11,154,082 with operating expenses of \$7,061,279 for a net operating income of \$4,092,803.

The graph that follows compares program revenues to program expenses from the Statement of Activities and illustrates the revenues by source separately for the business-type activities for 2010.



## City of Redmond's Capital Assets (net of depreciation)

The City continued its commitment to investment in capital assets in 2011 as reflected in the following table. The increase from 2010 to 2011 was \$26,839,985 or 4.62% from 2010.

Governmental activities increased \$14,082,408 (4.30%) partially made up of:

- Purchase of the land for the new downtown park.
- Investment in transportation systems (roadways, sidewalks, etc.)

Business-Type Activities reflected an increase of \$12,757,577 (5.03%) partially made up of:

- Purchase of land for use for stormwater trunk and other easements.
- Investments in utility systems such as pump stations and emergency power generation.

|                                   | Governmental Activities |                       | Business-Type Activities |                       | Total                 |                       |
|-----------------------------------|-------------------------|-----------------------|--------------------------|-----------------------|-----------------------|-----------------------|
|                                   | 2011                    | 2010                  | 2011                     | 2010                  | 2011                  | 2010                  |
| Land                              | \$ 85,065,414           | \$ 84,663,262         | \$ 12,453,045            | \$ 10,842,585         | \$ 97,518,459         | \$ 95,505,847         |
| Buildings/ Bldg. Improvements     | 53,339,082              | 54,775,941            | 32,502,952               | 30,919,400            | 85,842,034            | 85,695,341            |
| Improvements other than buildings | 19,308,280              | 19,149,351            | 209,225,171              | 200,775,408           | 228,533,451           | 219,924,759           |
| Machinery and equipment           | 12,491,423              | 13,273,005            | 173,627                  | 242,977               | 12,665,050            | 13,515,982            |
| Construction in progress          | 16,951,480              | 11,587,945            | 12,112,386               | 10,929,234            | 29,063,866            | 22,517,179            |
| Infrastructure                    | 153,765,346             | 143,405,331           | -                        | -                     | 153,765,346           | 143,405,331           |
| Art                               | 344,583                 | 328,365               | -                        | -                     | 344,583               | 328,365               |
| Total                             | <u>\$ 341,265,608</u>   | <u>\$ 327,183,200</u> | <u>\$ 266,467,181</u>    | <u>\$ 253,709,604</u> | <u>\$ 607,732,789</u> | <u>\$ 580,892,804</u> |

Additional information on the City of Redmond's capital assets can be found in note 7 of this report.

## Long-term debt

At the end of 2011, the City of Redmond had total bonded debt outstanding of \$82,255,000. Of this amount, \$72,270,000 is general obligation bonds (City Hall, Bear Creek Parkway, Parks and 1994 Refunding Bonds); and \$9,985,000 is revenue bonded debt for the water/wastewater utility.

|                                                            | Governmental Activities |                     | Business-Type Activities |                     | Total               |                     |
|------------------------------------------------------------|-------------------------|---------------------|--------------------------|---------------------|---------------------|---------------------|
|                                                            | 2011                    | 2010                | 2011                     | 2010                | 2011                | 2010                |
| General obligation bonds                                   | \$72,270,000            | \$67,540,000        | \$ -                     | \$ -                | \$72,270,000        | \$67,540,000        |
| Special assessment debt<br>with governmental<br>commitment | -                       | -                   | -                        | -                   | -                   | -                   |
| Revenue bonds                                              | -                       | -                   | 9,985,000                | 10,600,000          | 9,985,000           | 10,600,000          |
| Total                                                      | <u>\$72,270,000</u>     | <u>\$67,540,000</u> | <u>\$9,985,000</u>       | <u>\$10,600,000</u> | <u>\$82,255,000</u> | <u>\$78,140,000</u> |

The increase in Governmental Activity long-term debt reflects the 2011 sale of bonds to finance acquisition of property for the new park in the downtown.

For further details related to the outstanding debt please refer to note 12 in the document.

## Requests for Information

This financial report is designed to provide a general overview of the City of Redmond's finances for readers with an interest in the government's finances. Questions concerning any of the information provided in this report, or requests for additional information, may be addressed to the Director of Finance & Information Services, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

CITY OF REDMOND  
STATEMENT OF NET ASSETS  
DECEMBER 31, 2011

|                                                         | Governmental<br>Activities | Business-Type<br>Activities | Total                 |
|---------------------------------------------------------|----------------------------|-----------------------------|-----------------------|
| <b>ASSETS</b>                                           |                            |                             |                       |
| Cash and cash equivalents                               | \$ 34,611,488              | \$ 5,797,369                | \$ 40,408,857         |
| Cash with outside agencies                              | 10,000                     | -                           | 10,000                |
| Investments (Note 4)                                    | 56,935,198                 | 41,919,682                  | 98,854,880            |
| Receivables:                                            |                            |                             |                       |
| Taxes                                                   | 5,613,612                  | -                           | 5,613,612             |
| Accounts                                                | 108,272                    | 3,731,258                   | 3,839,530             |
| Interest                                                | 419,133                    | 187,556                     | 606,689               |
| Due from other governments                              | 1,088,316                  | 816,862                     | 1,905,178             |
| Inventory                                               | 50,414                     | 48,403                      | 98,817                |
| Deferred charges                                        | 176,611                    | 221,270                     | 397,881               |
| Prepaid insurance                                       | 561,869                    |                             | 561,869               |
| Prepaid rent                                            | 104,166                    |                             | 104,166               |
| Restricted assets:                                      |                            |                             |                       |
| Deposit cash                                            | -                          | 432,383                     | 432,383               |
| Deposit investments                                     | 3,081,336                  | -                           | 3,081,336             |
| Cash                                                    | 762,246                    | -                           | 762,246               |
| Revenue bond redemption investments                     | -                          | 1,175,500                   | 1,175,500             |
| Rate stabilization fund                                 | -                          | 1,045,000                   | 1,045,000             |
| Capital assets (Note 7):                                |                            |                             |                       |
| Land, artwork, construction in progress                 | 102,361,478                | 24,565,431                  | 126,926,909           |
| Depreciable capital assets, net                         | 238,904,130                | 241,901,750                 | 480,805,880           |
| Total assets                                            | <u>444,788,269</u>         | <u>321,842,464</u>          | <u>766,630,733</u>    |
| <b>LIABILITIES</b>                                      |                            |                             |                       |
| Accounts/claims                                         | 6,874,495                  | 1,561,557                   | 8,436,052             |
| Employee wages                                          | 1,258,754                  | 144,751                     | 1,403,505             |
| Interest                                                | 145,272                    | 38,724                      | 183,996               |
| Due to other governments                                | 166,730                    | -                           | 166,730               |
| Unearned revenues                                       | 865,371                    | -                           | 865,371               |
| Customer deposits                                       | 3,119,575                  | 432,383                     | 3,551,958             |
| Noncurrent liabilities (Note 12):                       |                            |                             |                       |
| Due within one year                                     | 6,661,376                  | 1,089,878                   | 7,751,254             |
| Due in more than one year                               | 73,828,458                 | 9,744,850                   | 83,573,308            |
| Total liabilities                                       | <u>92,920,031</u>          | <u>13,012,143</u>           | <u>105,932,174</u>    |
| <b>NET ASSETS</b>                                       |                            |                             |                       |
| Invested in capital assets net of related debt (Note 7) | 268,309,610                | 256,194,801                 | 524,504,411           |
| Restricted for:                                         |                            |                             |                       |
| Advance life support                                    | 149,098                    | -                           | 149,098               |
| Cable access                                            | 1,242,452                  | -                           | 1,242,452             |
| Parks                                                   | 380,260                    | -                           | 380,260               |
| Police                                                  | 3,540,897                  | -                           | 3,540,897             |
| Fire                                                    | 2,655,725                  | -                           | 2,655,725             |
| Debt service                                            | 1,754,636                  | 1,175,500                   | 2,930,136             |
| Capital projects                                        | 18,565,237                 | -                           | 18,565,237            |
| Tourism                                                 | 358,232                    | -                           | 358,232               |
| Planning-Transportation                                 | 2,117,048                  | -                           | 2,117,048             |
| Rate stabilization fund                                 | -                          | 1,045,000                   | 1,045,000             |
| Unrestricted                                            | 52,795,043                 | 50,415,020                  | 103,210,063           |
| Total Net Assets                                        | <u>\$ 351,868,238</u>      | <u>\$ 308,830,321</u>       | <u>\$ 660,698,559</u> |

See accompanying notes to the financial statements.

**STATEMENT OF ACTIVITIES**  
For the Year Ended December 31, 2011

| Function/Program                 | Program Revenues |                         |                                          | Net (Expense) Revenue and<br>Changes in Net Assets |                            |                             |       |           |    |              |    |             |    |              |
|----------------------------------|------------------|-------------------------|------------------------------------------|----------------------------------------------------|----------------------------|-----------------------------|-------|-----------|----|--------------|----|-------------|----|--------------|
|                                  | Expenses         | Charges for<br>Services | Operating<br>Grants and<br>Contributions | Capital<br>Grants and<br>Contributions             | Governmental<br>Activities | Business-Type<br>Activities | Total |           |    |              |    |             |    |              |
| Governmental activities:         |                  |                         |                                          |                                                    |                            |                             |       |           |    |              |    |             |    |              |
| General government               | \$               | 24,253,118              | \$                                       | 8,639,783                                          | \$                         | 107,651                     | \$    | 204,221   | \$ | (15,301,463) | \$ | -           | \$ | (15,301,463) |
| Security                         |                  | 28,750,670              |                                          | 15,825,078                                         |                            | 503,453                     |       | -         |    | (12,422,139) |    | -           |    | (12,422,139) |
| Physical environment             |                  | 5,976,328               |                                          | -                                                  |                            | 31,914                      |       | 97,363    |    | (5,847,051)  |    | -           |    | (5,847,051)  |
| Economic environment             |                  | 6,218,376               |                                          | 3,490,591                                          |                            | -                           |       | 23,016    |    | (2,704,769)  |    | -           |    | (2,704,769)  |
| Transportation                   |                  | 14,817,903              |                                          | 2,970,941                                          |                            | 83,198                      |       | 2,171,265 |    | (9,592,499)  |    | -           |    | (9,592,499)  |
| Mental/physical health           |                  | 889,741                 |                                          | 5,045                                              |                            | -                           |       | -         |    | (884,696)    |    | -           |    | (884,696)    |
| Culture and recreation           |                  | 15,190,646              |                                          | 3,351,171                                          |                            | 34,000                      |       | 17,075    |    | (11,788,400) |    | -           |    | (11,788,400) |
| Interest on long-term debt       |                  | 3,506,188               |                                          | -                                                  |                            | -                           |       | -         |    | (3,506,188)  |    | -           |    | (3,506,188)  |
| Total governmental activities    |                  | 99,602,970              |                                          | 34,282,609                                         |                            | 760,216                     |       | 2,512,940 |    | (62,047,205) |    | -           |    | (62,047,205) |
| Business-type activities         |                  |                         |                                          |                                                    |                            |                             |       |           |    |              |    |             |    |              |
| Water/Wastewater                 |                  | 27,519,397              |                                          | 27,977,232                                         |                            | 16,394                      |       | 3,170,605 |    | -            |    | 3,644,834   |    | 3,644,834    |
| UPD Water/Wastewater             |                  | 5,751,935               |                                          | 5,849,918                                          |                            | -                           |       | 1,395,025 |    | -            |    | 1,493,008   |    | 1,493,008    |
| Stormwater                       |                  | 7,061,279               |                                          | 11,154,082                                         |                            | 582,882                     |       | 1,837,257 |    | -            |    | 6,512,941   |    | 6,512,941    |
| Total business-type activities   |                  | 40,332,611              |                                          | 44,981,232                                         |                            | 599,276                     |       | 6,402,887 |    | -            |    | 11,650,784  |    | 11,650,784   |
| Total government                 | \$               | 139,935,581             | \$                                       | 79,263,841                                         | \$                         | 1,359,492                   | \$    | 8,915,827 |    | (62,047,205) |    | 11,650,784  |    | (50,396,420) |
| General revenues                 |                  |                         |                                          |                                                    |                            |                             |       |           |    |              |    |             |    |              |
| Taxes                            |                  |                         |                                          |                                                    |                            |                             |       |           |    |              |    |             |    |              |
| Property                         |                  |                         |                                          |                                                    |                            |                             |       |           |    | 21,977,613   |    | -           |    | 21,977,613   |
| Sales                            |                  |                         |                                          |                                                    |                            |                             |       |           |    | 24,895,152   |    | -           |    | 24,895,152   |
| Business and Occupation          |                  |                         |                                          |                                                    |                            |                             |       |           |    | 16,523,314   |    | -           |    | 16,523,314   |
| Excise                           |                  |                         |                                          |                                                    |                            |                             |       |           |    | 2,815,185    |    | -           |    | 2,815,185    |
| Liquor                           |                  |                         |                                          |                                                    |                            |                             |       |           |    | -            |    | -           |    | -            |
| Unrestricted investment interest |                  |                         |                                          |                                                    |                            |                             |       |           |    | 937,288      |    | 519,056     |    | 1,456,344    |
| Miscellaneous                    |                  |                         |                                          |                                                    |                            |                             |       |           |    | 2,063,183    |    | 142,663     |    | 2,205,846    |
| Investment interest expense      |                  |                         |                                          |                                                    |                            |                             |       |           |    | -            |    | (470,811)   |    | (470,811)    |
| Gain on sale of capital assets   |                  |                         |                                          |                                                    |                            |                             |       |           |    | 88,118       |    |             |    | 88,118       |
| Total general revenues           |                  |                         |                                          |                                                    |                            |                             |       |           |    | 69,299,853   |    | 190,908     |    | 69,490,765   |
| Change in net assets             |                  |                         |                                          |                                                    |                            |                             |       |           |    | 7,252,648    |    | 11,841,692  |    | 19,094,345   |
| Net assets-beginning             |                  |                         |                                          |                                                    |                            |                             |       |           |    | 344,615,590  |    | 296,988,629 |    | 641,604,214  |
| Net assets-ending                |                  |                         |                                          |                                                    |                            |                             |       |           | \$ | 351,868,238  | \$ | 308,830,321 | \$ | 660,698,559  |

See accompanying notes to the financial statements.

CITY OF REDMOND  
BALANCE SHEET  
GOVERNMENTAL FUNDS  
DECEMBER 31, 2011

|                                      | General<br>Fund      | Capital<br>Improvements<br>Program<br>Fund | Other<br>Governmental<br>Funds | Governmental<br>Funds<br>Total |
|--------------------------------------|----------------------|--------------------------------------------|--------------------------------|--------------------------------|
| <b>ASSETS</b>                        |                      |                                            |                                |                                |
| Cash and cash equivalents            | \$ 5,127,461         | \$ 22,756,178                              | \$ 3,081,620                   | \$ 30,965,259                  |
| Cash with outside agency             | -                    | -                                          | 10,000                         | 10,000                         |
| Investments                          | 27,956,934           | 14,048,703                                 | 4,927,383                      | 46,933,020                     |
| Receivables:                         |                      |                                            |                                | -                              |
| Taxes                                | 5,355,689            | -                                          | 257,923                        | 5,613,612                      |
| Accounts                             | 99,555               | 8,717                                      | -                              | 108,272                        |
| Interest                             | 201,770              | 92,568                                     | 15,216                         | 309,554                        |
| Due from other funds                 | -                    | -                                          | -                              | -                              |
| Due from other governments           | 486,835              | 453,728                                    | 147,753                        | 1,088,316                      |
| Prepayments                          | -                    | 104,166                                    | -                              | 104,166                        |
| Restricted assets:                   |                      |                                            |                                |                                |
| Deposit cash                         | -                    | -                                          | -                              | -                              |
| Deposit investments                  | 3,081,336            | -                                          | -                              | 3,081,336                      |
| Cash                                 | -                    | -                                          | -                              | -                              |
| Deferred charges                     | -                    | -                                          | -                              | -                              |
| Total Assets                         | <u>\$ 42,309,580</u> | <u>\$ 37,464,060</u>                       | <u>\$ 8,439,895</u>            | <u>\$ 88,213,535</u>           |
| <b>LIABILITIES AND FUND BALANCES</b> |                      |                                            |                                |                                |
| <b>Liabilities:</b>                  |                      |                                            |                                |                                |
| Accounts/claims payable              | \$ 3,458,643         | \$ 1,725,748                               | \$ 274,234                     | \$ 5,458,625                   |
| Employee wages payable               | 1,127,238            | 14,516                                     | 70,641                         | 1,212,395                      |
| Due to other funds                   | -                    | -                                          | -                              | -                              |
| Due to other governments             | 166,730              | -                                          | -                              | 166,730                        |
| Payable from restricted assets:      |                      |                                            |                                |                                |
| Deposits payable                     | 3,081,336            | 28,688                                     | 9,551                          | 3,119,575                      |
| Deferred revenues                    | 540,945              | -                                          | -                              | 540,945                        |
| Unclaimed property                   | 1,333                | -                                          | -                              | 1,333                          |
| Total liabilities                    | <u>8,376,225</u>     | <u>1,768,952</u>                           | <u>354,426</u>                 | <u>10,499,603</u>              |
| <b>Fund balances: (Note 1)</b>       |                      |                                            |                                |                                |
| Non-spendable                        | -                    | -                                          | -                              | -                              |
| Spendable:                           |                      |                                            |                                |                                |
| Restricted                           | 6,139,163            | 17,573,422                                 | 7,051,001                      | 30,763,586                     |
| Committed                            | 16,688,711           | 18,121,686                                 | 1,034,468                      | 35,844,865                     |
| Assigned                             | -                    | -                                          | -                              | -                              |
| Unassigned                           | 11,105,481           | -                                          | -                              | 11,105,481                     |
| Total fund balances                  | <u>33,933,355</u>    | <u>35,695,108</u>                          | <u>8,085,469</u>               | <u>77,713,932</u>              |
| Total liabilities and fund balances  | <u>\$ 42,309,580</u> | <u>\$ 37,464,060</u>                       | <u>\$ 8,439,895</u>            |                                |

Amounts reported for governmental activities in the statement of net assets are different because:

Capital assets used in governmental activities are not financial resources  
and therefore not reported in the funds. 335,605,818

Other long-term assets are not available to pay for current-period  
expenditures and therefore are deferred in the funds. (Note 3) 244,524

Internal service funds are used by management to charge the costs of certain activities, such as  
insurance, information services, and fleet maintenance, to individual funds. The assets and  
liabilities of these internal service funds are included in governmental activities in the  
statement of net assets. 18,700,303

Some liabilities, including bonds, loans, and compensated absences payable, are not due  
and payable in the current period and therefore are not reported in the funds. (Note 3) (80,396,339)

Net assets of governmental activities \$ 351,868,238

See accompanying notes to the financial statements.

CITY OF REDMOND  
STATEMENT OF REVENUES, EXPENDITURES  
AND CHANGES IN FUND BALANCES  
GOVERNMENTAL FUNDS  
FOR THE YEAR ENDED DECEMBER 31, 2011

|                                                              | General<br>Fund      | Capital<br>Improvements<br>Program<br>Fund | Other<br>Governmental<br>Funds | Total<br>Governmental<br>Funds |
|--------------------------------------------------------------|----------------------|--------------------------------------------|--------------------------------|--------------------------------|
| REVENUES                                                     |                      |                                            |                                |                                |
| Taxes                                                        | \$ 61,705,416        | \$ 1,119,800                               | \$ 3,386,053                   | \$ 66,211,269                  |
| Licenses and permits                                         | 6,510,382            | -                                          | -                              | 6,510,382                      |
| Contributions from property owners                           | 153,257              | 10,000                                     | 106,393                        | 269,650                        |
| Intergovernmental                                            | 10,434,725           | 2,380,941                                  | 5,588,264                      | 18,403,930                     |
| Charges for services                                         | 4,344,218            | 3,064,948                                  | 2,450,804                      | 9,859,970                      |
| Fines and forfeitures                                        | 2,200,648            | -                                          | 3,218                          | 2,203,866                      |
| Investment income                                            | 354,900              | 435,613                                    | 65,100                         | 855,613                        |
| Miscellaneous                                                | 365,402              | 296,730                                    | 310,581                        | 972,713                        |
| Total Revenues                                               | <u>86,068,948</u>    | <u>7,308,032</u>                           | <u>11,910,413</u>              | <u>105,287,393</u>             |
| EXPENDITURES                                                 |                      |                                            |                                |                                |
| Current                                                      |                      |                                            |                                |                                |
| General government                                           | 12,885,060           | -                                          | 58,224                         | 12,943,284                     |
| Security of persons and property                             | 36,656,597           | -                                          | 5,534,496                      | 42,191,093                     |
| Physical environment                                         | 3,786,636            | -                                          | 618,580                        | 4,405,216                      |
| Transportation                                               | 7,097,926            | -                                          | 1,101,666                      | 8,199,592                      |
| Economic environment                                         | 4,743,190            | -                                          | 120,356                        | 4,863,546                      |
| Mental/physical health                                       | 889,741              | -                                          | -                              | 889,741                        |
| Culture and recreation                                       | 8,483,736            | -                                          | 2,158,584                      | 10,642,320                     |
| Capital outlay                                               | 964,140              | 23,342,490                                 | 284,627                        | 24,591,257                     |
| Debt service:                                                |                      |                                            |                                |                                |
| Principal                                                    | -                    | 1,409,431                                  | 2,175,000                      | 3,584,431                      |
| Interest and debt issue costs                                | -                    | 1,845,448                                  | 1,729,086                      | 3,574,534                      |
| Total Expenditures                                           | <u>75,507,026</u>    | <u>26,597,369</u>                          | <u>13,780,619</u>              | <u>115,885,014</u>             |
| Excess (deficiency) of revenues<br>over (under) expenditures | <u>10,561,922</u>    | <u>(19,289,337)</u>                        | <u>(1,870,206)</u>             | <u>(10,597,621)</u>            |
| OTHER FINANCING SOURCES (USES)                               |                      |                                            |                                |                                |
| Bond proceeds                                                | -                    | -                                          | 8,035,000                      | 8,035,000                      |
| Premium on bond issuance                                     | -                    | -                                          | 608,290                        | 608,290                        |
| Insurance proceeds                                           | 2,598                | -                                          | -                              | 2,598                          |
| Disposition of capital assets                                | 7,200                | -                                          | 10,500                         | 17,700                         |
| Transfers in (Note 11)                                       | 6,139,893            | 14,442,126                                 | 4,489,384                      | 25,071,403                     |
| Transfers out (Note 11)                                      | (8,581,965)          | (6,735,034)                                | (9,659,407)                    | (24,976,406)                   |
| Total other financing sources and uses                       | <u>(2,432,274)</u>   | <u>7,707,092</u>                           | <u>3,483,767</u>               | <u>8,758,585</u>               |
| Net change in fund balances                                  | <u>8,129,648</u>     | <u>(11,582,245)</u>                        | <u>1,613,561</u>               | <u>(1,839,036)</u>             |
| Fund balances-beginning                                      | <u>25,803,707</u>    | <u>47,277,353</u>                          | <u>6,471,908</u>               | <u>79,552,968</u>              |
| Fund balances-ending                                         | <u>\$ 33,933,355</u> | <u>\$ 35,695,108</u>                       | <u>\$ 8,085,469</u>            | <u>\$ 77,713,932</u>           |

See accompanying notes to the financial statements.

CITY OF REDMOND  
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES  
IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES  
FOR THE YEAR ENDED DECEMBER 31, 2011

Amounts reported for governmental funds in the statement of activities are different because:

|                                                                                                                                                                                                                                                                                                                                                                     |                            |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| Net change in fund balances-total governmental funds.                                                                                                                                                                                                                                                                                                               | \$ (1,839,036)             |
| Governmental funds report capital outlays as expenditures. However in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays of \$24,591,257 exceeded depreciation of \$9,008,432 and new assets of \$652,942 in the current period. | 16,235,767                 |
| A CIP reduction that does not result in an increase in depreciable assets reflects an increase in expenses on the statement of activities but not in the governmental funds. (Note 7)                                                                                                                                                                               | (1,532,621)                |
| Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds. (Note 3)                                                                                                                                                                                                                         | 283,031                    |
| Receipt of long-term debt proceeds increases the current financial resources of governmental funds and repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction has any effect on net assets. (Note 3)                                                                                      | (5,058,859)                |
| Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance, to individual funds. The net revenue (expense) of certain internal service funds is reported with governmental activities.                                                                                 | (537,766)                  |
| Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds. (Note 3)                                                                                                                                                                          | (297,868)                  |
| Change in net assets of governmental activities.                                                                                                                                                                                                                                                                                                                    | \$ <u><u>7,252,648</u></u> |

See accompanying notes to the financial statements.

CITY OF REDMOND  
STATEMENT OF NET ASSETS  
PROPRIETARY FUNDS  
DECEMBER 31, 2011

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|                                            | Business-type Activities<br>Enterprise Funds |                          |                          |                       | Governmental<br>Activities<br>Internal<br>Service Funds |
|--------------------------------------------|----------------------------------------------|--------------------------|--------------------------|-----------------------|---------------------------------------------------------|
|                                            | Water/<br>Wastewater                         | UPD Water/<br>Wastewater | Stormwater<br>Management | Totals                |                                                         |
| <b>ASSETS</b>                              |                                              |                          |                          |                       |                                                         |
| Current assets:                            |                                              |                          |                          |                       |                                                         |
| Cash and cash equivalents                  | \$ 2,273,200                                 | \$ 994,239               | \$ 2,529,930             | \$ 5,797,369          | \$ 4,408,475                                            |
| Investments                                | 8,983,077                                    | 9,082,582                | 23,854,023               | 41,919,682            | 10,002,178                                              |
| Accounts and contracts receivables         | 2,641,695                                    | 90,065                   | 999,498                  | 3,731,258             | -                                                       |
| Interest receivables                       | 50,682                                       | 38,511                   | 98,363                   | 187,556               | 41,666                                                  |
| Due from other government                  | 16,394                                       | 319,964                  | 480,504                  | 816,862               | -                                                       |
| Inventory                                  | 48,403                                       | -                        | -                        | 48,403                | 50,414                                                  |
| Pre-paid insurance                         | -                                            | -                        | -                        | -                     | 561,869                                                 |
| Restricted assets:                         |                                              |                          |                          |                       |                                                         |
| Customer deposits:                         |                                              |                          |                          |                       |                                                         |
| Cash and cash equivalents                  | 283,255                                      | 132,000                  | 17,128                   | 432,383               | -                                                       |
| Revenue bond redemption:                   |                                              |                          |                          |                       |                                                         |
| Cash                                       | -                                            | -                        | -                        | -                     | -                                                       |
| Investments                                | 1,175,500                                    | -                        | -                        | 1,175,500             | -                                                       |
| Rate stabilization fund:                   |                                              |                          |                          |                       |                                                         |
| Rate stabilization fund                    | 900,000                                      | 145,000                  | -                        | 1,045,000             | -                                                       |
| Total current assets                       | <u>16,372,206</u>                            | <u>10,802,361</u>        | <u>27,979,446</u>        | <u>55,154,013</u>     | <u>15,064,602</u>                                       |
| Noncurrent assets:                         |                                              |                          |                          |                       |                                                         |
| Deferred charges                           | 216,623                                      | 4,647                    | -                        | 221,270               | -                                                       |
| Capital assets:                            |                                              |                          |                          |                       |                                                         |
| Land                                       | 2,901,812                                    | 3,274,106                | 6,268,352                | 12,444,270            | 584,292                                                 |
| Buildings                                  | 25,377,865                                   | 11,031,564               | 738,100                  | 37,147,529            | 619,494                                                 |
| Leasehold improvements                     | -                                            | -                        | -                        | -                     | -                                                       |
| Improvements other than buildings          | 153,605,279                                  | 59,696,200               | 51,743,235               | 265,044,714           | 309,513                                                 |
| Equipment                                  | 200,478                                      | 269,028                  | 236,785                  | 706,291               | 12,495,762                                              |
| Construction in progress                   | 924,557                                      | 65,505                   | 11,122,324               | 12,112,386            | -                                                       |
| Other property                             | 8,775                                        | -                        | -                        | 8,775                 | -                                                       |
| Less accumulated depreciation              | <u>(39,773,750)</u>                          | <u>(10,437,770)</u>      | <u>(10,785,264)</u>      | <u>(60,996,784)</u>   | <u>(8,349,271)</u>                                      |
| Total capital assets (net of depreciation) | <u>143,245,016</u>                           | <u>63,898,633</u>        | <u>59,323,532</u>        | <u>266,467,181</u>    | <u>5,659,790</u>                                        |
| Total noncurrent assets                    | <u>143,461,639</u>                           | <u>63,903,280</u>        | <u>59,323,532</u>        | <u>266,688,451</u>    | <u>5,659,790</u>                                        |
| Total assets                               | <u>\$ 159,833,845</u>                        | <u>\$ 74,705,641</u>     | <u>\$ 87,302,978</u>     | <u>\$ 321,842,464</u> | <u>\$ 20,724,392</u>                                    |

CITY OF REDMOND  
STATEMENT OF NET ASSETS  
PROPRIETARY FUNDS  
DECEMBER 31, 2011

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|                                                        | Business-type Activities<br>Enterprise Funds |                          |                          |                       | Governmental<br>Activities<br>Internal<br>Service Funds |
|--------------------------------------------------------|----------------------------------------------|--------------------------|--------------------------|-----------------------|---------------------------------------------------------|
|                                                        | Water/<br>Wastewater                         | UPD Water/<br>Wastewater | Stormwater<br>Management | Totals                |                                                         |
| <b>LIABILITIES</b>                                     |                                              |                          |                          |                       |                                                         |
| Current liabilities:                                   |                                              |                          |                          |                       |                                                         |
| Accounts payable                                       | \$ 741,869                                   | \$ 87,020                | \$ 732,668               | \$ 1,561,557          | \$ 1,415,870                                            |
| Employee wages payable                                 | 94,253                                       | 692                      | 49,806                   | 144,751               | 46,359                                                  |
| Compensated Absences                                   | 239,104                                      | 2,460                    | 208,314                  | 449,878               | 215,627                                                 |
| Unearned revenues                                      | -                                            | -                        | -                        | -                     | 323,093                                                 |
| Current liabilities payable from<br>restricted assets: |                                              |                          |                          |                       |                                                         |
| Customer deposits payable                              | 283,255                                      | 132,000                  | 17,128                   | 432,383               | -                                                       |
| Current bond principal                                 | 640,000                                      | -                        | -                        | 640,000               | -                                                       |
| Accrued interest payable                               | 38,724                                       | -                        | -                        | 38,724                | -                                                       |
| Total current liabilities                              | <u>2,037,205</u>                             | <u>222,172</u>           | <u>1,007,916</u>         | <u>3,267,293</u>      | <u>2,000,949</u>                                        |
| Noncurrent liabilities:                                |                                              |                          |                          |                       |                                                         |
| Revenue bonds payable, net                             | 9,632,380                                    | -                        | -                        | 9,632,380             | -                                                       |
| LID assessment                                         | -                                            | -                        | -                        | -                     | -                                                       |
| Compensated absences                                   | 59,776                                       | 615                      | 52,079                   | 112,470               | 23,140                                                  |
| Total noncurrent liabilities                           | <u>9,692,156</u>                             | <u>615</u>               | <u>52,079</u>            | <u>9,744,850</u>      | <u>23,140</u>                                           |
| Total liabilities                                      | <u>11,729,361</u>                            | <u>222,787</u>           | <u>1,059,995</u>         | <u>13,012,143</u>     | <u>2,024,089</u>                                        |
| <b>NET ASSETS</b>                                      |                                              |                          |                          |                       |                                                         |
| Invested in capital assets, net<br>of related debt     | 132,972,636                                  | 63,898,633               | 59,323,532               | 256,194,801           | 5,659,790                                               |
| Restricted for debt service                            | 1,175,500                                    | -                        | -                        | 1,175,500             | -                                                       |
| Restricted for rate stabilization                      | 900,000                                      | 145,000                  | -                        | 1,045,000             | -                                                       |
| Unrestricted                                           | 13,056,348                                   | 10,439,221               | 26,919,451               | 50,415,020            | 13,040,513                                              |
| Total net assets                                       | <u>\$ 148,104,484</u>                        | <u>\$ 74,482,854</u>     | <u>\$ 86,242,983</u>     | <u>\$ 308,830,321</u> | <u>\$ 18,700,303</u>                                    |

See accompanying notes to the financial statements.

CITY OF REDMOND  
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET ASSETS  
PROPRIETARY FUNDS  
FOR THE YEAR ENDED DECEMBER 31, 2011

|                                           | Water/<br>Wastewater  | Business-type Activities-<br>Enterprise Funds<br>UPD Water/<br>Wastewater | Stormwater<br>Management | Totals                | Governmental<br>Activities-<br>Internal<br>Service Funds |
|-------------------------------------------|-----------------------|---------------------------------------------------------------------------|--------------------------|-----------------------|----------------------------------------------------------|
| Operating revenues:                       |                       |                                                                           |                          |                       |                                                          |
| Charges for services                      | \$ 16,949,645         | \$ 4,342,207                                                              | \$ 11,154,082            | \$ 32,445,934         | \$ 4,778,004                                             |
| Metro service                             | 11,027,587            | 1,507,711                                                                 | -                        | 12,535,298            | -                                                        |
| Charges for replacement                   | -                     | -                                                                         | -                        | -                     | 2,093,345                                                |
| Charges for insurance                     | -                     | -                                                                         | -                        | -                     | 10,843,904                                               |
| Total operating revenues                  | <u>27,977,232</u>     | <u>5,849,918</u>                                                          | <u>11,154,082</u>        | <u>44,981,232</u>     | <u>17,715,253</u>                                        |
| Operating expenses:                       |                       |                                                                           |                          |                       |                                                          |
| Administrative and general                | 4,504,502             | 494,859                                                                   | 2,634,729                | 7,634,090             | 334,467                                                  |
| Purchased water                           | 4,717,588             | 1,793,026                                                                 | -                        | 6,510,614             | -                                                        |
| Metro service                             | 11,098,387            | 1,462,050                                                                 | -                        | 12,560,437            | -                                                        |
| Supplies                                  | -                     | -                                                                         | -                        | -                     | 257,706                                                  |
| Maintenance and operations                | 3,053,316             | 567,389                                                                   | 3,164,388                | 6,785,093             | 17,576,009                                               |
| Taxes                                     | 574,188               | 134,927                                                                   | 190,648                  | 899,763               | -                                                        |
| Depreciation and amortization             | 3,571,416             | 1,299,684                                                                 | 1,071,514                | 5,942,614             | 1,179,210                                                |
| Total operating expenses                  | <u>27,519,397</u>     | <u>5,751,935</u>                                                          | <u>7,061,279</u>         | <u>40,332,611</u>     | <u>19,347,392</u>                                        |
| Operating income (loss)                   | <u>457,835</u>        | <u>97,983</u>                                                             | <u>4,092,803</u>         | <u>4,648,621</u>      | <u>(1,632,139)</u>                                       |
| Nonoperating revenues (expenses):         |                       |                                                                           |                          |                       |                                                          |
| Interest and investment revenue           | 124,903               | 98,309                                                                    | 295,844                  | 519,056               | 106,608                                                  |
| Grant income                              | 16,394                | -                                                                         | 582,882                  | 599,276               | -                                                        |
| Interest expense                          | (463,122)             | -                                                                         | -                        | (463,122)             | -                                                        |
| Amortization of debt issue costs          | (7,689)               | -                                                                         | -                        | (7,689)               | -                                                        |
| Intergovernmental COBRA tax credit        | -                     | -                                                                         | -                        | -                     | 11,078                                                   |
| Gain on sale of capital assets            | -                     | -                                                                         | -                        | -                     | 110,446                                                  |
| Insurance recovery                        | -                     | -                                                                         | -                        | -                     | 960,538                                                  |
| Miscellaneous                             | 82,052                | 60,611                                                                    | -                        | 142,663               | 700                                                      |
| Total nonoperating revenues (expenses)    | <u>(247,462)</u>      | <u>158,920</u>                                                            | <u>878,726</u>           | <u>790,184</u>        | <u>1,189,370</u>                                         |
| Income before contributions and transfers | <u>210,373</u>        | <u>256,903</u>                                                            | <u>4,971,529</u>         | <u>5,438,805</u>      | <u>(442,769)</u>                                         |
| Capital contributions                     | 3,170,605             | 1,395,025                                                                 | 1,837,257                | 6,402,887             | -                                                        |
| Transfers in                              | -                     | -                                                                         | -                        | -                     | 7,800                                                    |
| Transfers out                             | -                     | -                                                                         | -                        | -                     | (102,797)                                                |
| Change in net assets                      | <u>3,380,978</u>      | <u>1,651,928</u>                                                          | <u>6,808,786</u>         | <u>11,841,692</u>     | <u>(537,766)</u>                                         |
| Total net assets - beginning              | <u>144,723,506</u>    | <u>72,830,926</u>                                                         | <u>79,434,197</u>        | <u>296,988,629</u>    | <u>19,238,069</u>                                        |
| Total net assets - ending                 | <u>\$ 148,104,484</u> | <u>\$ 74,482,854</u>                                                      | <u>\$ 86,242,983</u>     | <u>\$ 308,830,321</u> | <u>\$ 18,700,303</u>                                     |

See accompanying notes to the financial statements.

CITY OF REDMOND  
STATEMENT OF CASH FLOWS  
PROPRIETARY FUNDS  
For the Year Ended December 31, 2011

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|                                                                          | Business-type Activities-<br>Enterprise Funds |                          |                          |                     | Governmental<br>Activities-<br>Internal<br>Service Funds |
|--------------------------------------------------------------------------|-----------------------------------------------|--------------------------|--------------------------|---------------------|----------------------------------------------------------|
|                                                                          | Water/<br>Wastewater                          | UPD Water/<br>Wastewater | Stormwater<br>Management | Totals              |                                                          |
| <b>CASH FLOWS FROM OPERATING ACTIVITIES</b>                              |                                               |                          |                          |                     |                                                          |
| Cash received from customers                                             | \$ 27,985,829                                 | \$ 6,143,260             | \$ 11,398,211            | \$ 45,527,300       | \$ 17,716,122                                            |
| Cash received for replacement                                            | -                                             | -                        | -                        | -                   | -                                                        |
| Cash payments to suppliers                                               | (23,891,335)                                  | (4,610,534)              | (5,734,837)              | (34,236,706)        | (7,614,676)                                              |
| Cash payments to employees                                               | (290,291)                                     | (24,543)                 | (229,593)                | (544,427)           | (10,026,182)                                             |
| Cash payments to other governments                                       | -                                             | -                        | -                        | -                   | -                                                        |
| Internal activity - payments to other funds                              | -                                             | -                        | -                        | -                   | -                                                        |
| Other operating receipts                                                 | 81,752                                        | -                        | 2,884                    | 84,636              | -                                                        |
| Other operating payments                                                 | -                                             | -                        | -                        | -                   | 24,093                                                   |
| Net cash provided (used) by operating activities                         | <u>3,885,955</u>                              | <u>1,508,183</u>         | <u>5,436,665</u>         | <u>10,830,803</u>   | <u>99,357</u>                                            |
| <b>CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES</b>                   |                                               |                          |                          |                     |                                                          |
| Non-Operating transfers out                                              | -                                             | -                        | -                        | -                   | (102,797)                                                |
| Dividends                                                                | -                                             | -                        | -                        | -                   | -                                                        |
| Employee insurance premium contributions                                 | -                                             | -                        | -                        | -                   | -                                                        |
| Grant proceeds                                                           | -                                             | -                        | -                        | -                   | -                                                        |
| Other non-operating revenues (expenses)                                  | -                                             | -                        | -                        | -                   | 948,223                                                  |
| Residual equity transfers out                                            | -                                             | -                        | -                        | -                   | 7,800                                                    |
| Net cash provided by noncapital<br>financing activities                  | <u>-</u>                                      | <u>-</u>                 | <u>-</u>                 | <u>-</u>            | <u>853,226</u>                                           |
| <b>CASH FLOWS FROM CAPITAL AND RELATED<br/>FINANCING ACTIVITIES</b>      |                                               |                          |                          |                     |                                                          |
| Acquisition and construction of capital assets                           | (6,120,482)                                   | (1,455,441)              | (11,123,978)             | (18,699,901)        | (533,465)                                                |
| Acquisition of other assets                                              | -                                             | -                        | -                        | -                   | -                                                        |
| Proceeds from sale of capital assets                                     | -                                             | -                        | -                        | -                   | 110,446                                                  |
| Proceeds from sale of other assets                                       | 82,051                                        | 60,611                   | -                        | 142,662             | -                                                        |
| Capital contributions                                                    | 3,170,606                                     | 1,395,024                | 1,837,256                | 6,402,886           | -                                                        |
| Bond/grant proceeds                                                      | (639,116)                                     | -                        | 582,882                  | (56,234)            | -                                                        |
| Interest paid on revenue bonds                                           | (399,570)                                     | -                        | -                        | (399,570)           | 859,938                                                  |
| Principal paid on other debt                                             | -                                             | -                        | -                        | -                   | -                                                        |
| Interest paid on other debt                                              | -                                             | -                        | -                        | -                   | -                                                        |
| Net cash provided (used) for capital and<br>related financing activities | <u>(3,906,511)</u>                            | <u>194</u>               | <u>(8,703,840)</u>       | <u>(12,610,157)</u> | <u>436,919</u>                                           |
| <b>CASH FLOWS FROM INVESTING ACTIVITIES</b>                              |                                               |                          |                          |                     |                                                          |
| Investment purchases                                                     | -                                             | -                        | -                        | -                   | -                                                        |
| Investment sales/maturities                                              | (894,850)                                     | (1,963,861)              | (471,840)                | (3,330,551)         | (2,894,838)                                              |
| Interest on investments                                                  | 118,902                                       | (225,054)                | 300,661                  | 194,509             | 86,126                                                   |
| Net cash provided (used) in investing activities                         | <u>(775,948)</u>                              | <u>(2,188,915)</u>       | <u>(171,179)</u>         | <u>(3,136,042)</u>  | <u>(2,808,712)</u>                                       |
| Net increase (decrease) in cash and cash equivalents                     | (796,504)                                     | (680,538)                | (3,438,354)              | (4,915,396)         | (1,419,210)                                              |
| Cash and cash equivalents-beginning of year                              | 3,352,959                                     | 1,806,777                | 5,985,412                | 11,145,148          | 5,827,685                                                |
| Cash and cash equivalents-end of year                                    | <u>\$ 2,556,455</u>                           | <u>\$ 1,126,239</u>      | <u>\$ 2,547,058</u>      | <u>\$ 6,229,752</u> | <u>\$ 4,408,475</u>                                      |

CITY OF REDMOND  
STATEMENT OF CASH FLOWS  
PROPRIETARY FUNDS  
For the Year Ended December 31, 2011

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|                                          | Business-type Activities-<br>Enterprise Funds |                          |                          |                     | Governmental<br>Activities-<br>Internal<br>Service Funds |
|------------------------------------------|-----------------------------------------------|--------------------------|--------------------------|---------------------|----------------------------------------------------------|
|                                          | Water/<br>Wastewater                          | UPD Water/<br>Wastewater | Stormwater<br>Management | Totals              |                                                          |
| Cash at the end of the year consists of: |                                               |                          |                          |                     |                                                          |
| Operating fund cash                      | \$ 2,273,200                                  | \$ 994,239               | \$ 2,529,930             | \$ 5,797,369        | \$ 4,408,475                                             |
| Bond reserve cash                        | -                                             | -                        | -                        | -                   | -                                                        |
| Customer deposits                        | 283,255                                       | 132,000                  | 17,128                   | 432,383             | -                                                        |
| Total cash at end of year                | <u>\$ 2,556,455</u>                           | <u>\$ 1,126,239</u>      | <u>\$ 2,547,058</u>      | <u>\$ 6,229,752</u> | <u>\$ 4,408,475</u>                                      |

Reconciliation of operating income to net cash provided by operating activities:

|                                                                                         |                     |                     |                     |                      |                  |
|-----------------------------------------------------------------------------------------|---------------------|---------------------|---------------------|----------------------|------------------|
| Operating income (loss)                                                                 | \$ 457,835          | \$ 97,983           | \$ 4,092,803        | \$ 4,648,621         | \$ (1,632,139)   |
| Adjustments to reconcile operating income to net cash provided by operating activities: |                     |                     |                     |                      |                  |
| Depreciation and amortization                                                           | 3,571,416           | 1,299,684           | 1,071,514           | 5,942,614            | 1,179,210        |
| Decrease (increase) in accounts receivable                                              | 8,597               | 293,342             | 244,129             | 546,068              | 869              |
| Decrease (increase) in inventory                                                        | 518                 | -                   | (435,382)           | (434,864)            | 2,066            |
| Decrease (increase) in prepaid expenses                                                 | -                   | -                   | -                   | -                    | 76,681           |
| Decrease (increase) in projects in progress                                             | -                   | -                   | -                   | -                    | -                |
| Decrease (increase) in due from other governments                                       | -                   | -                   | -                   | -                    | -                |
| Increase (decrease) in accounts payable                                                 | (331,380)           | (158,323)           | 358,445             | (131,258)            | 57,122           |
| Increase (decrease) due to other governments                                            | -                   | -                   | -                   | -                    | -                |
| Increase (decrease) in employee wages payable                                           | 15,286              | (25,624)            | 63,216              | 52,878               | 34,858           |
| Increase (decrease) in compensated absences payable                                     | 81,931              | 1,121               | 39,056              | 122,108              | 33,504           |
| Increase (decrease) in customer deposits payable                                        | 81,752              | -                   | 2,884               | 84,636               | -                |
| Increase (decrease) in deferred revenue                                                 | -                   | -                   | -                   | -                    | 347,186          |
| Decrease (increase) in deferred charges                                                 | -                   | -                   | -                   | -                    | -                |
| Net cash provided (used) by operating activities                                        | <u>\$ 3,885,955</u> | <u>\$ 1,508,183</u> | <u>\$ 5,436,665</u> | <u>\$ 10,830,803</u> | <u>\$ 99,357</u> |

Noncash investing, capital and financing activities:

|                                                        |              |              |            |              |       |
|--------------------------------------------------------|--------------|--------------|------------|--------------|-------|
| Developers contributed infrastructure valued at        | \$ 2,413,743 | \$ 1,331,274 | \$ 924,437 | \$ 4,669,454 | \$ -  |
| Other funds of the city transferred vehicles valued at | -            | -            | -          | -            | 7,800 |
| Fair value of investments decreased by                 | (18,805)     | (15,691)     | (40,563)   | (75,059)     | 878   |

See accompanying notes to the financial statements.

CITY OF REDMOND  
STATEMENT OF FIDUCIARY NET ASSETS  
FIDUCIARY FUNDS  
AS OF DECEMBER 31, 2011

|                                    | Firemen's<br>Pension<br>Fund | Agency<br>Funds   |
|------------------------------------|------------------------------|-------------------|
| ASSETS                             |                              |                   |
| Cash and cash equivalents          | \$ 108,340                   | \$ 953,225        |
| Invested in Federal Agency Notes   | 983,480                      |                   |
| Receivables                        |                              |                   |
| Accounts                           |                              | 1,962             |
| Interest                           | 4,940                        |                   |
| Total Assets                       | <u>\$ 1,096,760</u>          | <u>\$ 955,187</u> |
| LIABILITIES                        |                              |                   |
| Accounts payable                   | \$                           | \$ 12,403         |
| Due to other governments           |                              | 3,591             |
| Custodial                          |                              | 356,243           |
| Trust account                      |                              | 582,950           |
| Total Liabilities                  | <u>\$ -</u>                  | <u>\$ 955,187</u> |
| NET ASSETS                         |                              |                   |
| Held in trust for pension benefits | <u>\$ 1,096,760</u>          | <u>\$ -</u>       |

See accompanying notes to the financial statements.

CITY OF REDMOND  
STATEMENT OF CHANGES IN FIDUCIARY NET ASSETS  
FIDUCIARY FUNDS  
FOR THE YEAR ENDED DECEMBER 31, 2011

|                           | Firemen's<br>Pension<br>Fund |
|---------------------------|------------------------------|
| ADDITIONS                 |                              |
| Intergovernmental revenue | \$ 135,412                   |
| Investment interest       | 12,517                       |
| Total additions           | <u>147,929</u>               |
| DEDUCTIONS                |                              |
| Benefit payments          | 18,834                       |
| Administrative expenses   | <u>1,000</u>                 |
| Total deductions          | <u>19,834</u>                |
| Change in net assets      | 128,095                      |
| Net assets-beginning      | 968,665                      |
| Net assets-ending         | \$ <u><u>1,096,760</u></u>   |

See accompanying notes to the financial statements.

## NOTE 1: Summary of Significant Accounting Policies

The City of Redmond was incorporated on December 31, 1912 and operates under the laws of the State of Washington applicable to a Non-Charter Mayor/Council form of government (elected Mayor and City Council composed of seven members). Both Mayor and Council are elected to four-year terms. The City provides general government services including public safety, highways and streets, parks and recreation, planning and zoning, permits and inspection, sanitation, general administrative, and water and wastewater services.

The accounting and reporting policies of the City of Redmond conform to generally accepted accounting principles for governments and are regulated by the Washington State Auditor's Office.

The City's significant accounting policies are described in the following notes. The City's Comprehensive Annual Financial Report is prepared in accordance with Governmental Accounting Standards Board Statements.

### Reporting Entity

The City's Comprehensive Annual Financial Report (CAFR) includes the financial statements for the City of Redmond and its component units, entities for which the City is considered to be financially accountable. The City has two blended component units; the Redmond Public Corporation and Redmond Community Properties. Although legally separate entities blended component units are, in substance, part of the City's operations. (See Note 14 for descriptions.)

### Basic Financial Statements

The City's basic financial statements consist of government-wide statements, including a statement of net assets and a statement of activities, and fund financial statements which provide a more detailed level of financial information.

The government-wide financial statements report information on all of the non-fiduciary activities of the primary government and its component units. For the most part, the effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

### Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund and fiduciary fund financial statements. Revenues are recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are

recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Under the modified accrual basis of accounting, property taxes, sales taxes, utility taxes, franchise taxes, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current period. Grant revenue is recognized for cost reimbursement grants when the expenditure occurs in accordance with GASB Statement 33. When the expenditure is incurred, grant revenue is considered to have been earned and therefore available and recognized as revenue. Entitlement grant revenue is not tied to expenditures and is recognized when the City is entitled to receive it according to the grant agreement. Only the portion of special assessments receivable due within the current fiscal period is considered to be susceptible to accrual as revenue of the current period. All other revenue items are considered to be measurable and available only when cash is received by the government.

## Financial Statement Presentation

The City reports the following major governmental funds:

The General Fund is the general operating fund of the City. It accounts for all financial resources and transactions except those required to be accounted for in another fund.

The Capital Improvements Program Fund accounts for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds.

The City reports the following major proprietary funds:

The Water/Wastewater Fund accounts for the activities of providing water and sewer services to its citizens.

The UPD Water/Wastewater Fund accounts for the activities of providing water and sewer services to an urban planned development outside the City limits. Both of these utilities' operations are self-supported through user charges.

The Stormwater Management Fund accounts for the operation, construction, and maintenance of the City's stormwater management system. The utility's operations are self-supported through fees.

Additionally, the City reports the following fund types:

Internal Service Funds account for fleet maintenance, information technology, and insurance services provided to other departments of the City on a cost reimbursement basis, and for the activities of Redmond Community Properties, a blended component unit of the City.

Agency Funds account for assets held by the City as an agent for private individuals or other governments. Agency funds are custodial in nature (assets equal liabilities) and do not involve the measurement of the results of operations. The City has three Agency Funds: Intergovernmental Custodial, Municipal Employees Benefit Trust, and Contractor's Deposits.

The Pension Trust Fund accounts for the activities of the Firemen's Pension Fund, which accumulates resources for excess pension benefit payments to qualified firefighters.

Special Revenue Funds are used to account for specific revenues that are restricted to or reserved for expenditures for particular purposes.

Debt Service Funds account for the accumulation of resources for and the payment of general obligation and special assessment bonds.

The City does not have any permanent funds.

The City applies all applicable GASB pronouncements as well as the following pronouncements issued on or before November 30, 1989, unless those pronouncements conflict with or contradict GASB pronouncements: Statements and Interpretations of the Financial Accounting Standards Board (FASB), Accounting Principles Board (APB) Opinions, and Accounting Research Bulletins (ARBs) of the Committee on Accounting Procedure. Governments have the option of following subsequent private-sector guidance for their business-type and enterprise funds, subject to this same limitation. The City has elected not to follow subsequent private-sector guidance.

As a general rule the effect of inter-fund activity has been eliminated from the government-wide financial statements. Direct expenses of the functional categories are included in the government-wide statement of activities while indirect expense allocations are eliminated. Indirect expenses are primarily charged to the various functions through the use of internal service funds for fleet maintenance and information technology. Elimination of payments to internal service funds are treated as expense reductions. No other indirect expenses are allocated to the various governmental functions. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility functions and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

The proprietary fund statements distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's utility funds and internal service funds are charges to customers for sales and services, vehicle replacement, and insurance. The City also recognizes as operating revenue the portion of utility connection fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for enterprise funds and internal service funds include the cost of sales and services, administrative expenses, taxes, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

## Budgets and Budgetary Accounting

The City of Redmond budgets its funds in accordance with the Revised Code of Washington (RCW) 35A.34. In compliance with the code, budgets for all funds are established with the exception of the LID Control and the LID Guaranty Debt Service Funds, and Fiduciary funds. Budgets established for proprietary funds are “management budgets” and as such are not required to be reported in this report.

The biennial budget is proposed by the Mayor and adopted by the City Council with legal budgetary control at the fund level for all funds. Expenditures and other financing uses may not exceed budgeted appropriations at these levels. The Mayor may authorize transfers within all funds. The City Council must approve by ordinance any additional appropriations which increase the total at the fund level. Any unexpended appropriation balances lapse at the end of the biennium.

In addition to authorizing the budget, the City Council biennially approves the Capital Improvement Program. This is a six-year plan for capital project expenditures and anticipated revenue sources. Expenditures and revenues for these projects are budgeted in the Capital Projects Funds and Enterprise Funds.

The City prepares all biennial budgets on the modified accrual basis which conforms to generally accepted accounting principles. The CAFR includes budgetary comparisons for the general and capital projects governmental funds with legally adopted budgets.

The budget process and the time limits under which a budget must be developed are established by State law. The City uses a “budgeting for outcomes” format and follows the procedures outlined below in the year preceding the first year of the two-year budget to establish its biennial budget:

- In winter, community meetings are held to affirm or revise the City’s budget priorities. The mayor appoints staff and citizens to teams which interpret these priorities and develop the primary factors that the City should support to pursue the given priority. These factors are used by staff to develop budget offers.
- In spring, the Mayor develops and submits a budget calendar to the City Council for approval.
- In June, the City Clerk publishes notice for the first public hearing. Also around mid-year staff prepares a six-year forecast and reviews this forecast with the City Council at a public meeting.
- Throughout the summer, City staff create budget offers and review revenue and expenditure estimates.
- In October, preliminary budget estimates are made available to the public.
- Sixty days before the ensuing fiscal year, the Mayor files the preliminary budget with the City Clerk’s office.
- During the first two weeks of November, the City Clerk publishes notice of the filing of the preliminary budget and publishes notice of public hearings.
- The City Council holds a series of study sessions to review the preliminary budget to determine if they wish to make any modifications to the Mayor’s recommended programs.
- Public hearings are held prior to the adoption of the budget for the public to comment on recommended programs and to offer ideas for new programs.
- Prior to the beginning of the first calendar year of the biennial budget, the City Council, by a majority of the members present, adopts a final operating budget by ordinance.
- The Final Budget document is printed and distributed after adoption.

## Assets, Liabilities, and Net Assets or Equity

### Cash and Investments

It is the City's policy to invest temporary cash surpluses. These investments are reported on the statement of net assets and the governmental funds balance sheet as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds and investments with original maturities of three months or less. Interest is allocated to each fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, bankers' acceptances, bonds of Washington state and any local government in Washington state which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool (which is a 2a7 pool), and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with GASB 40 (see Note 4).

In accordance with GASB 31, investments in external 2a7-like pools, money market investments, and participating interest-earning investment contracts with remaining maturities of one year or less at the time of purchase are stated at amortized cost. All other investments including the Firemen's Pension Fund are stated at fair value.

### Receivables

The City of Redmond recognizes receivables in its financial statements based on the accounting requirements for that statement. These receivables are as follows:

#### Property Taxes

Uncollected property taxes levied for the current year are reported as receivable at year-end. The City's property tax collections records show that approximately 99% of the property taxes due are collected during the year of levy and delinquent taxes are collected in the next few years. When property taxes become three years delinquent, the County is required by State statute to foreclose on the property. Historically, all taxes have been collected; therefore no allowance for uncollectible taxes is recorded.

#### Sales Taxes

There is a running two-month lag in remittance of sales tax to the City. Sales taxes collected in November and December are not remitted by the State to the City until January and February of the following year and they are reported as receivables at year-end. There is no allowance for uncollectible sales taxes because all sales taxes are required by law to be collected by businesses at the time of sale and remitted to the State.

#### Investment Interest

Interest receivable consists of interest earned on investments at the end of the year, accrued interest on investments purchased between interest dates, and accrued interest and penalties on special assessments receivable. In proprietary funds and the government-wide statement of net assets, investment interest is recorded as receivable, regardless of its payment date. In the governmental fund statements and schedules, investment interest is recorded as receivable if it will be paid to the City within 60 days of year-end.

### Accounts Receivable

Customer accounts receivable consist of amounts owed by private individuals or organizations for goods and services provided. Unbilled services provided to utility customers are estimated at year-end and included in accounts receivable. Uncollectible amounts are considered immaterial and the direct write-off method is used.

### Inter-fund Transactions

Activity between funds that is representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e. the current portion of inter-fund loans) or "advances to/from other funds" (i.e. the non-current portion of inter-fund loans). All other outstanding balances between funds are reported as "due to/from other funds". Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

### Inventories

Inventories are defined as assets which may be held for internal consumption or for resale. The City uses the following policies in valuing and recording inventory items:

In proprietary funds a perpetual inventory is maintained, in which the cost is held in an asset account when inventory items are purchased, and expensed when the item is consumed. The first-in, first-out valuation method, which approximates market, is used to value the inventory. A physical inventory is taken at year-end. No inventory is maintained in governmental funds; however, the internal service fund inventories are included in the "Governmental Activities" on the Statement of Net Assets.

### Restricted Assets

Restricted assets include those monies reserved for customers' deposits, bond reserve monies and impact fees.

### Deferred Charges

Deferred charges in the Water/Wastewater Fund are amortized under guidance provided by FASB 71 and consist of a water comprehensive plan and a sewer comprehensive plan which will be amortized and charged to expense over a five-year period, and the Tolt Pipeline project and the Tolt Meter project with the City of Seattle. Issuance costs for the 2008 revenue bonds are also being amortized. Deferred charges in the governmental activities consist of issuance costs for the two bond offerings in 2008.

### Capital Assets

General capital assets are those assets not specifically related to activities reported in the proprietary funds. These assets generally result from expenditures in the governmental funds. These assets are reported in the governmental activities column of the government-wide statement of net assets but are not reported in the fund financial statements. Capital assets utilized by the proprietary funds are reported both in the business-type activities column of the government-wide statement of net assets and in the respective funds. Capital assets are defined by the City as land and buildings with an original cost of \$50,000 or more each, machinery, equipment, software, vehicles and other improvements with an original cost of \$10,000 or more each and an estimated useful life of more than one year, and all artwork, transportation and utility infrastructure, regardless of their initial cost. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Land, construction in progress, and works of art are not depreciated. Property, plant, and equipment of the City are depreciated using the straight-line method over the following estimated useful lives:

| <u>Asset</u>                      | <u>Years</u> |
|-----------------------------------|--------------|
| Buildings/Building Improvements   | 50           |
| Other improvements                | 15-50        |
| Vehicles                          | 3-15         |
| Machinery and equipment           | 6-20         |
| Utility infrastructure            | 10-100       |
| Streets, paths, trails            | 50           |
| Street lights and traffic signals | 30           |

### Compensated Absences

It is the City's policy to permit employees to accumulate earned but unused vacation, compensatory time in lieu of overtime, and sick leave benefits. Twenty-five percent of unused sick leave is payable at retirement or death. Any outstanding sick leave is lost at resignation; therefore, outstanding sick leave at year-end is not accrued because the payment cannot be deemed probable nor can the amount be reasonably estimated. All vacation and compensatory time is accrued when incurred in the government-wide and proprietary fund financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee resignations and retirements.

### Other Post-Employment Benefits

Lifetime full medical coverage is provided to uniformed Police and Fire personnel who became members of the Law Enforcement Officers and Fire Fighters (LEOFF 1) retirement system prior to October 1, 1977. A liability for the accumulated unfunded actuarially required contribution is reported in the Statement of Net Assets. The actual medical costs are reported as expenditures in the year they are incurred.

### Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net assets. Bond premiums and discounts, as well as issuance costs, are deferred and amortized over the life of the bonds using the straight-line method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are reported as deferred charges and amortized over the term of the related debt.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

### Fund Equity

The City implemented GASB 54 for the fiscal year ending December 31, 2011. This pronouncement changed how the City classifies fund balances to better identify available resources and assess liquidity and financial flexibility. Fund balances are categorized as Nonspendable or Spendable amounts as indicated below.

*Nonspendable Fund Balance:* fund resources that are in a form that either *never* could be spent or in a form that is *temporarily* not spendable. This can include resources that are spendable in form, but are under legal restrictions that temporarily or permanently bar spending.

Spendable amounts are further segregated into categories based on the degree to which the uses of resources are constrained.

*Restricted Fund Balance:* fund resources that are subject to restrictions that are *legally enforceable* by *outside parties*. This includes resources raised through enabling legislation.

*Committed Fund Balance:* fund resources that are legally limited by the *highest level* decision making in the entity. *Formal action* must be taken to impose limitations on the use of these resources, and *equivalent formal action* is required to modify or eliminate those limitations.

*Assigned Fund Balance:* fund resources that are limited by the entity for its intended use. This type of limitation can be imposed by the highest level of decision making within the entity or a designee, but little or no formal action is required to modify or eliminate those limitations.

*Unassigned Fund Balance:* fund resources that are in spendable form and are not restricted, committed or assigned.

The primary flow assumption utilized by the City is:

1. Restricted
2. Committed
3. Assigned
4. Unassigned

However, prior to the commencement of any project, the flow assumption is reviewed to ensure that the proper resources are being used.

The breakdown of what makes up each of fund balance categories from the Governmental Balance Sheet is shown below.

| Restricted For:         |              |
|-------------------------|--------------|
| Planning-transportation | \$ 2,117,048 |
| Advance life support    | 149,098      |
| Capital projects        | 18,565,238   |
| Cable access            | 1,242,452    |
| Parks                   | 380,260      |
| Police                  | 3,540,897    |
| Fire                    | 2,655,725    |
| Tourism                 | 358,232      |
| Debt service            | 1,754,636    |
|                         | <hr/>        |
|                         | \$30,763,586 |
| Committed For:          |              |
| Parks                   | \$2,006,574  |
| Fire                    | 3,378,774    |
| Recycling               | 318,512      |
| Capital projects        | 19,393,753   |
| Human services          | 34,395       |
| Operating reserve       | 6,840,480    |
| Equipment replacement   | 3,872,377    |
|                         | <hr/>        |
|                         | \$35,844,865 |

NOTE 2:  
Stewardship, Compliance and Accountability

During 2011, there have been no material violations of finance-related legal or contractual provisions.

NOTE 3:  
Reconciliation of Government-Wide and Fund Financial  
Statements

**Explanation of aggregated differences between the governmental fund balance sheet and the government-wide statement of net assets**

The governmental fund balance sheet includes reconciliation between total fund balance and total net assets as reported in the government-wide statement of net assets. The details of the aggregated differences are presented below.

Other long-term assets are not available to pay for current-period expenditures and therefore are deferred in the funds:

|                                                                    |                   |
|--------------------------------------------------------------------|-------------------|
| Investment interest accrued beyond the City's 60 day measurable    | \$ 67,913         |
| Deferred charge for bond issue costs                               | 176,611           |
| Net adjustment to increase fund balance - total governmental funds |                   |
| To arrive at net assets – governmental activities                  | <u>\$ 244,524</u> |

Some liabilities, including bonds, loans and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds:

|                                                                  |                        |
|------------------------------------------------------------------|------------------------|
| G.O. Bonds payable                                               | \$ (72,270,000)        |
| Unamortized bond premiums                                        | (1,645,293)            |
| Loans payable                                                    | (548,686)              |
| Accrued interest payable                                         | (145,272)              |
| Compensated absences                                             | (3,616,614)            |
| Other post-employment benefits                                   | (2,170,474)            |
| Net adjustment to reduce fund balance - total governmental funds |                        |
| To arrive at net assets – governmental activities                | <u>\$ (80,396,339)</u> |

**Explanation of aggregated differences between the governmental fund statement of revenues, expenditures, and changes in fund balances and the government-wide statement of activities**

The governmental fund statement of revenues, expenditures, and changes in fund balances includes reconciliation between net changes in fund balances – total governmental funds and changes in net assets of governmental activities as reported in the government-wide statement of activities. The details of the aggregated differences are presented below.

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds:

|                                                                                                                                              |    |                |
|----------------------------------------------------------------------------------------------------------------------------------------------|----|----------------|
| Developer/Private asset contributions                                                                                                        | \$ | 307,964        |
| Change in investment interest receivable due beyond the City's<br>60 day measurable and available period                                     |    | (24,933)       |
| Net adjustment to increase net change in fund balances -<br>governmental funds to arrive at change in net assets-<br>governmental activities | \$ | <u>283,031</u> |

Receipt of long-term debt proceeds increases the current financial resources of governmental funds and repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction has any effect on net assets. Also, governmental funds report the effect of issuance costs, premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities:

|                                                                                                                                              |    |                    |
|----------------------------------------------------------------------------------------------------------------------------------------------|----|--------------------|
| Principal repayments:                                                                                                                        |    |                    |
| General obligation bonds                                                                                                                     | \$ | 3,305,000          |
| Public Works Trust Fund Loans repayment                                                                                                      |    | 279,431            |
| Proceeds from long-term debt issuance                                                                                                        |    | (8,035,000)        |
| Premium received                                                                                                                             |    | (608,290)          |
| Net adjustment to decrease net change in fund balances -<br>governmental funds to arrive at change in net assets-<br>governmental activities | \$ | <u>(5,058,859)</u> |

Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds:

|                                                                                                                                              |    |                  |
|----------------------------------------------------------------------------------------------------------------------------------------------|----|------------------|
| Change in accrued interest payable                                                                                                           | \$ | (14,459)         |
| Amortization of debt issue costs                                                                                                             |    | (18,322)         |
| Amortization of debt discounts and premiums                                                                                                  |    | 115,558          |
| Change in compensated absences payable                                                                                                       |    | 18,346           |
| Change in other post-employment benefits payable                                                                                             |    | (358,963)        |
| Loss on sale of capital assets                                                                                                               |    | (40,028)         |
| Net adjustment to decrease net change in fund balances -<br>governmental funds to arrive at change in net assets-<br>governmental activities | \$ | <u>(297,868)</u> |

#### NOTE 4: Cash and Investments

The City of Redmond's deposits and certificates of deposit are entirely covered by federal depository insurance (FDIC) or by collateral held in a multiple financial institution collateral pool administered by the Washington State Public Deposit Protection Commission (WPDPC). The FDIC insures the first \$250,000 of the City's deposits. The deposit balances over \$250,000 are insured by the WPDPC. State statute permits additional amounts to be assessed on a pro rata basis to members of the WPDPC pool in the event the pool's collateral should be insufficient to cover a loss.

As of December 31, 2011 the carrying amount of the City's cash demand deposits with Bank of America (B of A) was \$8,235,995.62 and the in-transit items were \$153,509.72. Seized cash on deposit at B of A awaiting court decisions totaled \$5,655. The carrying amount and bank balance of the City's cash demand deposits at U.S. Bank at December 31, 2011 was \$308,717.96.

\$493,024.21 retained from contractors pending acceptance of City construction projects was held in escrow or savings accounts at various banks. \$872,456 is held by Redmond Community Properties, a blended component unit of the City. Petty cash totaled \$38,500, of which \$34,470 was allocated to various City offices and \$4,030 was unallocated and remains in the City's demand deposit account at Bank of America. \$10,000 is held by the City of Bellevue for use by the Eastside Narcotics Task Force. The City maintains a separate account at B of A for proceeds from the 2011 Parks Limited Tax General Obligation Bond issuance. The money is transferred to the City's primary cash account as funds are spent. The balance at December 31, 2011 was \$5,111,133.

The Local Government Investment Pool (LGIP) is an unrated 2a-7 like pool, as defined by GASB 31. Accordingly, participants' balances in the LGIP are not subject to interest rate risk, as the weighted average maturity of the portfolio will not exceed 60 days. Per GASB 40 guidelines the balances are also not subject to custodial credit risk. The credit risk of the LGIP is limited as most investments are either obligations of the US government, government sponsored enterprises, or insured demand deposit accounts and certificates of deposit. Investments or deposits held by the LGIP are either insured or held by a third-party custody provider in the LGIP's name. The fair value of the City's pool investments is determined by the pool's share price. The City has no regulatory oversight responsibility for the LGIP which is governed by the Washington State Finance Committee and is administered by the State Treasurer. The LGIP is audited annually by the Office of the State Auditor, an independently elected public official. The City includes the LGIP as an investment for internal tracking, but it is disclosed on the financial statements as a cash equivalent.

As of December 31, 2011, the City had the following investments and maturities:

| Investment Type                        | Fair Value  | Less Than 1 Year | 1 to 5 Years |
|----------------------------------------|-------------|------------------|--------------|
| Bankers Acceptances                    | 6,399,460   | 6,399,460        | -            |
| Certificates of Deposit                | 8,252,861   | 8,252,861        | -            |
| Federal Farm Credit Bank               | 4,313,961   | -                | 4,313,961    |
| Federal Home Loan Bank                 | 17,509,915  | -                | 17,509,915   |
| Federal Home Loan Mortgage Corporation | 14,654,516  | -                | 14,654,516   |
| Federal National Mortgage Association  | 24,005,800  | -                | 24,005,800   |
| Local Governmental Bonds               | 30,003,685  | 11,487,453       | 18,516,232   |
| Subtotal                               | 105,140,198 | 26,139,774       | 79,000,424   |
| Local Government Investment Pool       | 27,454,641  | 27,454,641       |              |
| Total                                  | 132,594,839 | 53,594,415       | 79,000,424   |

**Interest Rate Risk.** As a means of limiting its exposure to interest rate risk, the City's policy requires that it diversifies its investments by security type and institution, and limits holdings in any one type of investment with any one issuer. The City coordinates its investment maturities to closely match cash flow needs and restricts the maximum investment term to less than five years from the purchase date.

**Credit Risk.** State law and City policy limit investments to those authorized by State Statute including commercial paper and bonds of the State of Washington and any local government in the State of Washington which have, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency. The City further limits its holdings in commercial paper to 10% of the portfolio and 10% per issuer, and local government bonds to 25% of the portfolio and 10% of issuer. At December 31, 2011 the City held no investments in commercial paper.

Additionally, the City restricts its investment in mutual fund bonds to be used for arbitrage purposes only.

**Concentration of Credit Risk.** The City diversifies its investments by security type and institution. 100% of the City's portfolio may be invested in US Treasury Notes, Bonds or Certificates, US Government Sponsored Corporations, or the State Investment Pool. 50% of the portfolio may be invested in Certificates of Deposit with no more than 10% held by any one issuer and not exceeding 20% of the issuer's net worth. 25% of the portfolio may be invested in Bankers Acceptances (10% per issuer), State of Washington or Local Government Bonds (10% per issuer), and Repurchase Agreements (25% per dealer). 10% of the portfolio may be invested in Commercial Paper and other authorized investments. On December 31, 2011 more than five percent of the City's investments were in the Federal Home Loan Bank, the Federal National Mortgage Association, and the Federal Home Loan Mortgage Corporation.

## NOTE 5: Change in Accounting Practices

The implemented GASB 54 for the year ending December 31, 2011. This implementation required several changes to accounting practices used by the City. These are detailed below.

1. The City has previously reported Fire Equipment Reserves and Fire Donations as one special revenue fund called Fire Equipment. Fire Equipment Reserves are now reported as part of the General Fund to meet the requirements of GASB 54 and the Fire Donations Fund beginning balance has been restated as follows:

|                                          | <u>2011</u>        |
|------------------------------------------|--------------------|
| Fire Equipment Reserves + Fire Donations | \$ 3,866,678       |
| Less Fire Equipment Reserves             | <u>(3,581,616)</u> |
| Fire Donations                           | \$ <u>285,062</u>  |

2. The City has included funds previously reported as separate special revenue funds in the General Fund to meet the requirements of GASB 54. The General Fund beginning balance has been restated to include those beginning balances as follows:

|                                         | <u>2011</u>          |
|-----------------------------------------|----------------------|
| General Fund                            | \$ 4,503,702         |
| Arts Activity                           | 305,685              |
| Parks Maintenance and Operations        | 895,343              |
| Community Events                        | 128,350              |
| Human Services Grants                   | 42,079               |
| Operating Reserves                      | 7,430,505            |
| Fire Levy                               | 1,994,451            |
| Police Levy                             | 2,743,443            |
| Parks Levy                              | 327,286              |
| Capital Equipment                       | 3,570,884            |
| Fire Equipment Reserves                 | 3,581,616            |
| Business License Surcharge              | <u>280,363</u>       |
| General Fund beginning balance restated | \$ <u>25,803,707</u> |

3. For reporting purposes the City has eliminated transfers between components of the General Fund. As a result, total transfers-in and transfers-out are lower than if the City had reported components of the General Fund as special revenue funds as in previous years. In 2011 the City eliminated \$3,237,321 of Intra-General Fund transfers.

| Transfers-out          |                     | Transfers-in               |                     |
|------------------------|---------------------|----------------------------|---------------------|
| Fire Equipment Reserve | \$ 800,000          | General Fund               | \$ 800,000          |
| General Fund           | 664,235             | Human Services Grants      | 664,235             |
| General Fund           | 163,037             | Fire Equipment Reserves    | 163,037             |
| General Fund           | 156,302             | Operating Reserves         | 156,302             |
| General Fund           | 1,000,000           | Capital Equipment          | 1,000,000           |
| General Fund           | 336,500             | Business License Surcharge | 336,500             |
| General Fund           | 117,247             | Arts Activity              | 117,247             |
| Total Transfers-out    | <u>\$ 3,237,321</u> | Total transfers-in         | <u>\$ 3,237,321</u> |

4. The City previously accounted for all phases of the Capital Improvement Plan in CIP funds. To meet GASB 54 requirements, the City moved all maintenance costs to the General Fund. The funds were not created in 2010 so there are no beginning fund balances for 2011. The ending balance of these maintenance funds as of December 31, 2011 is \$2,004,454. This amount is included in the ending fund balance of the General fund instead of the Capital Improvement Program fund as in prior years.

## NOTE 6: Receivables

### Property Taxes

The King County Treasurer acts as an agent to collect property taxes levied in the County for all taxing authorities. Collections are distributed on a daily basis.

| Property Tax Calendar |                                                                                             |
|-----------------------|---------------------------------------------------------------------------------------------|
| January 1             | Taxes are levied and become an enforceable lien against properties.                         |
| February 14           | Tax bills are mailed.                                                                       |
| April 30              | First of two equal installment payments is due.                                             |
| May 31                | Assessed value of property established for next year's levy at 100 percent of market value. |
| October 31            | Second installment is due.                                                                  |

Property taxes are recorded as a receivable when levied, offset by a deferred revenue. During the year, property tax revenues are recognized when cash is received. At year-end, property tax revenues are recognized for December collections to be distributed by the county treasurer in January and February.

Under Washington State law a city may levy property taxes up to \$3.60 per \$1,000 of assessed valuation. The assessed value was \$12,799,709,345 for the City in 2011.

The City of Redmond's maximum property tax levy rate has been reduced from \$3.60 to \$3.10, or \$.50, as a result of annexing to the King County Library District in May, 1990. In addition to the limitation previously noted, the City's levy rate is also subject to the following:

Washington State law in RCW 84.55.010 limits the growth of regular property taxes to one percent per year or IPD, whichever is less, after adjustments for new construction and annexations, unless an increase greater than this limit is approved by the voters. If the assessed valuation increases by more than one percent due to revaluation, the levy rate will be decreased.

The Washington State Constitution limits the total regular property tax levy to a maximum of one percent of assessed valuation or \$10 per \$1,000 of the market value of a property. If the taxes of all districts exceed this amount, each is proportionately reduced until the total is at or below the one percent limit.

Accordingly, the City levied \$1.70 per \$1,000 of assessed value for general governmental services, and an additional \$0.02 per \$1,000 of assessed value for a voter-approved excess tax levy, for a combined total of \$1.72 per \$1,000 of assessed value.

## NOTE 7: Capital Assets

The City had an instance that resulted in a decrease in Construction in Progress without a corresponding increase in another asset. This was related to a bridge over State Route 520. This multi-year project was accounted for in the CIP section of the City's financial statements and expensed in 2010 at substantial completion as this asset was transferred to the State of Washington as required for all bridges over state-owned roadways. There were some additional charges in 2011 that totaled \$1,532,621.

Capital asset activity for the year ended December 31, 2011 was as follows:

| Primary Government                           | Beginning<br>Balance  | Increases            | Decreases              | Ending<br>Balance     |
|----------------------------------------------|-----------------------|----------------------|------------------------|-----------------------|
| GOVERNMENTAL ACTIVITIES                      |                       |                      |                        |                       |
| Capital Assets, Not Being Depreciated:       |                       |                      |                        |                       |
| Land                                         | \$ 84,663,262         | \$ 402,152           | \$ -                   | \$ 85,065,414         |
| Construction In Progress                     | 11,587,945            | 23,342,487           | (17,978,952)           | 16,951,480            |
| Art                                          | 328,365               | 16,425               | (207)                  | 344,583               |
| Total Capital Assets, Not Being Depreciated  | <u>96,579,572</u>     | <u>23,761,064</u>    | <u>(17,979,159)</u>    | <u>102,361,477</u>    |
| Capital Assets, Being Depreciated:           |                       |                      |                        |                       |
| Buildings/Building Improvements              | 68,333,000            | -                    | -                      | 68,333,000            |
| Improvements Other than Buildings            | 27,452,523            | 1,110,138            | -                      | 28,562,661            |
| Machinery and Equipment                      | 28,239,405            | 2,352,071            | (561,828)              | 30,029,648            |
| Infrastructure                               | <u>213,138,111</u>    | <u>15,065,756</u>    | <u>-</u>               | <u>228,203,867</u>    |
| Total Capital Assets, Being Depreciated      | <u>337,163,039</u>    | <u>18,527,965</u>    | <u>(561,828)</u>       | <u>355,129,176</u>    |
| Less Accumulated Depreciation for:           |                       |                      |                        |                       |
| Buildings/Building Improvements              | 13,557,059            | 1,436,859            | -                      | 14,993,918            |
| Improvements Other Than Buildings            | 8,303,172             | 951,209              | -                      | 9,254,381             |
| Machinery and Equipment                      | 14,966,400            | 3,093,832            | (522,007)              | 17,538,225            |
| Infrastructure                               | <u>69,732,779</u>     | <u>4,705,742</u>     | <u>-</u>               | <u>74,438,521</u>     |
| Total Accumulated Depreciation               | <u>106,559,410</u>    | <u>10,187,642</u>    | <u>(522,007)</u>       | <u>116,225,045</u>    |
| Total Capital Assets, Being Depreciated, Net | <u>230,603,629</u>    | <u>8,340,323</u>     | <u>(39,821)</u>        | <u>238,904,131</u>    |
| Governmental Activities Capital Assets, Net  | \$ <u>327,183,201</u> | \$ <u>32,101,387</u> | \$ <u>(18,018,980)</u> | \$ <u>341,265,608</u> |

### Government Type Activities

|                                      |                  |
|--------------------------------------|------------------|
| Capital assets not being depreciated | \$ 102,361,477   |
| Capital assets being depreciated     | 355,129,176      |
| Less accumulated depreciation        | (116,225,045)    |
| Less GO bonds                        | (72,270,000)     |
| Less bond premium                    | (1,645,293)      |
| Unspent bond proceeds                | 1,507,977        |
| Less Public Works Trust Fund loans   | <u>(548,686)</u> |

### Governmental Net Assets, invested in

|                                    |                       |
|------------------------------------|-----------------------|
| Capital Assets net of related debt | \$ <u>268,309,606</u> |
|------------------------------------|-----------------------|

|                                              | <u>Beginning<br/>Balance</u> | <u>Increases</u>     | <u>Decreases</u>      | <u>Ending<br/>Balance</u> |
|----------------------------------------------|------------------------------|----------------------|-----------------------|---------------------------|
| <b>BUSINESS-TYPE ACTIVITIES</b>              |                              |                      |                       |                           |
| Capital Assets, Not Being Depreciated:       |                              |                      |                       |                           |
| Land                                         | \$ 10,842,585                | \$ 1,610,460         | \$ -                  | \$ 12,453,045             |
| Construction In Progress                     | <u>10,929,233</u>            | <u>7,361,173</u>     | <u>(6,178,020)</u>    | <u>12,112,386</u>         |
| Total Capital Assets, Not Being Depreciated  | <u>21,771,818</u>            | <u>8,971,633</u>     | <u>(6,178,020)</u>    | <u>24,565,431</u>         |
| Capital Assets, Being Depreciated:           |                              |                      |                       |                           |
| Buildings/Building Improvements              | 34,866,645                   | 2,280,884            | -                     | 37,147,529                |
| Improvements Other Than Buildings            | 251,606,448                  | 13,512,282           | (74,016)              | 265,044,714               |
| Machinery and Equipment                      | <u>706,291</u>               | <u>-</u>             | <u>-</u>              | <u>706,291</u>            |
| Total Capital Assets, Being Depreciated      | <u>287,179,384</u>           | <u>15,793,166</u>    | <u>(74,016)</u>       | <u>302,898,534</u>        |
| Less Accumulated Depreciation for:           |                              |                      |                       |                           |
| Buildings/Building Improvements              | 3,947,245                    | 697,333              | -                     | 4,644,578                 |
| Improvements Other Than Buildings            | 50,831,040                   | 5,076,834            | (123,587)             | 55,784,287                |
| Machinery and Equipment                      | <u>463,315</u>               | <u>104,605</u>       | <u>-</u>              | <u>567,920</u>            |
| Total Accumulated Depreciation               | <u>55,241,600</u>            | <u>5,878,772</u>     | <u>(123,587)</u>      | <u>60,996,785</u>         |
| Total Capital Assets, Being Depreciated, Net | <u>231,937,784</u>           | <u>9,914,394</u>     | <u>49,571</u>         | <u>241,901,749</u>        |
| Business-Type Activities Capital Assets, Net | \$ <u>253,709,602</u>        | \$ <u>18,886,027</u> | \$ <u>(6,128,449)</u> | \$ <u>266,467,180</u>     |

#### INVESTED IN CAPITAL ASSETS, NET OF RELATED DEBT

##### Business-Type Activities

|                                      |               |
|--------------------------------------|---------------|
| Capital assets not being depreciated | \$ 24,565,431 |
| Capital assets being depreciated     | 302,898,534   |
| Less accumulated depreciation        | (60,996,785)  |
| Less Revenue bonds                   | (9,985,000)   |
| Less bond premium                    | (287,380)     |
| Unspent bond proceeds                | <u>-</u>      |

##### Business-Type Net Assets, invested in

|                                    |                       |
|------------------------------------|-----------------------|
| Capital Assets net of related debt | \$ <u>256,194,800</u> |
|------------------------------------|-----------------------|

Depreciation expense was charged to functions/programs of the primary government as follows:

The Business-Type Activities also had \$63,842 in amortization expense that is included with depreciation expense in the financial statements.

GOVERNMENTAL ACTIVITIES:

|                                                                         |           |                   |
|-------------------------------------------------------------------------|-----------|-------------------|
| General Government                                                      | \$        | 1,854,311         |
| Security                                                                |           | 1,306,996         |
| Physical Environment                                                    |           | 4,443             |
| Transportation, Including Depreciation of General Infrastructure Assets |           | 5,832,008         |
| Economic Environment                                                    |           | 111,568           |
| Culture and Recreation                                                  |           | 1,078,316         |
| <b>Total Depreciation Expense – Governmental Activities</b>             | <b>\$</b> | <b>10,187,642</b> |

BUSINESS-TYPE ACTIVITIES

|                                                              |           |                  |
|--------------------------------------------------------------|-----------|------------------|
| Water/Wastewater                                             | \$        | 760,884          |
| UPD Water/Wastewater                                         |           | 5,077,125        |
| Stormwater                                                   |           | 104,605          |
| <b>Total Depreciation Expense – Business-type Activities</b> | <b>\$</b> | <b>5,942,614</b> |

## NOTE 8: Pension Plans

Substantially all City full-time and qualifying part-time employees participate in one of the following statewide retirement systems administered by the Washington State Department of Retirement Systems, under cost-sharing multiple-employer public employee defined benefit retirement plans. The Department of Retirement Systems (DRS), a department within the primary government of the State of Washington, issues a publicly available comprehensive annual financial report (CAFR) that includes financial statements and required supplementary information for each plan. The DRS CAFR may be obtained by writing to: Department of Retirement Systems, Communications Unit, P.O. Box 48380, Olympia, WA 98504-8380; or it may be downloaded from the DRS website at [www.drs.wa.gov](http://www.drs.wa.gov). The following disclosures are made pursuant to GASB Statements No. 27, *Accounting for Pensions by State and Local Government Employers* and No. 50, *Pension Disclosures, an Amendment of GASB Statements No. 25 and No. 27*.

### Public Employees' Retirement System (PERS) Plans 1, 2, and 3

#### Plan Description

The Legislature established PERS in 1947. Membership in the system includes: elected officials; state employees; employees of the Supreme, Appeals, and Superior courts (other than judges currently in the Judicial Retirement System); employees of legislative committees; community and technical colleges, college and university employees not participating in higher education retirement programs; judges of district and municipal courts; and employees of local governments. PERS retirement benefit provisions are established in Chapters 41.34 and 41.40 RCW and may be amended only by the State Legislature.

PERS is a cost-sharing multiple-employer retirement system comprised of three separate plans for membership purposes: Plans 1 and 2 are defined benefit plans and Plan 3 is a defined benefit plan with a defined contribution component.

PERS members who joined the system by September 30, 1977 are Plan 1 members. Those who joined on or after October 1, 1977 and by either, February 28, 2002 for state and higher

education employees, or August 31, 2002 for local government employees, are Plan 2 members unless they exercised an option to transfer their membership to Plan 3. PERS members joining the system on or after March 1, 2002 for state and higher education employees, or September 1, 2002 for local government employees have the irrevocable option of choosing membership in either PERS Plan 2 or PERS Plan 3. The option must be exercised within 90 days of employment. An employee is reported in Plan 2 until a choice is made. Employees who fail to choose within 90 days default to PERS Plan 3. Notwithstanding, PERS Plan 2 and Plan 3 members may opt out of plan membership if terminally ill, with less than five years to live.

PERS Plan 1 and Plan 2 defined benefit retirement benefits are financed from a combination of investment earnings and employer and employee contributions.

PERS Plan 1 members are vested after the completion of five years of eligible service. Plan 1 members are eligible for retirement after 30 years of service, or at the age of 60 with five years of service, or at the age of 55 with 25 years of service. The monthly benefit is 2 percent of the average final compensation (AFC) per year of service. (AFC is the monthly average of the 24 consecutive highest-paid service credit months.) The retirement benefit may not exceed 60 percent of AFC. The monthly benefit is subject to a minimum for PERS Plan 1 retirees who have 25 years of service and have been retired 20 years, or who have 20 years of service and have been retired 25 years. Plan 1 members retiring from inactive status prior to the age of 65 may receive actuarially reduced benefits. If a survivor option is chosen, the benefit is further reduced. A cost-of-living allowance (COLA) was granted at age 66 based upon years of service times the COLA amount. This benefit was eliminated by the Legislature, effective July 1, 2011. Plan 1 members may elect to receive an optional COLA that provides an automatic annual adjustment based on the Consumer Price Index. The adjustment is capped at 3 percent annually. To offset the cost of this annual adjustment, the benefit is reduced.

PERS Plan 1 provides duty and non-duty disability benefits. Duty disability retirement benefits for disablement prior to the age of 60 consist of a temporary life annuity payable to the age of 60. The allowance amount is \$350 a month, or two-thirds of the monthly AFC, whichever is less. The benefit is reduced by any workers' compensation benefit and is payable as long as the member remains disabled or until the member attains the age of 60. A member with five years of covered employment is eligible for non-duty disability retirement. Prior to the age of 55, the allowance amount is 2 percent of the AFC for each year of service reduced by 2 percent for each year that the member's age is less than 55. The total benefit is limited to 60 percent of the AFC and is actuarially reduced to reflect the choice of a survivor option. A cost-of-living allowance was granted at age 66 based upon years of service times the COLA amount. This benefit was eliminated by the Legislature, effective July 1, 2011. Plan 1 members may elect to receive an optional COLA that provides an automatic annual adjustment based on the Consumer Price Index. The adjustment is capped at 3 percent annually. To offset the cost of this annual adjustment, the benefit is reduced.

PERS Plan 1 members can receive credit for military service. Members can also purchase up to 24 months of service credit lost because of an on-the-job injury.

PERS Plan 2 members are vested after the completion of five years of eligible service. Plan 2 members are eligible for normal retirement at the age of 65 with five years of service. The monthly benefit is 2 percent of the AFC per year of service. (AFC is the monthly average of the 60 consecutive highest-paid service months.)

PERS Plan 2 members who have at least 20 years of service credit and are 55 years of age or older are eligible for early retirement with a reduced benefit. The benefit is reduced by an early retirement factor (ERF) that varies according to age, for each year before age 65.

PERS Plan 2 members who have 30 or more years of service credit and are at least 55 years old can retire under one of two provisions:

- With a benefit that is reduced by 3 percent for each year before age 65.

- With a benefit that has a smaller (or no) reduction (depending on age) that imposes stricter return-to-work rules.

PERS Plan 2 retirement benefits are also actuarially reduced to reflect the choice, if made, of a survivor option. There is no cap on years of service credit; and a cost-of-living allowance is granted (based on the Consumer Price Index), capped at 3 percent annually.

The surviving spouse or eligible child or children of a PERS Plan 2 member who dies after leaving eligible employment having earned ten years of service credit may request a refund of the member's accumulated contributions.

PERS Plan 3 has a dual benefit structure. Employer contributions finance a defined benefit component and member contributions finance a defined contribution component. The defined benefit portion provides a monthly benefit that is 1 percent of the AFC per year of service. (AFC is the monthly average of the 60 consecutive highest-paid service months.)

Effective June 7, 2006, PERS Plan 3 members are vested in the defined benefit portion of their plan after ten years of service; or after five years of service, if twelve months of that service are earned after age 44; or after five service credit years earned in PERS Plan 2 prior to June 1, 2003. Plan 3 members are immediately vested in the defined contribution portion of their plan.

Vested Plan 3 members are eligible for normal retirement at age 65, or they may retire early with the following conditions and benefits:

- If they have at least ten service credit years and are 55 years old, the benefit is reduced by an ERF that varies with age, for each year before age 65.
- If they have 30 service credit years and are at least 55 years old, they have the choice of a benefit that is reduced by 3 percent for each year before age 65; or a benefit with a smaller (or no) reduction factor (depending on age) that imposes stricter return-to-work rules.

PERS Plan 3 defined benefit retirement benefits are also actuarially reduced to reflect the choice, if made, of a survivor option. There is no cap on years of service credit and Plan 3 provides the same cost-of-living allowance as Plan 2.

PERS Plan 3 defined contribution retirement benefits are solely dependent upon contributions and the results of investment activities.

The defined contribution portion can be distributed in accordance with an option selected by the member, either as a lump sum or pursuant to other options authorized by the Director of the Department of Retirement Systems.

PERS Plan 2 and Plan 3 provide disability benefits. There is no minimum amount of service credit required for eligibility. The Plan 2 monthly benefit amount is 2 percent of the AFC per year of service. For Plan 3, the monthly benefit amount is 1 percent of the AFC per year of service.

These disability benefit amounts are actuarially reduced for each year that the member's age is less than 65, and to reflect the choice of a survivor option. There is no cap on years of service credit, and a cost-of-living allowance is granted (based on the Consumer Price Index) capped at 3 percent annually.

PERS Plan 2 and Plan 3 members may have up to ten years of interruptive military service credit; five years at no cost and five years that may be purchased by paying the required contributions. Effective July 24, 2005, a member who becomes totally incapacitated for continued employment while serving the uniformed services, or a surviving spouse or eligible children, may apply for interruptive military service credit. Additionally, PERS Plan 2 and Plan 3 members can also purchase up to 24 months of service credit lost because of an on-the-job injury.

PERS members may also purchase up to five years of additional service credit once eligible for retirement. This credit can only be purchased at the time of retirement and can be used only to provide the member with a monthly annuity that is paid in addition to the member's retirement benefit.

Beneficiaries of a PERS Plan 2 or Plan 3 member with ten years of service who is killed in the course of employment receive retirement benefits without actuarial reduction, if the member was not at normal retirement age at death. This provision applies to any member killed in the course of employment, on or after June 10, 2004, if found eligible by the Department of Labor and Industries.

A one-time duty-related death benefit is provided to the estate (or duly designated nominee) of a PERS member who dies in the line of service as a result of injuries sustained in the course of employment, or if the death resulted from an occupational disease or infection that arose naturally and proximately out of said member's covered employment, if found eligible by the Department of Labor and Industries.

#### *Judicial Benefit Multiplier*

During January 1, 2007 through December 31, 2007, judicial members of PERS were given the choice to participate in the Judicial Benefit Multiplier Program (JBM) enacted in 2006. Justices and judges in PERS Plan 1 and Plan 2 were able to make a one-time irrevocable election to pay increased contributions that would fund a retirement benefit with a 3.5 percent multiplier. The benefit would be capped at 75 percent of AFC. Judges in PERS Plan 3 could elect a 1.6 percent of pay per year of service benefit, capped at 37.5 percent of AFC.

Members who chose to participate in JBM would: accrue service credit at the higher multiplier beginning with the date of their election; be subject to the benefit cap of 75 percent of AFC, pay higher contributions; stop contributing to the Judicial Retirement Account (JRA); and be given the option to increase the multiplier on past judicial service. Members who did not choose to participate would: continue to accrue service credit at the regular multiplier; continue to participate in JRA, if applicable; never be a participant in the JBM Program; and continue to pay contributions at the regular PERS rate.

Newly elected or appointed justices and judges who chose to become PERS members on or after January 1, 2007, or who had not previously opted into PERS membership, were required to participate in the JBM Program. Members required into the JBM program would: return to prior PERS Plan if membership had previously been established; be mandated into Plan 2 and not have a Plan 3 transfer choice, if a new PERS member; accrue the higher multiplier for all judicial service; not contribute to JRA; and not have the option to increase the multiplier for past judicial service.

There are 1,197 participating employers in PERS. Membership in PERS consisted of the following as of the latest actuarial valuation date for the plans as of June 30, 2010:

|                                                                    |         |
|--------------------------------------------------------------------|---------|
| Retirees and Beneficiaries Receiving Benefits                      | 76,899  |
| Terminated Plan Members Entitled To But Not Yet Receiving Benefits | 28,860  |
| Active Plan Members Vested                                         | 105,521 |
| Active Plan Members Non-vested                                     | 51,005  |
|                                                                    |         |
| Total                                                              | 262,285 |

#### Funding Policy

Each biennium, the state Pension Funding Council adopts PERS Plan 1 employer contribution rates, PERS Plan 2 employer and employee contribution rates, and PERS Plan 3 employer

contribution rates. Employee contribution rates for Plan 1 are established by statute at 6 percent for state agencies and local government unit employees, and at 7.5 percent for state government elected officials. The employer and employee contribution rates for Plan 2 and the employer contribution rate for Plan 3 are developed by the Office of the State Actuary to fully fund Plan 2 and the defined benefit portion of Plan 3. All employers are required to contribute at the level established by the Legislature. Under PERS Plan 3, employer contributions finance the defined benefit portion of the plan and member contributions finance the defined contribution portion. The Plan 3 employee contribution rates range from 5 percent to 15 percent, based on member choice. Two of the options are graduated rates dependent on the employee's age. As a result of the implementation of the Judicial Benefit Multiplier Program in January 2007, a second tier of employer and employee rates was developed to fund, along with investment earnings, the increased retirement benefits of those justices and judges that participate in the program.

The methods used to determine the contribution requirements are established under state statute in accordance with Chapters 41.40 and 41.45 RCW.

The required contribution rates expressed as a percentage of current-year covered payroll, as of December 31, 2011, are as follows:

Members not participating in JBM:

|           | PERS Plan 1 | PERS Plan 2 | PERS Plan 3 |
|-----------|-------------|-------------|-------------|
| Employer* | 7.25%**     | 7.25%**     | 7.25%***    |
| Employee  | 6.00%****   | 4.64%****   | *****       |

\* The employer rates include the employer administrative expense fee currently set at 0.16%.

\*\* The employer rate for state elected officials is 10.80% for Plan 1 and 7.25% for Plan 2 and Plan 3.

\*\*\* Plan 3 defined benefit portion only.

\*\*\*\* The employee rate for state elected officials is 7.50% for Plan 1 and 4.64% for Plan 2.

\*\*\*\*\* Variable from 5.0% minimum to 15.0% maximum based on rate selected by the PERS 3 member.

Members participating in JBM:

|                            | PERS Plan 1 | PERS Plan 2 | PERS Plan 3 |
|----------------------------|-------------|-------------|-------------|
| Employer-State Agency*     | 9.75%       | 9.75%       | 9.75%**     |
| Employer-Local Government* | 7.25%       | 7.25%       | 7.25%**     |
| Employee-State Agency      | 9.76%       | 9.10%       | 7.50%***    |
| Employee-Local Government  | 12.26%      | 11.60%      | 7.50%***    |

\* The employer rates include the employer administrative expense fee currently set at 0.16%.

\*\* Plan 3 defined benefit portion only.

\*\*\*Minimum rate.

Both the City of Redmond and the employees made the required contributions. The City of Redmond's required contributions for the four years ended December 31 were as follows:

|      | PERS Plan 1 | PERS Plan 2  | PERS Plan 3 |
|------|-------------|--------------|-------------|
| 2011 | \$ 69,474   | \$ 1,344,949 | \$ 387,592  |
| 2010 | \$ 73,971   | \$ 1,182,081 | \$ 341,287  |
| 2009 | \$ 82,158   | \$ 1,478,106 | \$ 429,341  |

## Law Enforcement Officers' and Fire Fighters' Retirement System (LEOFF) Plans 1 and 2

### Plan Description

The Legislature established LEOFF in 1970. Membership in the system includes all full-time, fully compensated, local law enforcement commissioned officers, firefighters and, as of July 24, 2005, emergency medical technicians. LEOFF membership is comprised primarily of non-state employees, with Department of Fish and Wildlife enforcement officers, who were first included prospectively effective July 27, 2003, being an exception. LEOFF retirement benefit provisions are established in Chapter 41.26 RCW and may be amended only by the State Legislature.

LEOFF is a cost-sharing multiple-employer retirement system comprised of two separate defined benefit plans. LEOFF members who joined the system by September 30, 1977 are Plan 1 members. Those who joined on or after October 1, 1977 are Plan 2 members.

LEOFF defined benefit retirement benefits are financed from a combination of investment earnings, employer and employee contributions, and a special funding situation in which the state pays through state legislative appropriations.

Effective July 1, 2003, the LEOFF Plan 2 Retirement Board was established by Initiative 790 to provide governance of LEOFF Plan 2. The Board's duties include adopting contribution rates and recommending policy changes to the Legislature for the LEOFF Plan 2 retirement plan.

LEOFF Plan 1 members are vested after the completion of five years of eligible service. Plan 1 members are eligible for retirement with five years of service at the age of 50.

The benefit per year of service calculated as a percent of final average salary (FAS) is as follows:

| Term of Service           | Percent of Final Average Salary |
|---------------------------|---------------------------------|
| 20 or more years          | 2.0%                            |
| 10 but less than 20 years | 1.5%                            |
| 5 but less than 10 years  | 1.0%                            |

The FAS is the basic monthly salary received at the time of retirement, provided a member has held the same position or rank for 12 months preceding the date of retirement. Otherwise, it is the average of the highest consecutive 24 months' salary within the last 10 years of service. A cost-of-living allowance is granted (based on the Consumer Price Index).

LEOFF Plan 1 provides death and disability benefits. Death benefits for survivors of Plan 1 members on active duty consist of the following: (1) If eligible spouse, 50 percent of the FAS, plus 5 percent of FAS for each eligible surviving child, with a limitation on the combined allowances of 60 percent of the FAS; or (2) If no eligible spouse, eligible children receive 30 percent of FAS for the first child plus 10 percent for each additional child, subject to a 60 percent limitation of FAS, divided equally.

A one-time duty-related death benefit is provided to the estate (or duly designated nominee) of a LEOFF Plan 1 member who dies as a result of injuries or illness sustained in the course of employment, if found eligible by the Department of Labor and Industries.

The LEOFF Plan 1 disability allowance is 50 percent of the FAS plus 5 percent for each child up to a maximum of 60 percent. Upon recovery from disability before the age of 50, a member is restored to service with full credit for service while disabled. Upon recovery after the age of 50, the benefit continues as the greater of the member's disability allowance or service retirement allowance.

LEOFF Plan 1 members may purchase up to five years of additional service credit once eligible for retirement. This credit can only be purchased at the time of retirement and can be used only to provide the member with a monthly annuity that is paid in addition to the member's allowance.

LEOFF Plan 2 members are vested after the completion of five years of eligible service. Plan 2 members may retire at the age of 50 with 20 years of service, or at the age of 53 with five years of service, with an allowance of 2 percent of the FAS per year of service. (FAS is based on the highest consecutive 60 months). Plan 2 members who retire prior to the age of 53 receive reduced benefits. Benefits are actuarially reduced for each year that the benefit commences prior to age 53 and to reflect the choice of a survivor option. If the member has at least 20 years of service and is age 50, the reduction is 3 percent for each year prior to age 53. A cost-of-living allowance is granted (based on the Consumer Price Index), capped at 3 percent annually.

LEOFF Plan 2 provides disability benefits. There is no minimum amount of service credit required for eligibility. The Plan 2 allowance amount is 2 percent of the FAS for each year of service. Benefits are actuarially reduced for each year that the member's age is less than 53, unless the disability is duty-related, and to reflect the choice of a survivor option. If the member has at least 20 years of service and is age 50, the reduction is 3 percent for each year prior to age 53. A catastrophic disability benefit equal to 70 percent of their FAS, subject to offsets for workers' compensation and Social Security disability benefits received, is also available to those LEOFF Plan 2 members who are severely disabled in the line of duty and incapable of future substantial gainful employment in any capacity.

Effective June 2010, benefits to LEOFF Plan 2 members who are catastrophically disabled include payment of eligible health care insurance premiums.

Members of LEOFF Plan 2 who leave service because of a line of duty disability are allowed to withdraw 150 percent of accumulated member contributions. This withdrawal benefit is not subject to federal income tax. Alternatively, members of LEOFF Plan 2 who leave service because of a line of duty disability may be eligible to receive a retirement allowance of at least 10 percent of FAS and 2 percent per year of service beyond five years. The first 10 percent of the FAS is not subject to federal income tax.

LEOFF Plan 2 retirees may return to work in an eligible position covered by another retirement system, choose membership in that system and suspend their pension benefits, or not choose membership and continue receiving pension benefits without interruption.

LEOFF Plan 2 members who apply for retirement may purchase up to five years of additional service credit. The cost of this credit is the actuarial equivalent of the resulting increase in the member's benefit.

LEOFF Plan 2 members can receive service credit for military service that interrupts employment. Additionally, LEOFF Plan 2 members who become totally incapacitated for continued employment while servicing in the uniformed services may apply for interruptive military service credit. Should any such member die during this active duty, the member's surviving spouse or eligible child (ren) may request service credit on behalf of the deceased member.

LEOFF Plan 2 members may also purchase up to 24 consecutive months of service credit for each period of temporary duty disability.

Beneficiaries of a LEOFF Plan 2 member who is killed in the course of employment receive retirement benefits without actuarial reduction, if found eligible by the Director of the Department of Labor and Industries.

Benefits to eligible surviving spouses and dependent children of LEOFF Plan 2 members killed in the course of employment include the payment of on-going health care insurance premiums paid to the Washington state Health Care Authority.

A one-time duty-related death benefit is provided to the estate (or duly designated nominee) of a LEOFF Plan 2 member who dies as a result of injuries or illness sustained in the course of employment, if found eligible by the Department of Labor and Industries.

There are 374 participating employers in LEOFF. Membership in LEOFF consisted of the following as of the latest actuarial valuation date for the plans of June 30, 2010:

|                                                                    |               |
|--------------------------------------------------------------------|---------------|
| Retirees and Beneficiaries Receiving Benefits                      | 9,647         |
| Terminated Plan Members Entitled To But Not Yet Receiving Benefits | 782           |
| Active Plan Members Vested                                         | 13,420        |
| Active Plan Members Non-vested                                     | 3,656         |
| <b>Total</b>                                                       | <b>27,505</b> |

#### Funding policy

Starting on July 1, 2000, LEOFF Plan 1 employers and employees contribute zero percent as long as the plan remains fully funded. Employer and employee contribution rates are developed by the Office of the State Actuary to fully fund the plan. LEOFF Plan 2 employers and employees are required to pay at the level adopted by the LEOFF Plan 2 Retirement Board. The Legislature, by means of a special funding arrangement, appropriated money from the state General Fund to supplement the current service liability and fund the prior service costs of LEOFF Plan 2 in accordance with the requirements of the Pension Funding Council and the LEOFF Plan 2 Retirement Board. However, this special funding situation is not mandated by the state constitution and this funding requirement could be returned to the employers by a change of statute.

The required contribution rates expressed as a percentage of current-year covered payroll, as of December 31, 2011, are as follows:

|           | <b>LEOFF Plan 1</b> | <b>LEOFF Plan 2</b> |
|-----------|---------------------|---------------------|
| Employer* | 0.16%               | 5.24%**             |
| Employee  | 0.00%               | 8.46%               |
| State     | N/A                 | 3.38%               |

\*The employer rates include the employer administrative expense fee currently set at 0.16%.

\*\* The employer rate for ports and universities is 8.62%.

Both the City and the employees made the required contributions. The City's required contributions for the years ended December 31 were as follows:

|      | LEOFF Plan 1 | LEOFF Plan 2 |
|------|--------------|--------------|
| 2011 | \$ 604       | \$ 1,192,062 |
| 2010 | \$ 762       | \$ 1,174,424 |
| 2009 | \$ 756       | \$ 1,285,519 |

## Public Safety Employees' Retirement System (PSERS) Plan 2

### Plan Description

The Legislature created PSERS in 2004 and the system became effective July 1, 2006. PSERS Plan 2 membership includes full-time employees of a covered employer on or before July 1, 2006, who met at least one of the PSERS eligibility criteria, and elected membership during the election period of July 1, 2006 to September 30, 2006; and those full-time employees, hired on or after July 1, 2006 by a covered employer, that meet at least one of the PSERS eligibility criteria. PSERS retirement benefit provisions are established in Chapter 41.37 RCW and may be amended only by the State Legislature.

PSERS is a cost-sharing multiple-employer retirement system comprised of a single defined benefit plan, PSERS Plan 2.

PSERS defined benefit retirement benefits are financed from a combination of investment earnings and employer and employee contributions.

A "covered employer" is one that participates in PSERS. Covered employers include the following:

- State of Washington agencies: Department of Corrections, Department of Natural Resources, Gambling Commission, Liquor Control Board, Parks and Recreation Commission, and Washington State Patrol;
- Corrections departments of Washington State counties;
- Corrections departments of Washington State cities except for Seattle, Tacoma and Spokane; and
- Interlocal corrections agencies.

To be eligible for PSERS, an employee must work on a full-time basis and:

- Have completed a certified criminal justice training course with authority to arrest, conduct criminal investigations, enforce the criminal laws of Washington and carry a firearm as part of the job; or
- Have primary responsibility to ensure the custody and security of incarcerated or probationary individuals; or
- Function as a Washington peace officer, as defined in RCW 10.93.020; or
- Have primary responsibility to supervise eligible members who meet the above criteria.

PSERS Plan 2 members are vested after completing five years of eligible service. PSERS Plan 2 members may retire at the age of 65 with five years of service, or at the age of 60 with at least 10 years of PSERS service credit, with an allowance of 2 percent of the average final compensation (AFC) per year of service. The AFC is the monthly average of the member's 60 consecutive highest-paid service credit months, excluding any severance pay such as lump-sum payments for deferred sick leave, vacation or annual leave. Plan 2 members who retire prior to the age of 60

receive reduced benefits. If retirement is at age 53 or older with at least 20 years of service, a 3 percent per year reduction for each year between the age at retirement and age 60 applies. There is no cap on years of service credit; and a cost-of-living allowance is granted (based on the Consumer Price Index), capped at 3 percent annually.

PSERS Plan 2 provides disability benefits. There is no minimum amount of service credit required for eligibility. Eligibility is based on the member being totally incapacitated for continued employment with a PSERS employer and leaving that employment as a result of the disability. The disability allowance is 2 percent of the average final compensation (AFC) for each year of service. AFC is based on the member's 60 consecutive highest creditable months of service. Service credit is the total years and months of service credit at the time the member separates from employment. Benefits are actuarially reduced for each year that the member's age is less than 60 (with ten or more service credit years in PSERS), or less than 65 (with fewer than ten service credit years).

PSERS Plan 2 members can receive service credit for military service that interrupts employment. Additionally, PSERS members who become totally incapacitated for continued employment while serving in the uniformed services may apply for interruptive military service credit. Should any such member die during this active duty, the member's surviving spouse or eligible child (ren) may request service credit on behalf of the deceased member.

PSERS members may also purchase up to 24 consecutive months of service credit for each period of temporary duty disability.

Beneficiaries of a PSERS Plan 2 member with ten years of service who is killed in the course of employment receive retirement benefits without actuarial reduction, if the member was not at normal retirement age at death. This provision applies to any member killed in the course of employment, if found eligible by the Director of the Department of Labor and Industries.

A one-time duty-related death benefit is provided to the estate (or duly designated nominee) of a PSERS member who dies as a result of injuries or illness sustained in the course of employment, if found eligible by the Department of Labor and Industries.

There are 76 participating employers in PSERS. Membership in PSERS consisted of the following as of the latest actuarial valuation date for the plan of June 30, 2010:

|                                                                    |              |
|--------------------------------------------------------------------|--------------|
| Retirees and Beneficiaries Receiving Benefits                      | 7            |
| Terminated Plan Members Entitled To But Not Yet Receiving Benefits | -            |
| Active Plan Members Vested                                         | -            |
| Active Plan Members Non-vested                                     | 4,210        |
| <b>Total</b>                                                       | <b>4,217</b> |

Each biennium, the state Pension Funding Council adopts PSERS Plan 2 employer and employee contribution rates. The employer and employee contribution rates for Plan 2 are developed by the Office of the State Actuary to fully fund Plan 2. All employers are required to contribute at the level established by the Legislature. The methods used to determine the contribution requirements are established under state statute in accordance with Chapters 41.37 and 41.45 RCW.

The required contribution rates expressed as a percentage of current-year covered payroll, as of December 31, 2010, were as follows:

|           | PSERS Plan 2 |
|-----------|--------------|
| Employer* | 8.86%        |
| Employee  | 6.36%        |

\*The employer rates include the employer administrative expense fee currently set at 0.16%.

Both the City and the employees made the required contributions. The City's required contributions for the years ended December 31 were as follows:

|      | PSERS Plan 2 |
|------|--------------|
| 2011 | \$ 22,257    |
| 2010 | \$ 21,213    |
| 2009 | \$ 22,213    |

## Firemen's Pension Plan

The City is the administrator of the Firemen's Pension Plan (FPP), a closed, single-employer defined benefit pension plan established in conformance with Revised Code of Washington (RCW) 41.18. The costs of administering the Plan are paid from the Firemen's Pension Fund. The Plan provided retirement and disability benefits, annual cost-of-living adjustments, and death benefits to Plan members and beneficiaries. Retirement benefit provisions are established in state statute and may be amended only by the State Legislature. Membership is limited to firefighters employed prior to March 1, 1970 when the LEOFF retirement system was established. The City's obligation under the Plan consists of paying the difference between pension and medical benefits provided by LEOFF and those provided by the FPP for covered firefighters who retire after March 1, 1970. Benefits and refunds of the Plan are recognized when due and payable in accordance with the terms of the Plan. Membership in the FPP consists of one deceased and four retired firefighters, one of whom is currently receiving benefits.

The benefits provided by the Plan are potentially in excess of the State's LEOFF plan. For funding purposes and accruing costs, the benefits are measured by a modified aggregate projected benefit method, with the annual cost spread over the period ending December 31, 2011. Under this method, the required contribution is the portion of the actuarial present value of benefits allocated to a valuation year. The actuarial accrued liability is equal to the actuarial value of assets. This cost method is not appropriate for GASB Statements 25 and 27 purposes though it is still recommended for funding purposes. For GASB purposes, the entry age normal cost method is used. Under this method the projected benefits are allocated on a level basis as a percentage of salary over the earnings of each individual between entry age and assumed exit age. The amount allocated to each year is called the Normal Cost and the portion of the Actuarial Present Value of all benefits not provided for by future Normal Cost payments is called the Actuarial Liability. Since all members have already retired, the amount of the annual Normal Cost is small. The Unfunded Actuarial Accrued Liability (UAAL) is the Actuarial Liability minus the actuarial value of the fund assets. The UAAL will be amortized over a closed 30 year period beginning December 31, 2000. The Plan is a closed off plan and GASB disclosures make no special provision for reporting the cost for this type of plan. Therefore, the minimum actuarial required contribution (ARC) disclosed for GASB purposes has no relationship to the City's funding policy for the Plan.

Under State law, the FPP is provided an allocation of 25% of all moneys received by the State from taxes on fire insurance premiums, interest earnings, member contributions made prior to the inception of LEOFF, and City contributions required to meet projected future pensions obligations. These on behalf tax revenues were recognized in the general fund and expensed out to the Firemen's Pension Fund. The actuary has determined that no City contribution is required. The fire insurance premium for 2011 was \$135,412 which was sufficient to pay the 2010 Firemen's Pension Fund expenses of \$19,834. It also increased the negative Net Pension Obligation to (\$918,785).

The financial activity of the Firemen's Pension Fund is included in this document, the Comprehensive Annual Financial Report of the City of Redmond. No separate stand-alone financial report is issued for the Firemen's Pension Fund.

## Funded Status and Funding Progress

The funded status of the plan as of December 31, 2011, the most recent actuarial valuation date, is as follows:

(\$ In Thousands)

| <u>Valuation Date</u> | <u>Actuarial<br/>Value of<br/>Assets</u> | <u>Actuarial<br/>Accrued<br/>Liabilities</u> | <u>Unfunded<br/>Actuarial<br/>Accrued<br/>Liabilities<br/>(UAAL)</u> | <u>Funded<br/>Ratio</u> | <u>Covered<br/>Payroll</u> | <u>UAL as a<br/>Percentage<br/>of Covered<br/>Payroll</u> |
|-----------------------|------------------------------------------|----------------------------------------------|----------------------------------------------------------------------|-------------------------|----------------------------|-----------------------------------------------------------|
| January 1, 2012       | \$ 1,093                                 | \$ 558                                       | \$ (535)                                                             | 196%                    | \$ 0                       | N/A                                                       |

The Schedule of Funding Progress entitled Required Supplementary Information, which follows the notes to the financial statements, presents multi-year trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liability for benefits.

## Schedule of Employer Contributions

(\$ In Thousands)

| <u>Fiscal Year Ending</u> | <u>Total Employer<br/>Contributions</u> | <u>Annual Required<br/>Contribution (ARC)</u> | <u>Percentage of<br/>ARC contributed</u> |
|---------------------------|-----------------------------------------|-----------------------------------------------|------------------------------------------|
| December 31, 2002         | \$ 51                                   | \$ 15                                         | 333.1%                                   |
| December 31, 2003         | \$ 59                                   | \$ 15                                         | 384.9%                                   |
| December 31, 2004         | \$ 69                                   | \$ 12                                         | 573.8%                                   |
| December 31, 2005         | \$ 87                                   | \$ 12                                         | 728.0%                                   |
| December 31, 2006         | \$ 99                                   | \$ 1                                          | 16,266.0%                                |
| December 31, 2007         | \$ 107                                  | \$ 1                                          | 17,611.9%                                |
| December 31, 2008         | \$ 122                                  | \$ -                                          | N/A                                      |
| December 31, 2009         | \$ 117                                  | \$ (16)                                       | N/A                                      |
| December 31, 2010         | \$ 134                                  | \$ (14)                                       | N/A                                      |
| December 31, 2011         | \$ 135                                  | \$ (14)                                       | N/A                                      |

## Three-Year Trend Information

(In whole dollars)

| Fiscal Year Ending | Annual Pension Cost (APC) | Contribution as a Percentage of APC | Net Pension Obligation (NPO) |
|--------------------|---------------------------|-------------------------------------|------------------------------|
| December 31, 2009  | \$ (7,027)                | N/A                                 | \$ (674,447)                 |
| December 31, 2010  | \$ 9,330                  | 1,435%                              | \$ (798,985)                 |
| December 31, 2011  | \$ 15,612                 | 867%                                | \$ (918,785)                 |

The information presented in the preceding required schedules was determined as part of the actuarial valuations as indicated.

|                                          |                                       |
|------------------------------------------|---------------------------------------|
| Valuation date:                          | January 1, 2012                       |
| Actuarial cost method for GASB purposes: | Entry Age Normal                      |
| Amortization method:                     | 30-Year, closed as of January 1, 2000 |
| Remaining amortization period:           | 20 years                              |
| Asset valuation method:                  | Fair Market Value                     |

### Actuarial Assumptions:

|                            |      |                             |      |
|----------------------------|------|-----------------------------|------|
| Inflation rate:            | 2.5% | Projected salary increases: | 3.5% |
| Investment rate of return: | 3.2% | Cost of living adjustments: | 2.5% |

## Annual Pension Cost and Net Pension Obligation

|                                                                                    | Year Ending<br>12/31/09 | Year Ending<br>12/31/10 | Year Ending<br>12/31/11 |
|------------------------------------------------------------------------------------|-------------------------|-------------------------|-------------------------|
| 1. Annual Normal Cost, beginning of year                                           | \$ -                    | \$ -                    | -                       |
| 2. Amortization of UAL, beginning of year                                          | (14,934)                | (13,403)                | (13,403)                |
| 3. Interest to end of year                                                         | (1,045)                 | (429)                   | (429)                   |
| 4. Annual required contribution at end of year (1+2+3), not less than zero in 2008 | (15,979)                | (13,832)                | (13,832)                |
| 5. Interest on net pension obligation                                              | (38,557)                | (21,582)                | (25,568)                |
| 6. Adjustment to annual required contribution                                      | (47,509)                | (44,744)                | (55,012)                |
| 7. Annual pension cost (4+5-6)                                                     | (7,027)                 | 9,330                   | 15,612                  |
| 8. Employer Contributions                                                          | 116,604                 | 133,868                 | 135,412                 |
| 9. Change in net pension obligation (7-8)                                          | (123,631)               | (124,538)               | (119,800)               |
| 10. Net pension obligation at beginning of year                                    | (550,816)               | (674,447)               | (798,985)               |
| 11. Net pension obligation at end of year (9+10)                                   | \$ (674,447)            | \$ (798,985)            | (918,785)               |

## Municipal Employees Benefit Trust

By majority vote, City employees approved the City's withdrawal from the Social Security System pursuant to U.S.C.A., Section 418 (g) effective January 1, 1975. Permanent employees working 1,040 or more hours per year are eligible but not required to participate in the plan. Temporary employees working less than 1,040 hours per year are required to participate in the plan. Participating permanent employees may choose to defer income tax in accordance with Internal Revenue Code Section 401K, on all, part or none of their contribution while temporary employees may not defer income tax on any of their contribution. There were 720 permanent and 206 temporary participants with account balances at December 31, 2011.

The Municipal Employees Benefit Trust Plan is a defined contribution plan with participants contributing an amount equal to the current Social Security rate (7.65%). One hundred percent of the contributions made by employees hired before April 1, 1986 go to MEBT. Employees hired on or after April 1, 1986 contribute 6.2% to MEBT and 1.45% to Medicare. Permanent employees may make additional contributions up to the limit set by the Internal Revenue Code. The City contributes 7.65% for permanent employees and 4.75% for temporary employees. Of the City's contribution, 1.45% goes to Medicare for employees hired on or after April 1, 1986. Eighty percent of the remaining City contribution goes to MEBT and 20% to administrative fees. The City's contribution is based on the payroll for all employees who are eligible to participate in the plan, regardless of the number of participants. The City's payroll for participating employees in 2011 was \$49,918,530. Employee contributions were \$3,094,124. City contributions were \$3,219,839. The City's total payroll was \$53,635,370.

Plan assets consisting of stocks, bonds, and guaranteed insurance contracts, are not the property of the City and are not subject to the claims of the City's general creditors. The Plan is administered by the Plan Committee consisting of seven employee members appointed by the City. The Plan Committee administers the MEBT Plan according to the Plan Document adopted by the City and all applicable IRS regulations. Plan provisions may be established or amended by a majority vote of the Plan Committee. Employees who elect not to participate in the Municipal Employees Benefit Trust plan retain the disability and survivor income insurance provided by the Standard Insurance Company.

Actuarial determinations are not required because (1) long term disability insurance and survivor income insurance are provided by a group insurance policy with Standard Insurance Company, and (2) each participant shall at his normal retirement date instruct the Plan Committee to (a) acquire a non-forfeitable, non-transferable annuity contract, (b) pay retirement benefits in monthly or annual installments (no contributions by the City or the participant shall be added to his account after retirement), (c) pay a single sum in cash, or (d) elect to defer any or all retirement benefits to a later date.

### NOTE 9:

#### Other Postemployment Benefits

##### Plan Description

As required by the Revised Code of Washington (RCW) Chapter 41.26, the City provides lifetime medical care for members of the Law Enforcement Officers and Firefighters (LEOFF) retirement system hired before October 1, 1977 under a defined benefit healthcare plan administered by the City. The members' necessary hospital, medical, and nursing care expenses not payable by worker's compensation, social security, insurance provided by another employer, other pension plan, or any other similar source are covered. Most medical coverage for eligible retirees is provided by one of the City's employee medical insurance programs. Under the authorization of the LEOFF Disability Board, direct payment is made for other retiree medical expenses not covered by standard medical plan benefit provisions. Financial reporting for the LEOFF retiree healthcare plan is included in the City's Comprehensive Annual Financial Report.

## Funding Policy

Funding for LEOFF retiree healthcare costs is provided entirely by the City as required by RCW. The City's funding policy is based upon pay-as-you-go financing requirements.

## Annual OPEB Cost and Net OPEB Obligation

The City's annual other postemployment benefit (OPEB) cost is calculated based upon the annual required contribution (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover the normal cost each year and amortize any unfunded actuarial liabilities over a period of thirty years as of January 1, 2010. The following table shows the components of the City's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the City's net OPEB. The net OPEB obligation of \$2,170,474 is included as a noncurrent liability on the Statement of Net Assets.

|                                                 | Fiscal Year Ending<br>12/31/2009 | Fiscal Year Ending<br>12/31/2010 | Fiscal Year Ending<br>12/31/2011 |
|-------------------------------------------------|----------------------------------|----------------------------------|----------------------------------|
| Determination of Annual Required Contribution:  |                                  |                                  |                                  |
| 1-Annual Normal Cost (BOY)                      | \$ 25,966                        | \$ 27,070                        | \$ 28,220                        |
| 2-Amortization of UAAL* (BOY)                   | 545,784                          | 545,784                          | 545,784                          |
| 3-Interest to EOY [1 + 2] x (i)**               | 25,729                           | 25,778                           | 25,830                           |
| 4-Annual Required Contribution [1 + 2 + 3]      | 597,479                          | 598,632                          | 599,834                          |
| Determination of Net OPEB Obligation:           |                                  |                                  |                                  |
| 4-Annual Required Contribution                  | 597,479                          | 598,632                          | 599,834                          |
| 5-Interest on Net OPEB Obligation               | 54,296                           | 66,719                           | 81,518                           |
| 6-Adjustment to ARC                             | 70,883                           | 87,103                           | 106,422                          |
| 7-Annual OPEB Cost [4 + 5 - 6]                  | 580,892                          | 578,248                          | 574,930                          |
| 8-Employer Contributions                        | 304,811                          | 249,387                          | 215,966                          |
| 9-Change in Net OPEB Obligation [7 - 8]         | 276,081                          | 328,861                          | 358,964                          |
| 10-Net OPEB Obligation-BOY [11 from prior year] | 1,206,570                        | 1,482,651                        | 1,811,512                        |
| Net OPEB Obligation-end of year [9 + 10]        | \$ 1,482,651                     | \$ 1,811,512                     | \$ 2,170,476                     |

\*Unfunded Actuarial Accrued Liability (UAAL)

\*\**(i)* is the assumed interest rate that year: 5.5% in 2008, 4.5% in 2009, 4.5% in the remaining years.

The City's OPEB cost, the percentage of OPEB cost contributed to the plan, and the net OPEB obligation for 2010 and the two preceding years were as follows:

| Fiscal Year<br>Ended | Annual OPEB<br>Cost | Contribution as a<br>Percentage of<br>OPEB Cost | Net OPEB<br>Obligation |
|----------------------|---------------------|-------------------------------------------------|------------------------|
| 12/31/2009           | \$ 580,892          | 52.5%                                           | \$ 1,482,651           |
| 12/31/2010           | \$ 578,248          | 43.1%                                           | \$ 1,811,511           |
| 12/31/2011           | \$ 574,929          | 37.6%                                           | \$ 2,170,474           |

As of January 1, 2009, the most recent actuarial valuation date, the plan was 0% funded. The City's funding progress, the accrued liability for benefits, the actuarial value of the assets, the unfunded actuarial accrued liability (UAAL), the covered payroll, and the UAAL as a percentage of covered payroll for 2011 and preceding years were as follows:

| Fiscal Year Ended | Actuarial Value of Assets | Actuarial Accrued Liabilities Entry Age | Unfunded Actuarial Accrued Liabilities (UAAL) | Funded Ratio | Covered Payroll | UAAL As a Percentage of Covered Payroll |
|-------------------|---------------------------|-----------------------------------------|-----------------------------------------------|--------------|-----------------|-----------------------------------------|
| Dec. 31, 2005     | \$ -                      | \$ 8,512,284                            | \$ 8,512,284                                  | 0%           | \$ 719,423      | 1183.20%                                |
| Dec. 31, 2006     | \$ -                      | \$ 8,512,284                            | \$ 8,512,284                                  | 0%           | \$ 764,518      | 1113.41%                                |
| Dec. 31, 2007     | \$ -                      | \$ 8,512,284                            | \$ 8,512,284                                  | 0%           | \$ 557,587      | 1526.63%                                |
| Dec. 31, 2008     | \$ -                      | \$ 8,512,284                            | \$ 8,512,284                                  | 0%           | \$ 446,200      | 1907.73%                                |
| Dec. 31, 2009     | \$ -                      | \$ 9,290,267                            | \$ 9,290,267                                  | 0%           | \$ 442,308      | 2100.41%                                |
| Dec. 31, 2010     | \$ -                      | \$ 9,430,652                            | \$ 9,430,652                                  | 0%           | \$ 461,106      | 2045.22%                                |
| Dec. 31, 2011     | \$ -                      | \$ 9,549,490                            | \$ 9,549,490                                  | 0%           | \$ 480,703      | 1986.57%                                |

Actuarial valuations involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multiyear trend information that shows whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial liabilities for benefits.

#### Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities, consistent with the long-term perspective of the calculations.

In the January 1, 2009 actuarial valuation, the entry age normal actuarial cost method was used. The actuarial assumptions used included a 4.50% discount rate, which is based upon the long-term investment yield on the investments that are expected to be used to finance payment of benefits. A medical inflation rate of 8.00%, graded to 6.50% over three years, was used along with a long-term care inflation rate of 5.00%.

The UAAL is being amortized on a closed basis at the assumed discount rate. The remaining amortization period at January 1, 2009 was 30 years.

### Note 10: Construction Commitments

At December 31, 2011 the City had significant contractual obligations on construction projects:

| (In thousands)             |                |
|----------------------------|----------------|
| Street Projects            | \$532          |
| Parks Projects             | 315            |
| Fire Projects              | 568            |
| General Government Project | 34             |
| Utilities Projects         | 1,549          |
| Total                      | <u>\$2,998</u> |

## Note 11: Interfund Transfers

(In whole dollars)

| Fund                              | Transfer In          | Transfer Out         |
|-----------------------------------|----------------------|----------------------|
| General Fund                      | \$ 6,139,893         | \$ 8,581,965         |
| Capital Improvements Program Fund | 14,442,126           | 6,735,034            |
| Other Governmental Funds          | 4,489,384            | 9,659,407            |
| Internal Service Funds            | 7,800                | 102,797              |
| <b>Total Transfers</b>            | <b>\$ 25,079,203</b> | <b>\$ 25,079,203</b> |

Interfund transfers are used to move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, to move receipts for debt service from the fund collecting the receipts to a debt service fund as debt service payments become due, and to use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

## Note 12: Long-Term Obligations

### General Obligation Bonds

General obligation bonds are a direct obligation of the City for which its full faith and credit are pledged. Debt service on the 1994, 2008 & 2011 bonds is paid from debt service funds. Debt service on the 2004 bonds is paid from the Capital Improvements Program fund. Debt service for unlimited tax voter- approved issues is funded by special property tax levies. These bonds are subject to federal arbitrage rules.

General obligation Bonds outstanding at year-end are as follows:

**1994 Unlimited Tax General Obligation and Refunding Bonds and Refunded Debt in 2008:** Issued to provide funds for a new fire station and to provide funds in an irrevocable trust to refund a portion of the 1990 GO Bonds and the 1985 GO Refunding Bonds. The 1985 GO Refunding Bonds were paid in full in 1995. The 1990 GO Bonds were paid in full in 2000. The balance of these bonds were paid in full using proceeds from a new refunding bond issuance in 2008. The proceeds of the refunding bond issue, which includes premiums in the amount of \$29,600, have been placed in an irrevocable trust to provide for all future debt service payments on the old bonds. As a result, the refunded bonds are considered to be defeased and the liability has been removed from the City's financial statements.

**2004 Limited Tax General Obligation Lease Revenue Bonds:** Redmond Community Properties (RCP), a blended component unit of the City of Redmond, issued lease-revenue bonds on behalf of the City in accordance with the provisions of Revenue Ruling 63-20 of the US Treasury on April 1, 2004. Funds from the bonds were used to build the City Hall, a parking garage, and other improvements on the City campus. Although the bonds were issued by RCP, they are reported as a limited tax general obligation of the City in accordance with Generally Accepted Accounting Principles.

**2008 Limited Tax General Obligation Bonds:** In 2008, the City issued \$33,935,000 Limited Tax General Bonds. Proceeds will be used for the Bear Creek Parkway Extension and other transportation projects in the City's Transportation Capital Improvement Plan. The Bear Creek Parkway Extension will provide an additional street connection through Downtown

Redmond. The project will also improve transit connections and allow for better access to the open space in the downtown area. Redmond Way and Cleveland Street will better serve more uses, including transit, bicycle, and pedestrian traffic. Stronger connections will also support the economic vitality of Redmond's Downtown.

**2008 Unlimited Tax General Obligation Refunding Bonds:** On September 4, 2008, the City issued \$1,315,000 in unlimited tax general obligation refunding bonds with an interest rate of 3.50% to advance refund \$1,305,000 of outstanding 1994 unlimited general obligation and refunding bonds. The net proceeds, which included \$29,600, were used to purchase U.S. government securities which were deposited with an escrow agent to provide for all future debt service payments on the refunded bonds. As a result, these bonds are considered defeased and the liability for these bonds have been removed from the general long-term debt.

The advance refunding resulted in a reduction in the aggregate debt service payments of \$88,362. In addition, the economic gain (difference between the present values of the old and new debt service payments) was \$80,826.

**2011 Limited Tax General Obligation Bonds:** In 2011, the City issued \$8,035,000 Limited Tax General Bonds. Proceeds were used for land acquisition for a Downtown Central Park and other City parks and open space projects in the Capital Investment Program for 2011-2016. Debt payments are budgeted biannually and paid for from levies of taxes within the constitutional and statutory tax limitations provided by law without a vote of the voters of the City. Repayment of the debt is to come from the Parks Capital Improvement Program.

|                                | Issue<br>Date | Maturity<br>Date | Interest<br>Rate | Amount<br>Issued | Redemptions<br>to Date | Outstanding<br>12/31/2011 |
|--------------------------------|---------------|------------------|------------------|------------------|------------------------|---------------------------|
| 2004 LTGO                      |               |                  |                  |                  |                        |                           |
| Lease-Revenue Bonds            | 4/1/2004      | 12/1/2035        | 2.0% - 5.25%     | \$ 39,230,000    | \$ 5,280,000           | \$ 33,950,000             |
| 2008 GO/Refunding              | 9/4/2008      | 6/1/2013         | 3.50%            | 1,315,000        | 765,000                | 550,000                   |
| 2008 LTGO Bonds                | 9/4/2008      | 12/1/2028        | 3.5% - 5.0%      | 33,935,000       | 3,495,000              | 30,440,000                |
| 2011 LTGO Bonds                |               | 12/1/2021        | 2.0% - 4.5%      | 8,035,000        | 705,000                | 7,330,000                 |
| Total General Obligation Bonds |               |                  |                  | \$ 82,515,000    | \$ 10,245,000          | \$ 72,270,000             |

Annual debt service requirements to maturity for general obligation bonds are as follows:

| Governmental Activities     |                      |                      |
|-----------------------------|----------------------|----------------------|
| Year Ending<br>December 31, | Principal            | Interest             |
| 2012                        | \$ 3,350,000         | \$ 3,315,094         |
| 2013                        | 3,475,000            | 3,189,419            |
| 2014                        | 3,310,000            | 3,063,769            |
| 2015                        | 3,440,000            | 2,938,244            |
| 2016                        | 3,610,000            | 2,769,607            |
| 2017-2021                   | 19,855,000           | 11,182,455           |
| 2022-2026                   | 16,185,000           | 6,966,806            |
| 2027-2031                   | 12,025,000           | 3,175,723            |
| 2032-2035                   | 7,020,000            | 898,750              |
|                             | <u>\$ 72,270,000</u> | <u>\$ 37,499,867</u> |

All long term debt is presented in the Statement of Net Assets net of premiums. The gross general obligation bonds payable and premium are as follows:

|                               | 2008 Refunding<br>Bonds | 2008 General<br>Obligation Bonds | 2011 General<br>Obligation Bonds |
|-------------------------------|-------------------------|----------------------------------|----------------------------------|
| Bonds Outstanding             | \$ 550,000              | \$ 30,440,000                    | \$ 7,330,000                     |
| Plus Unamortized Bond Premium | 10,360                  | 1,072,264                        | 562,668                          |
| Bonds Outstanding, Net        | <u>\$ 551,360</u>       | <u>\$ 31,512,264</u>             | <u>\$ 7,892,668</u>              |

## Revenue Bonds

Revenue Bonds are payable from revenues generated by the user fees. Revenue bonds for the City are backed by the Water/Wastewater and Stormwater utilities. Revenue bonds generally require a cash reserve be maintained as well as a minimum debt to income ratio be maintained for the life of the bonds.

2008 Water/Wastewater Bonds: Bonds in the amount of \$11,755,000 were issued in 2008 to finance construction projects for the water utility.

Revenue bonds outstanding at year end are as follows:

|                                 | Issue<br>Date | Maturity<br>Date | Interest<br>Rate | Amount<br>Issued     | Redemptions<br>to Date | Outstanding<br>12/31/2011 |
|---------------------------------|---------------|------------------|------------------|----------------------|------------------------|---------------------------|
| 2008 Water/<br>Wastewater Bonds | 12/3/2008     | 12/1/2023        | 4.0% - 5.0%      | \$ 11,755,000        | \$ 1,770,000           | \$ 9,985,000              |
| Total Revenue Bonds             |               |                  |                  | <u>\$ 11,755,000</u> | <u>\$ 1,770,000</u>    | <u>\$ 9,985,000</u>       |

Annual debt service requirements to maturity for general obligation bonds are as follows:

| Business-type Activities    |                     |                     |
|-----------------------------|---------------------|---------------------|
| Year Ending<br>December 31, | Principal           | Interest            |
| 2012                        | \$ 640,000          | \$ 464,687          |
| 2013                        | 665,000             | 439,088             |
| 2014                        | 700,000             | 406,588             |
| 2015                        | 725,000             | 378,588             |
| 2016                        | 755,000             | 349,588             |
| 2017-2021                   | 4,350,000           | 1,171,388           |
| 2022-2023                   | 2,150,000           | 160,000             |
|                             | <u>\$ 9,985,000</u> | <u>\$ 3,369,927</u> |

All long-term debt is presented in the Statement of Net Assets net of premiums. The gross bonds payable and premium are as follows:

|                               | 2008 Revenue Bonds   |
|-------------------------------|----------------------|
| Bonds Outstanding             | \$ 9,985,000         |
| Plus Unamortized Bond Premium | 287,382              |
| Bonds Outstanding, Net        | <u>\$ 10,272,382</u> |

## Public Works Trust Fund Loans

State of Washington Public Works Trust Fund Loans are a direct responsibility of the City. Redmond had five such loans in 2011 with one being paid in full. The remaining loans with an outstanding principal balance of \$548,687 are being repaid from General Fund revenues which are transferred to the Capital Improvements Program Fund where the loan payments are recorded. The water/wastewater loans are paid in full.

|      | Governmental Activities |                  | Business-Type Activities |             |
|------|-------------------------|------------------|--------------------------|-------------|
| Year | Principal               | Interest         | Principal                | Interest    |
| 2012 | \$ 202,457              | \$ 10,710        | \$ -                     | \$ -        |
| 2013 | 202,457                 | 6,074            | -                        | -           |
| 2014 | 71,886                  | 1,438            | -                        | -           |
| 2015 | 71,887                  | 719              | -                        | -           |
|      | <u>\$ 548,687</u>       | <u>\$ 18,941</u> | <u>\$ -</u>              | <u>\$ -</u> |

(Continued next page)

## Changes in Long-Term Liabilities

Long-term liability activity for the year ended December 31, 2011 was as follows:

|                                              | Beginning<br>Balance | Additions     | Reductions     | Ending Balance | Due Within<br>One Year |
|----------------------------------------------|----------------------|---------------|----------------|----------------|------------------------|
| <b>Governmental Activities:</b>              |                      |               |                |                |                        |
| Bonds Payable:                               |                      |               |                |                |                        |
| General obligation bonds                     | \$ 67,540,000        | \$ 8,035,000  | \$ (3,305,000) | \$ 72,270,000  | \$ 3,350,000           |
| Less deferred amounts:                       |                      |               |                |                |                        |
| For issuance (Discounts)/Premiums            | 1,152,560            | 608,290       | (115,558)      | 1,645,292      | -                      |
| Total bonds payable                          | 68,692,560           | 8,643,290     | (3,420,558)    | 73,915,292     | 3,350,000              |
| PWTF loans                                   | \$ 828,118           | \$ -          | \$ (279,431)   | \$ 548,687     | \$ 202,457             |
| Other post-employment benefits payable       | 1,811,511            | 358,963       | -              | 2,170,474      | -                      |
| Compensated absences                         | 3,840,223            | 3,232,205     | (3,217,047)    | 3,855,381      | 3,108,919              |
| Governmental activity long-term liabilities  | \$ 75,172,412        | \$ 11,915,846 | \$ (6,598,424) | \$ 80,489,834  | \$ 6,661,346           |
| <b>Business-Type Activities:</b>             |                      |               |                |                |                        |
| Bonds Payable:                               |                      |               |                |                |                        |
| Revenue Bonds                                | \$ 10,600,000        | \$ -          | \$ (615,000)   | \$ 9,985,000   | \$ 640,000             |
| Plus Deferred Amounts:                       |                      |               |                |                |                        |
| For issuance premiums                        | 311,497              | -             | (24,117)       | 287,380        | -                      |
| Total Bonds Payable                          | 10,911,497           | -             | (639,117)      | 10,272,380     | 640,000                |
| Compensated absences                         | \$ 507,703           | \$ 370,706    | \$ (316,061)   | \$ 562,348     | \$ 449,878             |
| Business-type activity long-term liabilities | \$ 11,419,200        | \$ 594,897    | \$ (1,179,367) | \$ 10,834,728  | \$ 1,089,878           |

Internal service funds predominantly serve the governmental funds. Accordingly, long-term liabilities for them are included as part of the above totals for governmental activities. Compensated absences for governmental activities are liquidated in the governmental fund from which the employee's salary is paid. Governmental funds typically used to liquidate compensated absences are the General Fund, Recreation Activities Fund, Advanced Life Support Fund, and the Recycling Fund.

## NOTE 13: Leases

### Operating Leases:

#### Copier Leases

Operating lease obligations are primarily for rental of copy machines. Total expenditures for leases were \$37,116.97 for the year ended December 31, 2011. The future minimum lease payments include the estimated cost for copy usage and are as follows:

| Year Ending<br>December 31 | Amount           |
|----------------------------|------------------|
| 2012                       | \$ 27,002        |
| 2013                       | 27,002           |
| 2014                       | <u>6,613</u>     |
| Total                      | <u>\$ 60,617</u> |

### Capital Leases:

On February 17, 2004 the City of Redmond entered into a capital lease agreement with Redmond Community Properties (RCP), A Washington Non-Profit Corporation, to lease a new City Hall and parking garage.

RCP, acting as an "on-behalf-of-issuer" under Internal Revenue Service Rulings 63-20 and 82-26, issued bonds dated April 1, 2004 on behalf of the City of Redmond. The bonds were used for construction of the City Hall and parking garage, with a gross amount of the buildings under this lease being \$39,230,000. Bond principal and interest payments are the responsibility of RCP.

The lease payments made by the City to RCP will be sufficient to pay debt service on the bonds and operating costs of the buildings. Because RCP is a blended component unit of the City, the lease payments made by Redmond to RCP are reported as bond debt service payments by the City.

## NOTE 14: Blended Component Units Included in Reporting Entity

Two blended component units are included in the City's reporting entity, the Redmond Public Corporation and Redmond Community Properties (RCP).

The RCW 39.84.100 grants cities the authority to establish Industrial Development Corporations. In 1982, the City of Redmond created the Redmond Public Corporation. This is a public corporation whose purpose is to issue tax-exempt non-recourse revenue bonds to finance industrial development within City limits. The corporation may construct and maintain industrial facilities, which it then leases or sells to industrial users. Revenue bonds issued by the corporation are payable from revenues of the industrial development facility funded by the revenue bonds.

In conformity with generally accepted accounting principles (GAAP), the Redmond Public Corporation has been included in the financial reporting entity. The Corporation's Board of Directors is comprised solely of members of the City Council who have the authority to approve issuance of the corporation's revenue bonds. The ability of the City Council to impose its will on the Redmond Public Corporation through the approval or disapproval of revenue bond issuance makes the City of Redmond financially accountable for the Public Corporation.

Although the Redmond Public Corporation is included in the reporting entity as a blended component unit, no financial impact is reported in the statements. The bonds are not a liability or a contingent liability of the City of Redmond or lien on any of its properties or revenues. Principal and interest on the bonds are payable solely from the funds provided for this payment from the revenues of the industrial development facilities funded by the revenue as provided in the RCW. Records regarding the financial statements of the entities on whose balance sheets the bond liabilities are reported are in the Office of the City Attorney, who acts as the Secretary of the Public Corporation.

RCP is a non-profit corporation organized in 2003 pursuant to Internal Revenue Service Revenue Ruling 63-20. It is related to the National Development Council, a 501(c)(3) organization, through common management. RCP is reported as if it were part of the City of Redmond because its sole purpose is to finance, construct, and lease a City Hall and parking garage to the City. RCP administrative offices are located at:

National Development Council  
1425 Fourth Avenue, Suite 608  
Seattle, WA 98101-2220

The City leases City Hall and the parking garage from RCP under a capital lease arrangement. For reporting purposes RCP and the City of Redmond are consolidated as required by GAAP. The capital lease payable is reported as bonds payable with City Hall and the parking garage reported as assets of the City. Bond principal and interest payments are reported as debt service by the City.

As part of the capital lease agreement the City pays monthly maintenance and asset management fees to RCP. The financial statements of RCP are reported as an Internal Service Fund in the City's fund financial statements and schedules.

## NOTE 15: Joint Ventures and Operations

### **Water Storage and Pumping Facility**

In February 1990, the City of Redmond joined with the City of Bellevue to construct, operate, and maintain a joint-use water storage and pumping facility located on the common boundary of the two cities. The City of Redmond has an undivided interest in the facility of 44%, and the City of Bellevue has an undivided interest of 56%. The City of Redmond's share of costs to construct the joint-use facility totaled \$2,078,539 and is reported on the business-type activity financial statements as improvements other than buildings. The City recognizes depreciation expense annually. Accumulated depreciation totals \$1,188,924 with a net book value of \$889,615. The City reimbursed the City of Bellevue \$58,634 for its share of operating costs in 2011.

### **Cascade Water Alliance**

In April 1999, the City of Redmond entered into an interlocal agreement with seven other water providers in the region to create the Cascade Water Alliance. The purpose of the Alliance is to provide water supply to meet current and future needs of the Alliance's members in a cost-effective and environmentally responsible manner.

The Alliance is governed by a board of directors consisting of one individual representative appointed by resolution of the member's legislative authority. Each member entity must pay annual dues based on the number of units served by the water system within their jurisdiction.

The City of Redmond's dues for 2011 were \$251,439. The City of Redmond also paid the Alliance \$906,755 in 2011 for Regional Capital Facilities Charges for new hookups to the water system that Redmond collected from new customers.

A member may withdraw from the Alliance with a resolution of its legislative authority expressing such intent. The board will then determine the withdrawing member's obligations to the Alliance, as well as the withdrawing member's allocable share of the Alliance's then-existing obligations. The member's withdrawal shall be effective upon payment of obligations. Members do not hold legal ownership rights in any assets owned by the Alliance.

Audited financial information can be obtained from Pamela Higbee, Cascade Water Alliance, 1400 112th Avenue SE, Suite 220, Bellevue, WA 98004.

## NOTE 16: Contingencies and Litigation

As of December 31, 2011, there were a number of damage claims and lawsuits pending against the City. However, in our opinion, neither the potential liability from any single claim or lawsuit, nor the aggregate potential liability resulting from all pending claims nor lawsuits, would affect materially the financial condition of the City.

## NOTE 17: Risk Management

The City is exposed to various risks of loss such as: theft and damage and destruction of assets, errors and omissions, injuries or property damage to others, employees' health, and natural disasters. The City has three internal service funds to account for and finance its self-insured risks of loss. The City purchases commercial insurance for claims in excess of anticipated self-insured losses. Most funds of the City participate in the self-insurance programs and make payments to the self-insurance funds based on estimates of the amounts needed to pay excess insurance and related risk management and service costs, prior and current year claims paid in the current year, and to maintain adequate reserves for catastrophic losses in a given year.

The claims payment portion of the Insurance Claims and Reserve Fund provides coverage up to a maximum of \$25,000 per occurrence for insurance-related claims and expenses. There were no claims that settled in 2011 above the City's self-insurance limit. Reserves for open claims are established by an independent claims adjusting firm on a case reserve basis based on the assessment of the settlement potential and costs specifically associated with a particular claim, given the information available at the time. Cases are reviewed no less than monthly and are subject to periodic audits. Lawsuits are reviewed and handled directly by the City Attorney or the excess insurer's appointed legal counsel. Reserves are established for estimated ultimate loss costs and related loss adjustment expenses.

The City of Redmond had been an associate member of the Cities Insurance Association of Washington (CIAW) for some years until December 1, 2010. Effective December 1, 2010 the City revised the risk program. See prior year's annual financial reports for more information about the CIAW pool.

In 2010 the city conducted a comprehensive review of its property and liability risk programs. As a result, the City issued a request for proposal (RFP) for a broker/consultant and selected Bannon Carlson & Kessel, Inc. Bannon Carlson & Kessel, Inc. then conducted a search for service providers to meet the City's needs. This resulted in the City selecting Travelers Insurance for liability coverage and retaining Affiliated FM for property coverage. As a result the city's risk program changed from a \$100,000 self-insured retention for general liability claims to a \$25,000 deductible. A deductible limit applies to all claim costs while a self-insured retention only applied

to any judgment or settlement. The liability limits were extended to \$20 million for general liability as described in the table below. No claims were settled in excess of the deductible amounts.

Property insurance coverage remained consistent with prior years.

**Medical Self Insurance Program:**

The Medical Self-Insurance Fund provides coverage up to a maximum of \$125,000 per person per calendar year with the Excess Insurance covering an Unlimited Major Medical Maximum. There were four (4) claimants who exceeded the per-person limit in 2011; in 2010 there were five (5) who exceeded, and zero claims in 2009 and 2008. All funds of the City from which employee wages are paid make premium payments to the Medical Self-Insurance Fund based on health insurance rates derived from actual fund experience and historical and market trend rates

Council authorized the City to self-insure workers' compensation benefits effective January 1, 1998 for employee injuries and illnesses. For 2011 the City self-insures \$350,000 of each accident or illness (\$500,000 for Police and Fire) and purchases excess insurance above that, up to the statutory requirements. No reported claim for 2011, 2010, 2009, or 2008 exceeded the City's self-insurance coverage. Claims handling is currently contracted to an independent, qualified third party administrator (TPA).

As of December 31, 2011, the City had reserves of \$1,413,175 in the Insurance Fund, \$4,837,403 in the Medical Self-Insurance Fund, and \$839,331 in the Workman's Compensation Fund to provide against risk of future loss. Claims liabilities of \$1,020,900 have been reported in the Medical Self-Insurance Fund and \$98,946 in the Workman's Compensation Fund based on estimates provided by the City's third party administrators. Historical claims liabilities for IBNR in the Insurance Claims and Reserve Fund average 15% to 17% of paid claims for the year. Reported claims liabilities are based on the requirements of GASB Statement 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated.

Changes in the self-insurance funds' claims liabilities in 2009, 2010 and 2011 were:

|                                    | Beginning<br>of Year<br>Liability | Current Year<br>Claims &<br>Changes in<br>Estimates | Claims<br>Payments | End of<br>Year<br>Liability |
|------------------------------------|-----------------------------------|-----------------------------------------------------|--------------------|-----------------------------|
| <b>Insurance Fund</b>              |                                   |                                                     |                    |                             |
| 2009                               | \$ -                              | \$ 135,463                                          | \$ 135,463         | \$ -                        |
| 2010                               | \$ -                              | \$ 268,243                                          | \$ 268,243         | \$ -                        |
| 2011                               | \$ -                              | \$ 197,549                                          | \$ 197,549         | \$ -                        |
| <b>Medical Insurance Fund</b>      |                                   |                                                     |                    |                             |
| 2009                               | \$ 751,000                        | \$ 3,933,126                                        | \$ 5,640,226       | \$ 956,100                  |
| 2010                               | \$ 956,100                        | \$ 5,671,121                                        | \$ 7,633,621       | \$ 1,006,400                |
| 2011                               | \$ 1,006,400                      | \$ 5,417,122                                        | \$ 7,444,422       | \$ 1,020,900                |
| <b>Workman's Compensation Fund</b> |                                   |                                                     |                    |                             |
| 2009                               | \$ 116,724                        | \$ 254,449                                          | \$ 438,941         | \$ 67,768                   |
| 2010                               | \$ 67,768                         | \$ 127,807                                          | \$ 267,734         | \$ 72,159                   |
| 2011                               | \$ 72,159                         | \$ 285,402                                          | \$ 456,507         | \$ 98,946                   |

Commercial insurance policies were purchased to protect the City from claims which exceed the coverage provided by the self-insurance funds.

|                                                                                             | Coverage      | Self-Insured Retention             |
|---------------------------------------------------------------------------------------------|---------------|------------------------------------|
| Property Policy Limit                                                                       | \$150,000,000 | \$100,000                          |
| Earth Movement                                                                              | \$50,000,000  | 3%/\$100,000 minimum per location  |
| Flood                                                                                       | \$50,000,000  | \$100,000                          |
| Employee Theft                                                                              | \$1,000,000   | \$10,000                           |
| General Liability – Per Occurrence                                                          | \$1,000,000   | \$25,000                           |
| General Liability – Aggregate                                                               | \$2,000,000   |                                    |
| Law Enforcement                                                                             | \$1,000,000   | \$25,000                           |
| Employment Related Practices                                                                | \$1,000,000   | \$25,000                           |
| Auto Liability                                                                              | \$1,000,000   | \$25,000                           |
| Umbrella Excess Liability<br>(Excess of General Liability, Auto, Law Enforcement Liability) | \$20,000,000  | \$10,000                           |
| Employment-Related Practices Excess                                                         | \$9,000,000   |                                    |
| Underground Storage Tank Liability                                                          | \$1,000,000   | \$5,000                            |
| Blanket fidelity (employee dishonesty)                                                      | \$1,000,000   | \$10,000 deductible                |
| Excess Worker's Compensation                                                                | statutory     | \$350,000; \$500,000 Police & Fire |
| Excess Medical Insurance                                                                    | \$1,000,000   | \$120,000                          |

CITY OF REDMOND  
SCHEDULE OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCE  
BUDGET AND ACTUAL  
GENERAL FUND  
FOR THE BIENNIUM ENDED DECEMBER, 31, 2012

|                                                              | Original<br>Budget<br>2011-2012 | Final<br>Budget<br>2011-2012 | Actual<br>2011-2012<br>Biennium | Variance with<br>Final Budget<br>Positive<br>(Negative) |
|--------------------------------------------------------------|---------------------------------|------------------------------|---------------------------------|---------------------------------------------------------|
| REVENUES                                                     |                                 |                              |                                 |                                                         |
| Taxes                                                        | \$ 116,663,495                  | \$ 116,605,058               | \$ 61,705,416                   | \$ (54,899,642)                                         |
| Licenses and permits                                         | 13,493,089                      | 14,358,153                   | 6,510,382                       | (7,847,771)                                             |
| Contributions from property owners                           | 136,000                         | 176,383                      | 153,257                         | (23,126)                                                |
| Intergovernmental                                            | 19,910,206                      | 18,210,185                   | 10,434,725                      | (7,775,460)                                             |
| Charges for services                                         | 9,065,321                       | 9,641,978                    | 4,344,218                       | (5,297,760)                                             |
| Fines and forfeitures                                        | 1,442,778                       | 1,882,515                    | 2,200,648                       | 318,133                                                 |
| Investment income                                            | 1,233,172                       | 1,233,172                    | 354,900                         | (878,272)                                               |
| Miscellaneous                                                | 552,742                         | 2,448,340                    | 365,402                         | (2,082,938)                                             |
| Total Revenues                                               | <u>162,496,803</u>              | <u>164,555,784</u>           | <u>86,068,948</u>               | <u>(78,486,836)</u>                                     |
| EXPENDITURES                                                 |                                 |                              |                                 |                                                         |
| Current                                                      |                                 |                              |                                 |                                                         |
| General government                                           | 26,449,165                      | 29,180,251                   | 12,885,060                      | 16,295,191                                              |
| Security of persons and property                             | 75,567,652                      | 74,289,918                   | 36,656,597                      | 37,633,321                                              |
| Physical environment                                         | 8,464,710                       | 8,473,710                    | 3,786,636                       | 4,687,074                                               |
| Transportation                                               | 9,325,978                       | 16,135,226                   | 7,097,926                       | 9,037,300                                               |
| Economic development                                         | 9,766,158                       | 10,329,858                   | 4,743,190                       | 5,586,668                                               |
| Mental/physical health                                       | 1,782,761                       | 1,809,795                    | 889,741                         | 920,054                                                 |
| Culture and recreation                                       | 15,795,879                      | 16,922,587                   | 8,483,736                       | 8,438,851                                               |
| Capital outlay                                               | 2,638,875                       | 4,256,969                    | 964,140                         | 3,292,829                                               |
| Debt service                                                 |                                 |                              |                                 |                                                         |
| Principal                                                    | -                               | -                            | -                               | -                                                       |
| Debt Service                                                 |                                 |                              |                                 |                                                         |
| Principal                                                    | -                               | -                            | -                               | -                                                       |
| Interest and Issuance Costs                                  | -                               | -                            | -                               | -                                                       |
| Total Expenditures                                           | <u>149,791,178</u>              | <u>161,398,314</u>           | <u>75,507,026</u>               | <u>85,891,288</u>                                       |
| Excess (deficiency) of revenues<br>over (under) expenditures | 12,705,625                      | 3,157,470                    | 10,561,922                      | 7,404,452                                               |
| OTHER FINANCING SOURCES (USES)                               |                                 |                              |                                 |                                                         |
| Insurance Recoveries                                         | -                               | 8,000                        | 2,598                           | (5,402)                                                 |
| Disposition of capital assets                                | 20,000                          | 40,000                       | 7,200                           | (32,800)                                                |
| Transfers in                                                 | 3,232,076                       | 11,302,367                   | 6,139,893                       | (5,162,474)                                             |
| Transfers out                                                | (17,134,583)                    | (17,312,383)                 | (8,581,965)                     | 8,730,418                                               |
| Total other financing sources and uses                       | <u>(13,882,507)</u>             | <u>(5,962,016)</u>           | <u>(2,432,274)</u>              | <u>3,529,742</u>                                        |
| Net change in fund balance                                   | (1,176,882)                     | (2,804,546)                  | 8,129,648                       | 10,934,194                                              |
| Fund balance-beginning                                       | 21,805,285                      | 22,629,317                   | 25,803,707                      | 3,174,390                                               |
| Fund balance-ending                                          | <u>\$ 20,628,403</u>            | <u>\$ 19,824,771</u>         | <u>\$ 33,933,355</u>            | <u>\$ 14,108,584</u>                                    |

Required Supplementary Information  
Firemen's Pension Plan  
Schedule of Funding Progress  
(rounded to thousands)

| Valuation Date  | Actuarial<br>Value of<br>Assets | Actuarial<br>Accrued<br>Liabilities<br>Entry<br>Age | Unfunded<br>Actuarial<br>Accrued<br>Liabilities<br>(UAAL) | Funded<br>Ratio | Covered<br>Payroll | UAL as a<br>Percentage<br>of Covered<br>Payroll |
|-----------------|---------------------------------|-----------------------------------------------------|-----------------------------------------------------------|-----------------|--------------------|-------------------------------------------------|
| January 1, 2000 | \$ -                            | \$ 374                                              | \$ 374                                                    | 0%              | \$ -               | N/A                                             |
| January 1, 2002 | \$ 89                           | \$ 277                                              | \$ 188                                                    | 32%             | \$ -               | N/A                                             |
| January 1, 2004 | \$ 205                          | \$ 347                                              | \$ 142                                                    | 59%             | \$ -               | N/A                                             |
| January 1, 2006 | \$ 356                          | \$ 363                                              | \$ 7                                                      | 98%             | \$ -               | N/A                                             |
| January 1, 2008 | \$ 590                          | \$ 413                                              | \$ (177)                                                  | 143%            | \$ -               | N/A                                             |
| January 1, 2010 | \$ 856                          | \$ 654                                              | \$ (202)                                                  | 131%            | \$ -               | N/A                                             |

Required Supplementary Information  
LEOFF I Medical Benefits  
Schedule of Funding Progress

| Fiscal Year<br>Ended | Actuarial Value<br>of Assets | Actuarial<br>Accrued<br>Liabilities<br>Entry Age | Unfunded<br>Actuarial<br>Accrued<br>Liabilities (UAAL) | Funded<br>Ratio | Covered<br>Payroll | UAAL as a<br>Percentage<br>of Covered<br>Payroll |
|----------------------|------------------------------|--------------------------------------------------|--------------------------------------------------------|-----------------|--------------------|--------------------------------------------------|
| Dec. 31, 2005        | \$ -                         | \$ 8,512,284                                     | \$ 8,512,284                                           | 0%              | \$ 719,423         | 1183.20%                                         |
| Dec. 31, 2006        | \$ -                         | \$ 8,512,284                                     | \$ 8,512,284                                           | 0%              | \$ 764,518         | 1113.41%                                         |
| Dec. 31, 2007        | \$ -                         | \$ 8,512,284                                     | \$ 8,512,284                                           | 0%              | \$ 557,587         | 1526.63%                                         |
| Dec. 31, 2008        | \$ -                         | \$ 8,512,284                                     | \$ 8,512,284                                           | 0%              | \$ 446,200         | 1907.73%                                         |
| Dec. 31, 2009        | \$ -                         | \$ 9,290,267                                     | \$ 9,290,267                                           | 0%              | \$ 442,308         | 2100.41%                                         |
| Dec. 31, 2010        | \$ -                         | \$ 9,430,652                                     | \$ 9,430,652                                           | 0%              | \$ 461,106         | 2,045.22%                                        |
| Dec. 31, 2011        | \$ -                         | \$ 9,549,490                                     | \$ 9,549,490                                           | 0%              | \$ 480,703         | 1,986.57%                                        |

**SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS**  
**For the Year Ended December 31, 2011**

| 1                                                                                                                           | 2                                                                                                                                 | 3              | 4                                                                                                                                                                     | 5                                                              |                       |         | 6                     |
|-----------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|-----------------------|---------|-----------------------|
| Federal Agency Name /<br>Pass-Through Agency<br>Name                                                                        | Federal Program Name                                                                                                              | CFDA<br>Number | Other I.D.<br>Number                                                                                                                                                  | Expenditures                                                   |                       |         | Foot-<br>note<br>Ref. |
|                                                                                                                             |                                                                                                                                   |                |                                                                                                                                                                       | From Pass-<br>Through<br>Awards                                | From Direct<br>Awards | Total   |                       |
| U.S. Department of Justice                                                                                                  | Law Enforcement Assistance<br>National Instant Criminal<br>Background Check System                                                | 16.309         | N/A                                                                                                                                                                   |                                                                | \$902                 | \$902   | 2                     |
| U.S. Department of Justice                                                                                                  | Bulletproof Vest Partnership<br>Program                                                                                           | 16.607         | N/A                                                                                                                                                                   |                                                                | 16,484                | 16,484  | 2                     |
| U.S. Department of Justice                                                                                                  | Economic High-Tech and<br>Cyber Crime Prevention                                                                                  | 16.752         | N/A                                                                                                                                                                   |                                                                | 222                   | 222     | 2                     |
| U.S. Department of<br>Homeland Security                                                                                     | Assistance to Firefighters<br>Grant                                                                                               | 97.044         | EMW-2009-FO-<br>09796                                                                                                                                                 |                                                                | 129,853               | 129,853 | 2                     |
| U.S. Department of Energy                                                                                                   | <b>ARRA</b> - Energy Efficiency<br>and Conservation Block<br>Grant Program (EECBG)                                                | 81.128         | SC0002064                                                                                                                                                             |                                                                | 105,337               | 105,337 | 2, 5                  |
| U.S. Department of<br>Energy/Pass-Through from<br>WA State Department of<br>Commerce                                        | <b>ARRA</b> - Energy Efficiency<br>and Conservation Block<br>Grant Program (EECBG)                                                | 81.128         | F10-52110-010                                                                                                                                                         | \$26,590                                                       |                       | 26,590  | 2, 5                  |
| U.S. Department of<br>Justice/Pass-Through from<br>the City of Seattle                                                      | <b>ARRA</b> - Edward Byrne<br>Memorial Justice Assistance<br>Grant (JAG) Program/Grants<br>To Units Of Local<br>Government        | 16.804         | 2009-DJ-BX-0769                                                                                                                                                       | 17,540                                                         |                       | 17,540  | 2, 5                  |
| U.S. Department of Health<br>and Human Services/Pass-<br>Through from Seattle-King<br>County Department of<br>Public Health | <b>ARRA</b> - Prevention and<br>Wellness Communities<br>Putting Prevention to Work<br>Funding Opportunities<br>Announcement (FOA) | 93.724         | D40521D                                                                                                                                                               | 56,608                                                         |                       | 56,608  | 2, 5                  |
| US Department of<br>Transportation/Pass-<br>Through from WA State<br>Department of<br>Transportation                        | Highway Planning and<br>Construction                                                                                              | 20.205         | LA-7378<br>Redmond Central<br>Connector Trail<br><br>LA-7377<br>Redmond Way<br>Overlay<br><br>LA-7107<br>Downtown<br>Redmond<br>Crosswalk<br>Upgrade<br><br>Sub-Total | 286,919<br><br><br>191,440<br><br><u>19,491</u><br><br>497,850 |                       |         | 2                     |
|                                                                                                                             |                                                                                                                                   |                |                                                                                                                                                                       |                                                                |                       | 497,850 |                       |

The accompanying notes to the Schedule of Expenditures of Federal Awards are an integral part of this Schedule. Page 1 of 3

**SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS**  
**For the Year Ended December 31, 2011**

| 1                                                                                                                                                     | 2                                                                             | 3              | 4                                                                                                                              | 5                                            |                       |                        | 6                     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|----------------|--------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|-----------------------|------------------------|-----------------------|
| Federal Agency Name /<br>Pass-Through Agency<br>Name                                                                                                  | Federal Program Name                                                          | CFDA<br>Number | Other I.D.<br>Number                                                                                                           | Expenditures                                 |                       |                        | Foot-<br>note<br>Ref. |
|                                                                                                                                                       |                                                                               |                |                                                                                                                                | From Pass-<br>Through<br>Awards              | From Direct<br>Awards | Total                  |                       |
| U.S. Department of<br>Justice/Pass-Through from<br>the City of Seattle                                                                                | Edward Byrne Memorial<br>Justice Assistance Grant<br>Program                  | 16.738         | 2009-DJ-BX-0336                                                                                                                | 9,013                                        |                       | 9,013                  | 2                     |
| U.S. Department of<br>Transportation National<br>Highway Traffic Safety<br>Administration/Pass-<br>Through from WA State<br>Traffic Safety Commission | State and Community<br>Highway Safety                                         | 20.600         | 09351-2280 Law<br>Enforcement<br>Liaison                                                                                       | 13,624                                       |                       | 13,624                 | 2                     |
| U.S. Department of<br>Transportation National<br>Highway Traffic Safety<br>Administration/Pass-<br>Through from WA State<br>Traffic Safety Commission | Alcohol Impaired Driving<br>Countermeasures Incentive<br>Grants I             | 20.601         | X52 Sustained<br>Enforcement DUI<br>& Speeding<br>Traffic Safety<br>Emphasis<br><br>Target Zero Task<br>Force<br><br>Sub-Total | 2,600<br><br><br><u>28,888</u><br><br>31,488 |                       | <br><br><br><br>31,488 | 2                     |
| U.S. Department of<br>Transportation National<br>Highway Traffic Safety<br>Administration/Pass-<br>Through from WA State<br>Traffic Safety Commission | Occupant Protection<br>Incentive Grants                                       | 20.602         | Occupant<br>Protection<br>Nighttime Seat<br>Belt (NTSB)<br>Enforced Patrols                                                    | 1,337                                        |                       | 1,337                  | 2                     |
| U.S. Department of<br>Justice/Pass-Through from<br>King County Office of the<br>Public Defender                                                       | Violence Against Women<br>Formula Grants                                      | 16.588         | 2010-WF-AX-<br>0021                                                                                                            | 2,649                                        |                       | 2,649                  | 2, 4                  |
| U.S. Department of<br>Homeland Security/Pass-<br>Through from WA-TF1<br>Pierce County Urban<br>Search & Rescue Team                                   | National Urban Search and<br>Rescue (US&R) Response<br>System                 | 97.025         | 2010-SR-24-K034                                                                                                                | 2,053                                        |                       | 2,053                  | 2                     |
| US Department of<br>Homeland Security/Pass-<br>Through from WA State<br>Military Department<br>Emergency Management<br>Division                       | Disaster Grants - Public<br>Assistance (Presidentially<br>Declared Disasters) | 97.036         | D09-457/1825-<br>DR-WA                                                                                                         | 100                                          |                       | 100                    | 2                     |

The accompanying notes to the Schedule of Expenditures of Federal Awards are an integral part of this Schedule. Page 2 of 3

**SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS**  
**For the Year Ended December 31, 2011**

| 1                                                                                                             | 2                                            | 3              | 4                                                                                | 5                                          |                       |                     | 6                     |
|---------------------------------------------------------------------------------------------------------------|----------------------------------------------|----------------|----------------------------------------------------------------------------------|--------------------------------------------|-----------------------|---------------------|-----------------------|
| Federal Agency Name /<br>Pass-Through Agency<br>Name                                                          | Federal Program Name                         | CFDA<br>Number | Other I.D.<br>Number                                                             | Expenditures                               |                       |                     | Foot-<br>note<br>Ref. |
|                                                                                                               |                                              |                |                                                                                  | From Pass-<br>Through<br>Awards            | From Direct<br>Awards | Total               |                       |
| U.S. Department of<br>Homeland Security/Pass-<br>Through from WA State<br>Military Department                 | Emergency Management<br>Performance Grants   | 97.042         | E10-268/2010-<br>EP-E0-0027<br><br>E12-091/2010-<br>V0065-WA-EP<br><br>Sub-Total | 78,964<br><br><u>41,030</u><br><br>119,994 |                       | <br><br><br>119,994 | 2                     |
| U.S. Department of<br>Homeland Security/ Pass-<br>Through from the City of<br>Bellevue                        | Homeland Security Grant<br>Program           | 97.067         | FFY07-UASI/<br>E08-101/ E11-073                                                  | 4,578                                      |                       | 4,578               | 2, 3                  |
| U.S. Department of<br>Homeland Security/Pass-<br>Through from Pierce<br>County                                | Homeland Security Grant<br>Program           | 97.067         | FSPDUAS8                                                                         | 4,853                                      |                       | 4,853               | 2                     |
| U.S. Department of<br>Homeland Security/Pass-<br>Through from Immigration<br>and Customs Enforcement<br>(ICE) | International Money<br>Laundering Task Force | 97.999         | N/A                                                                              | 2,533                                      |                       | 2,533               | 2                     |
| Total Federal Awards Expended                                                                                 |                                              |                |                                                                                  | \$790,810                                  | \$252,798             | \$1,043,608         |                       |

The accompanying notes to the Schedule of Expenditures of Federal Awards are an integral part of this Schedule. Page 3 of 3

NOTES TO THE SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS  
For the Year Ended December 31, 2011

NOTE 1 – BASIS OF ACCOUNTING

This Schedule is prepared on the same basis of accounting as the City's financial statements. The City uses the modified accrual basis of accounting for governmental fund financial statements and agency funds and the accrual basis of accounting for internal service and proprietary funds.

NOTE 2 – PROGRAM COSTS

The amounts shown as current year expenditures represent only the federal portion of the program costs. Entire program costs, including the City's portion, may be more than shown.

NOTE 3 – NONCASH AWARDS - EQUIPMENT

The City received the fire equipment and supplies that were purchased with federal Homeland Security funds by the City of Bellevue. The amount reported on the schedule is the value of the property on the date it was received by the City and priced by the City of Bellevue, Washington.

NOTE 4 – NONCASH AWARDS – TRAINING SPONSORSHIP

The amount of \$220.00 reported on the schedule is the value of training assistance for this program received by the City during current year and priced as prescribed by the King County, Washington.

NOTE 5 – AMERICAN RECOVERY AND REINVESTMENT ACT (ARRA) of 2009

Expenditures for this program were funded by ARRA.



## **ABOUT THE STATE AUDITOR'S OFFICE**

---

The State Auditor's Office is established in the state's Constitution and is part of the executive branch of state government. The State Auditor is elected by the citizens of Washington and serves four-year terms.

Our mission is to work with our audit clients and citizens as an advocate for government accountability. As an elected agency, the State Auditor's Office has the independence necessary to objectively perform audits and investigations. Our audits are designed to comply with professional standards as well as to satisfy the requirements of federal, state, and local laws.

The State Auditor's Office employees are located around the state to deliver services effectively and efficiently.

Our audits look at financial information and compliance with state, federal and local laws on the part of all local governments, including schools, and all state agencies, including institutions of higher education. In addition, we conduct performance audits of state agencies and local governments and fraud, whistleblower and citizen hotline investigations.

The results of our work are widely distributed through a variety of reports, which are available on our Web site and through our free, electronic subscription service.

We take our role as partners in accountability seriously. We provide training and technical assistance to governments and have an extensive quality assurance program.

**State Auditor**  
**Chief of Staff**  
**Deputy Chief of Staff**  
**Chief Policy Advisor**  
**Director of Audit**  
**Director of Performance Audit**  
**Director of Special Investigations**  
**Director for Legal Affairs**  
**Director of Quality Assurance**  
**Local Government Liaison**  
**Communications Director**  
**Public Records Officer**  
**Main number**  
**Toll-free Citizen Hotline**

**Brian Sonntag, CGFM**  
**Ted Rutt**  
**Doug Cochran**  
**Jerry Pugnetti**  
**Chuck Pfeil, CPA**  
**Larisa Benson**  
**Jim Brittain, CPA**  
**Jan Jutte, CPA, CGFM**  
**Ivan Dansereau**  
**Mike Murphy**  
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